Annual Report 2007-08

Mindteck

Mission 'Go Global'

Board of Directors

Satish Menon
Chairman

Pankaj Agarwal
Managing Director and Group CEO

Guhan Subramaniam
Director

Vivek Malhotra
Director

Head of India Operations
Shankar Velayudhan

Company Secretary and Compliance Officer
P. Vidya Sagar

Bankers
Axis Bank Ltd., Bangalore

Registrars and Share Transfer Agents
Mondkar Computers Private Limited
25, Shakil Niwas, Opp. Satya Sai Baba Temple,
Mahakali Caves Road,
Andheri (East), Mumbai 400 093

Registered Office
16/3, Cambridge Road, Ulsoor,
Bangalore 560 008.

Offices
Bangalore:
16/3, Cambridge Road,
Ulsoor, Bangalore - 560 008.

Kolkata:
9 C, Tower II, 9th Floor,
Millennium City Information Technology Park
Sector V, Salt Lake, Kolkata- 700 091

Gurgaon:
75- C 2nd Floor, Sector 18,
Gurgaon, Haryana- 122 001.

Hyderabad:
302, Mahavir House,
Near Police Commissioner's Office
Hyderaguda Rd.,
Basheer Bagh, Hyderabad- 500 029

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Letter to the Shareholders

Dear Shareholders,

I am very pleased to present this year's Annual Report to you. It was an exciting and eventful year for all of us at Mindteck. We strongly believe the steps initiated in this year should bring considerable value to our shareholders, clients and employees in the coming years.

We completed two acquisitions in USA and consolidated our sister companies in UK and Singapore as part of our new *'Go Global'* growth strategy. We also raised an additional US$ 7.47 million to complete our acquisitions; added several new service offerings; and expanded offices in Europe and USA during the year.

Some of the key highlights during the year include addition of new practice lines, new verticals, new domain expertise, new geographical locations, new partnerships and accreditations, and new quality certifications. We also introduced several new employee benefits including our new health plan and employee development programs. We are also very proud of the launch of our Mindteck Academy to train fresh graduates for our ever growing and expanding talent needs.

As we gear up for the next phase of growth with a new and much larger Mindteck, I take this opportunity to present some of these achievements in brief.

Revenue and Profitability Growth

On a standalone basis our total revenue increased for the F.Y. 2007-08 by 38% to Rs 32.50 cr as compared to Rs 23.57 cr in the previous year. Net Profit rose by 28% to Rs 2.89 cr as compared to Rs 2.26 cr in the previous year. EBITDA increased by 59% compared to that of the previous year.

'Go Global' growth strategy

As part of our 'Go Global' strategy, the Company expanded its operations in US, Europe, and APAC regions significantly. It was achieved through acquisitions in US, consolidation and expansion in Europe and APAC regions. With acquisition of Infotech Consulting, the US operation has significantly grown to over 400 people from less than 100 a year before. The Company also added three new offices in Pennsylvania, California and South Carolina. In Europe, the Company expanded its operations to UK, Germany, and Netherlands. The Company also consolidated and strengthened its presence in the APAC region. After successful completion of the first phase of the 'Go Global' strategy, with 17 offices in 8 countries, over 1,000 employees, we are now in a strong position to service our multi-national clients globally.

Expanded Service Portfolio

The Company acquired new service lines through its acquisitions in the US and expanded its service offerings to become a full scale IT & Engineering service provider. The new expanded service portfolio includes Business Applications Consulting, Embedded Systems, SAP Enterprise Consulting, and Security, Infrastructure and Managed Services.

Customers

The Company added several new customers across all geographies and service lines. While the US geography continued to grow in all service lines, the engineering business grew significantly in Europe. During this year, the Company also successfully nurtured and grew certain key accounts. The overall repeat business from existing customers was at a record high of over 70%. The Company acquired a large public sector business line in the US through the Infotech acquisition and expects this business to grow significantly in the coming years.

World class Quality standards

Our commitment to quality remains unwavering. The past year has seen us achieve SEI CMMi Level 5, the highest level of quality certification in the world. It is a process capability maturity model which aids in the definition and understanding of an organization's processes. CMMi Level 5 is characteristic of processes that focus on continually improving performance, through both incremental and innovative technological changes/ improvements. The Company also successfully completed ISO 9001:2000 and ISO 27001:2005 surveillance (third party) audits during the year.

Our current certifications bring us in line with other established global IT players.

Employee focused initiatives

We recognize and respect the fact that our employees are our most valuable asset. As such, we made important investments to attract, groom, and retain tomorrow's IT leaders. Mindteck has initiated several training programs and employee benefit schemes during this year to strengthen its employee relations. The Company introduced a comprehensive employee group health insurance scheme for all of its employees. It also introduced a number of certifications and professional development programs as part of its training initiatives. The company also announced the launch of 'Mindteck Academy' to train and certify fresh engineering graduates on the real life technologies. We are confident these programs and schemes will help us attract the best talent in the country for ever expanding talent needs.

Partnerships

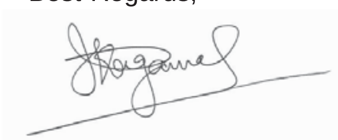
The Company further strengthened its credentials for its ERP business. We received SAP partnerships in both India and US. This will significantly help us to grow the ERP business in the Indian domestic and US market.

Corporate office moved

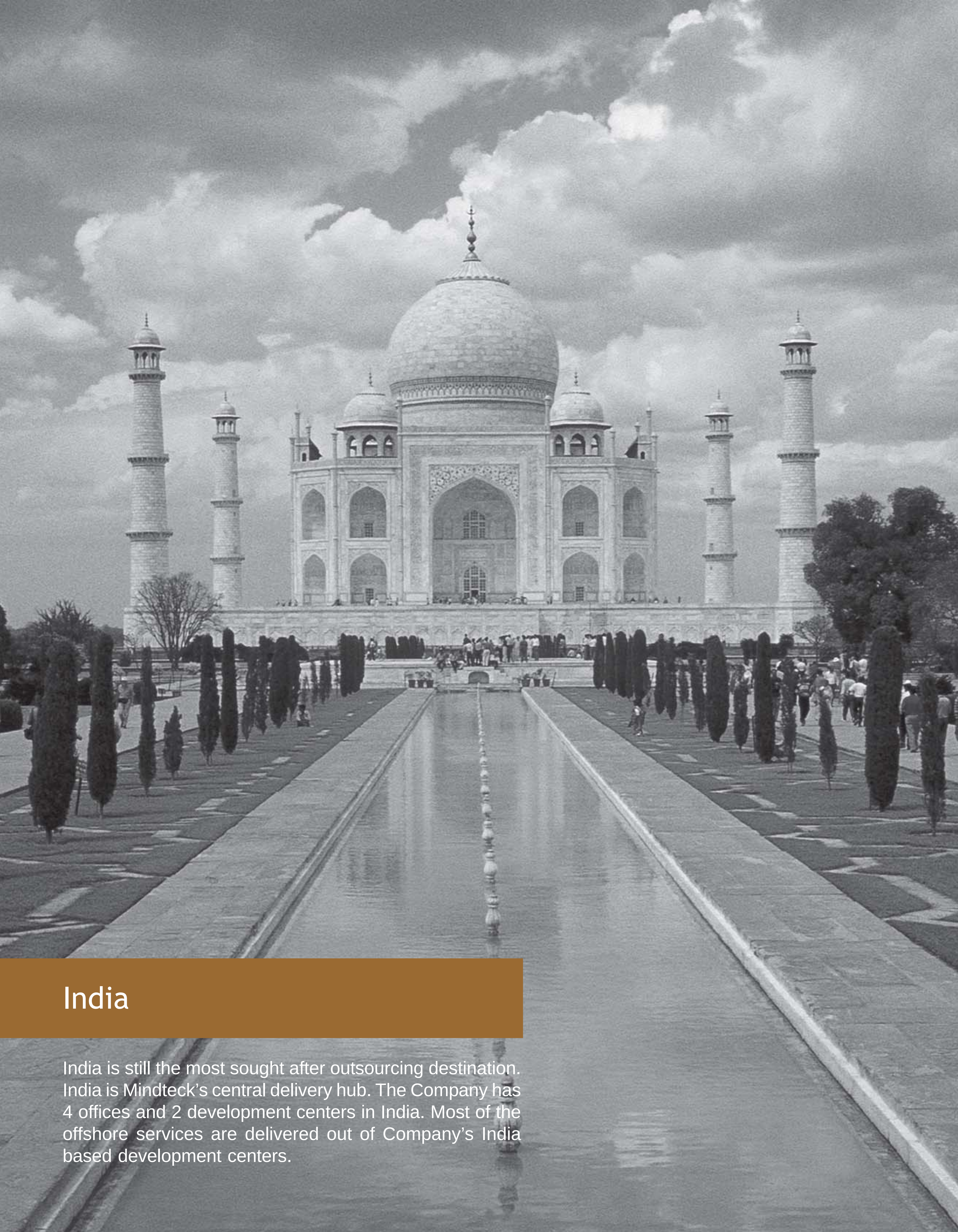
Our corporate headquarters in Bangalore was moved to a brand new facility on Cambridge Road to facilitate easy access for both our employees and clients. The move has resulted in improved productivity and morale of our work force. We also moved our US headquarters into a new building in Enola, Pennsylvania.

Before I conclude, I want to once again thank all of you for demonstrating continued support and trust in us. Our Board of Directors, Management team and I assure you that we will continue to grow this Company in the coming years to enhance your value. We are committed to the highest standards of ethics and corporate governance. As we continue this journey, we will count on your support to build a better and stronger Mindteck.

Best Regards,



Pankaj Agarwal
Managing Director and Group CEO



India

India is still the most sought after outsourcing destination. India is Mindteck's central delivery hub. The Company has 4 offices and 2 development centers in India. Most of the offshore services are delivered out of Company's India based development centers.

DIRECTORS' REPORT

To,
The Shareholders,
Mindteck (India) Limited

Your Directors are pleased to present the **SEVENTEENTH ANNUAL REPORT** of your company along with the audited Statement of Accounts for the financial year ended March 31, 2008.

FINANCIAL HIGHLIGHTS

Rs. in Million

	Year ended March 31, 2008	**Year ended March 31, 2007**
Total Income	**356.42**	255.58
Operating profit	**25.53**	20.89
Interest	**6.88**	8.14
Depreciation	**14.92**	8.92
Profit before tax	**33.64**	23.66
Prior period expenses	**1.45**	–
Provision for tax	**4.71**	1.00
Profit after tax	**28.94**	22.65
Paid-up Equity Share Capital	**213.91**	97.25
Earnings per share	**2.52**	2.33

RESULTS OF OPERATIONS

a) Growth in Revenue and Profit

During the year under review, your company recorded revenues of Rs. 325.06 million, compared to Rs. 235.73 million in the previous financial year, which represents a 38 % growth. The net profit for the year stands at Rs. 28.94 million as compared to the net profit of Rs. 22.65 million in the previous year, which represents a 28% increase over previous year.

b) Dividend and Reserves

The Company's Board has recommended an equity dividend of 5% for the year ended March 31, 2008. This translates into a total outlay of Rs. 125.32 million, which represents an increased outlay of Rs. 1.15 million over previous year.

The Company has transferred Rs. 40.48 million, being the balance in Profit & Loss Account after the proposed dividend, to General Reserves in the Balance Sheet.

BUSINESS

During the year under review, the Company continued its growth and profit momentum across all markets driven by robust performance in existing and new areas of businesses. Most importantly the Company was able to retain the major clients and get repeated orders from them. In last year, Mindteck has expanded its service offerings to include Business Consulting, IT Services, and Product Engineering and R&D Services.

Mission 'Go Global'

The Company, as part of its 'Go Global' Strategy, successfully expanded its operations in US, Europe, India and APAC. This was achieved through aggressive acquisitions of 2 companies in US, consolidation of sister companies in Europe and APAC and opening new offices. As a result, the US operation grew significantly and employs over 400 people; added 3 new offices in Europe, 1 office in Singapore and 2 new offices in India with a total of 17 offices in 8 countries. Mindteck expanded its operations to UK, Germany, and Netherlands in Europe. In India, the Company has four offices.

With the new acquisitions, the Company has become a full scale IT service provider to its target audiance. As a result of extended geographic reach and expanded services portfolio, Mindteck is now in a position to serve its global MNC clients from multiple geographic locations. The new business continues to be channeled to the Company through its subsidiaries in various geographies.

Through Infotech Consulting acquisition, Mindteck also got access to the Government business in the US. The Company provides Business Applications Consulting and Security, Infrastructure, and Managed Services to this sector. This segment is expected to grow significantly in the coming years by adding new states as clients.

Expanded Service Offerings

As per a recent NASSCOM report, IT Services contributes 57 per cent of the total software and services exports, and remains the dominant segment and is expected to cross USD 23 billion, a growth of 28 percent in FY2008. Mindteck has developed strong capabilities in this space through its acquisitions and consolidations. The Company offers custom application development and maintenance services, enterprise portal solutions, security assessment, infrastructure support, and managed services under its IT Services offerings. The Company leverages its strategic global delivery model and strong customer relationship management to attract new business and cross sell to its large customer base in the United States, Europe, and APAC region.

The Company continued to its growth in Product Engineering and R&D Services and has added Mechanical design optimization services as a new offering to its clients. This will help Mindteck to position itself as one stop Product Design & Development Company to prospective clients. The Company was able to sustain the aggressive growth in the analytical instruments business by successfully adding some of the largest analytical instrument manufacturers to its clientele. The Company also added Electronic Design Service (EDS), as a service which has complimented the Company's software and firmware development businesses and helped in increasing the revenue from these businesses.

The Company anticipates significant growth in the Analytical

Instrument space, particularly in the Liquid/Gas Chromatography and Mass/Spectrometer masses segment. Mindteck intends to further consolidate the strength in this space. Considering the growth opportunities in the coming year, the Company plans to expand its operations to other european countries and intends to set up additional development facilities in India. The growing demand for its embedded services in the european region, resulted in expansion of its operations by adding sales offices in Germany and Netherlands.

The Company's SAP Practice continued to grow, both in the US and domestic markets. Mindteck now is a certified SAP partner in both US and India. The Company offers SAP Enterprise Consulting services to both domestic and international markets. The Company is already providing niche SAP services to number of large multinationals. Also, the Company has a strong business interest in the Indian enterprise consulting market and has large domestic sales team to support the sales efforts in different parts of the country.

Mindteck's business consulting services continued to show strong growth in US and APAC geographies and is likely to sustain the growth momentum during the next year.

Mindteck USA, Inc., a wholly owned subsidiary of the Company, won a large contract to migrate and consolidate 300 data centers of a high tech client spread out globally into 3 locations. The majority of the work is going to be performed by the Company from its Bangalore office. In the ZigBee space, the Company has executed stack development work and application projects for new clients out of its development centers in India and also added new clients for the semiconductor business in Europe.

At Mindteck all businesses are driven by the Geography and Practice Heads, supported by geography focused sales teams, India based marketing team and delivery teams. Domain and technology experts in each of these businesses work with the business development team in growing the revenues, continuously improving and adding capabilities in key offerings and constantly seeking to increase the value offered to the clients.

QUALITY

During this year, the Company successfully achieved the SEI CMMI ver 1.2 - Level 5 Certification after it was assessed by KPMG in September 2007. This is the highest process capability maturity model which aids in the definition and understanding of an organization's processes. CMMi Level 5 is characteristic of processes that focus on continually improving performance, through both incremental and innovative technological changes/improvements. The Company also successfully completed ISO 9001:2000 and ISO 27001:2005 surveillance (third party) audits during the year.

PEOPLE DEVELOPMENT

The endeavor of the Company's human resources function is to align employees to the business goals and at the same time foster employees' interests. Mindteck has initiated several training programs and employee benefit schemes during this year to strengthen its employee relations. The Company introduced a comprehensive employee group health insurance scheme to all its employees in India. Mindteck introduced a number of Certification and Professional development programs as part of its training initiatives. The Company also announced the launch of 'Mindteck Academy' to train and certify fresh engineering graduates on the real life technologies. These programs and schemes are expected to help in attracting the best talent and grooming them as IT Leaders.

SUBSIDIARIES

During the year, the Company commenced the consolidation of all group entities under it, by acquiring them as its wholly owned subsidiaries for cash/stock consideration. The Company simultaneously raised INR 283.04 million (US $ 7.47 million) through private placement with financial investors to fund the cash component of the acquisitions, repay bank borrowings of the Company/its subsidiaries and meet working capital needs.

The Company secured necessary approvals from its Shareholders, FIPB and BSE to acquire the following entities ("Target Companies") as its wholly owned subsidiaries:-

Infotech Consulting Inc.(by acquiring its 100% holding company, ICI Tech Holdings Inc)

Primetech Solutions Inc.(by acquiring its 100% holding company, Chendle Holdings Ltd)

Mindteck Singapore Pte. Ltd., Singapore (directly, by acquiring 100% of its equity)

Mindteck UK Ltd., UK (directly, by acquiring 100% of its equity)

Out of the four above mentioned acquisitions, the Company, on 1st February 2008, completed the acquisition of ICI Tech Holdings Inc./Infotech Consulting Inc. as its wholly owned subsidiaries.

As on 31st March 2008, the Company had also secured necessary shareholder and regulatory approvals for completing the acquisition of the remaining three Target Companies and has effected the acquisitions effective April 1, 2008.

As on March 31, 2008, the Company has five wholly owned subsidiaries - Mindteck USA Inc. and ICI Tech Holdings Inc/ Infotech Consulting Inc in USA, Mindteck Middle-East Ltd in Bahrain, Mindteck Software Malaysia Sdn Bhd in Malaysia and Mindteck BPO Services Private Ltd in India

Section 212 of the Companies Act, 1956 requires your Company to attach the Directors' Report, Balance Sheet, and P&L Account of these subsidiaries to the Company's annual report. The Company has secured exemption of the Government of India from complying with this requirement as the audited consolidated financial statements are presented in the annual report. A statement of financial position of the subsidiaries, pursuant to Section 212 of the Companies Act, 1956 is annexed, which forms a part of the Annual Report. An additional statement is also annexed, which details the position as on March 31, 2008 of the capital, reserves, total assets and liabilities, investments, etc. of each of the subsidiaries referred to above, for which the Company has obtained the said exemption.

UTILIZATION OF FUNDS RAISED THROUGH PREFERENTIAL ALLOTMENT

As on March 31, 2008 the Company has utilized INR 189.35 million (US$ 4.82 million) out of the INR 283.04 million (US$ 7.47 million) raised from financial investors on private placement basis towards payment of cash consideration for the acquisition of ICI Tech Holdings Inc., repayment of bank borrowings of the Company and its subsidiary and towards working capital.

MINDTECK EMPLOYEE STOCK OPTION SCHEME 2005

During the year ended March 31, 2008, the Company has granted 28,200 options on July 30, 2007 at an exercise price of Rs 62.05 per share and 218,700 options on February 4, 2008 at an exercise price of Rs 50.55 per share. As on March 31, 2008 the Committee has completed grants of 476,500 out of the 500,000 options created under the Scheme. Disclosures as per SEBI (ESOS and ESPS) Guidelines 1999 are annexed to this Report.

MINDTECK EMPLOYEES WELFARE TRUST

In the year 2000, the Mindteck Employees Welfare Trust was set up to implement the Company's Share Incentive Scheme. As on March 31, 2008 the said Trust holds 416,000 shares of the Company and has not as yet granted any shares to the Company's employees under the said scheme.

RESPONSIBILITY STATEMENT OF THE BOARD OF DIRECTORS

The Directors' Responsibility Statement setting out the compliance with the accounting and financial requirements specified under Section 217 (2AA) of the Companies (Amendment) Act, 2000, in respect of the financial statements is annexed to this report.

FIXED DEPOSITS

During the period under review, the company has not accepted any deposits under Section 58-A of the Companies Act, 1956.

DIRECTORS

In accordance with provisions of the Companies Act, 1956 and the Company's Articles of Association, the following changes have taken place on the Company's Board during the year:

The Company's Board Chairman, Mr. M.G. Ved passed away on January 30, 2008. The Board expresses its deep anguish at the passing away of Mr. M. G. Ved and places on record, its sincere appreciation of the valuable leadership and guidance provided by Mr. Ved during the 4 years of his tenure as its Director and Chairman. Mr. Satish Menon has taken over as the Board Chairman effective January 31, 2008 until the conclusion of the current financial year.

Mr. Guhan Subramaniam retires by rotation as Director of the Company in the coming Annual General Meeting and being eligible offers himself for re-appointment.

AUDITORS

The Company's statutory auditors, M/s. BSR & Company, Chartered Accountants, Bangalore, retire at the ensuing Annual General Meeting and being eligible, offer themselves for re-appointment.

PARTICULARS OF EMPLOYEES

As required under the provisions of section 217(2A) of the Companies Act, 1956, read with the Companies (Particulars of Employees) Rules, 1975, as amended, the names and other particulars of employees are set out in the annexure included in this report.

CONSERVATION OF ENERGY, RESEARCH AND DEVELOPMENT, TECHNOLOGY ABSORPTION, FOREIGN EXCHANGE EARNINGS AND OUTGO

Particulars that are required to be disclosed under subsection (1)(e) of Section 217 of the Companies Act, 1956, read with the Companies (Disclosure of Particulars in the Report of Directors) Rules, 1988 are set out in the annexure included in this report.

MATERIAL DEVELOPMENTS AFTER BALANCE SHEET DATE

1. Completion of Group Consolidation:

   The Consolidation of all the Group Companies under Mindteck (India) Ltd. has been completed effective April 01, 2008 with the acquisition by the Company of Mindteck Singapore Pte. Ltd., Mindteck UK Ltd and Chendle Holdings Ltd. (the holding company of Primetech Solutions Inc). These acquisitions have been effected on a cash/stock consideration basis.

2 Appointment of Managing Director

   Effective April 1, 2008 the Company's Board of Directors have appointed Mr. Pankaj Agarwal as the Company's Managing Director and Group Chief Executive Officer, subject to shareholder and regulatory approvals. Mr. Shankar Velayudhan steps down as the Company's Manager effective April 1, 2008.

ACKNOWLEDGEMENTS

Your Directors thank customers, vendors, investors, bankers, the majority shareholders and the Government of India for their continued support of the Company's growth. Your Directors also place on record, their appreciation of the dedicated efforts of the Mindteck Employees at all levels across the Group.

On behalf of the Board of Directors

Satish Menon
Chairman

Bangalore
June 28, 2008

III DISCLOSURES AS PER SEBI (EMPLOYEE STOCK OPTION SCHEME AND EMPLOYEE SHARE PURCHASE SCHEME) GUIDELINES 1999

a)	Options granted	246,900
b)	Pricing formula	Fair Market Value as on the date of grant
c)	Options vested	96,934
d)	Options exercised	16,499
e)	Total no. of shares arising out of exercise of options	16,499
f)	Options lapsed/forfeited	61,700
g)	Variation of terms of options	N.A.
h)	Money realized by exercise of options	Rs. 571,690
i)	Total no. of options in force	4,600,001
j)	Employee wise details of options granted to:	
	(i) Senior Mgt. Personnel	
	- Shankar Velayudhan	43,200
	- P. Vidya Sagar	10,200
	- Ravi Raman	10,200
	- Deepak Hegde	10,200
	(ii) Any other employee(s) in receipt of grant in excess of 5% of options granted during the year	Joseph Underwood was granted 15,000 options
	(iii) Employee(s) in receipt of grant in excess of 1% of issued capital as on the date of the grant	Nil
	(iii) Employee(s) in receipt of grant in excess of 1% of issued capital as on the date of the grant	Nil
k)	Diluted EPS pursuant to issue of shares calculated in accordance with AS 20	Rs. 2.45 per share
l)	Difference between fair value and intrinsic value of options in the calculation of employee compensation costs and impact on net profits and EPS	Reported profit for 31/3/08 would have been Rs 28,315,858 (P.Y. Rs 21,086,859) i.e. lower by Rs 620,619 (P.Y. Rs 1,566,048) and the basic and diluted EPS for the year would have been Rs 2.46 and Rs 2.45 (P.Y. Rs 2.17 and Rs 2.11) respectively.
m)	Weighted average	
	- exercise price of options exercised during the year	Rs. 34.65
	- fair value of options exercised during the year	Rs. 9.32
n)	Method and significant assumptions used during the year to estimate the fair value of options	The fair value of the options has been calculated using Black-Scholes option pricing model, assuming the expected term of the options to be 4 years, volatility in the share price of 61-78 % and a risk free rate of 8 %.

IV PARTICULARS PURSUANT TOCOMPANIES (DISCLOSURE OF PARTICULARS IN THE REPORT OF THE BAORD OF DIRECTORS) RULES, 1988

1 Conservation of Energy

The Company is not involved in any manufacturing activity and hence has low energy consumption levels. Nevertheless, the Company makes all efforts to conserve and optimize the use of energy by using energy-efficient fittings and equipment.

2 Technology Absorption and Research and Development

The Company's research and development activities are focused on developing new frameworks, processes and methodologies to improve the speed and quality of service delivery. The Company has also established an electronics hardware laboratory to offer electronics design services, primarily in the wireless space.

3 Foreign Exchange Earnings and Outgo

a) Activities relating to exports, initiatives taken to increase exports, development of new export markets for products and services, and export plans

In FY 2007-08, 98.47 % of the Company's total revenues was derived from exports.

b) Total foreign exchange used and earned:

Earnings	Rs. 328.88	million
Expenditure	Rs. 12.74	million

On behalf of the Board of Directors

Satish Menon
Chairman

Bangalore
June 28, 2008

CORPORATE GOVERNANCE REPORT

I COMPANY'S PHILOSOPHY ON CODE OF CORPORATE GOVERNANCE

The Management aims to achieve its objective of increasing shareholder value while consistently observing the norms laid down in the Code of Corporate Governance. The Management has institutionalized Corporate Governance at all levels within the Company in order to ensure transparency, good practices and a systems-driven style of functioning.

The primary responsibility for ensuring corporate governance within the Company rests with the Board, which has put in place, appropriate policies relating to its membership, deliberations, etc. These policies are in consonance with the requirements of the Listing Agreement and SEBI Regulations.

II BOARD OF DIRECTORS

Composition & Other Directorships

Name of Director	Position	Other Directorships	Other Committee Memberships	Chairperson in Committees
Mr. M.G. Ved*	Independent, non-executive Chairman	2	Nil	Nil
Mr. Satish Menon#	Independent, non-executive director, Chairman	1	Nil	Nil
Mr. Pankaj Agarwal	Non-executive, professional director	2	Nil	Nil
Mr. Vivek Malhotra	Independent, non-executive director	1	Nil	Nil
Mr. Guhan Subramaniam	Independent, non-executive director	5	Nil	Nil

* expired on 30.01.2008

appointed as Chairman effective 31.01.2008 until conclusion of FYE March 31, 2008

The Company has a mandatory annual requirement for every director to inform the Company about the board/ committee membership positions he occupies in other companies and notify the changes, if any. None of the Directors of the Company is on more than 10 committees or is the Chairman of more than 5 committees across all companies in which he is a director.

Directors' Remuneration

The compensation of non-executive directors, if payable, is decided by the Board of Directors, subject to shareholders' and other necessary statutory approvals.

The Board adopts the following criteria while deciding on directors' compensations:

1. The directors should possess a high level of expertise and experience in diverse areas like technology, finance, corporate strategy, M&A, etc. so that they can effectively contribute to the Company's growth objectives.
2. The directors should not be related to other promoter/executive/independent directors. Further, they should not occupy any executive positions in competitor companies.
3. The directors should attend and actively participate in all the board and committee meetings and carry out their general responsibilities as directors without allowing any kind of situation to arise which carries the potential of a conflict of interest

The Company's shareholders in their annual general meeting held on July 29, 2005 have approved payment of sitting fees to the directors for attending meetings of the Board and Audit Committee up to the maximum limit prescribed by the Companies Act, 1956. Presently, the directors receive sitting fees for attending board and committee meetings @ Rs.20, 000/- and Rs.10, 000/- per meeting respectively.

Mr. M. G. Ved, Chairman of the Company passed away on 30.01.2008. The Board places on record and appreciates the valuable leadership and guidance provided by Mr. M. G. Ved during his tenure as Director and the Chairman of the

Company over a period of four years. The Company's Board in its meeting held on January 31, 2008 appointed Mr. Satish Menon as its Chairman until the conclusion of the current financial year.

The Company has also obtained Central Government's permission and has paid remuneration of Rs. 2 lacs per annum to Mr. M.G. Ved and Mr. Satish Menon for a period of 3 years effective January 29, 2005 and February 28, 2005 respectively with an annual increase in remuneration @ 25% p.a.

Provisions as to Board Meetings:

Seven board meetings were held during the year ended March 31, 2008. The board meetings were held on May 29, 2007, June 29, 2007, July 31, 2007, September 03, 2007, October 13, 2007, October 31, 2007, and January 31, 2008. All the information to be provided to the Board as per Annexure-1 of Clause 49 of the Listing Agreement was made available to the board. The Company's Board reviews and takes on record the statutory compliance reports submitted by the Company Management on a quarterly basis.

Code of Conduct:

The Company's Board has laid down a Code of Conduct for all its members as well as members of the Senior Management of the Company. The said Code has been posted on the Company's intranet website. All Board and Senior Management members have affirmed compliance with this Code as on March 31, 2008.

Attendance of Directors in Board Meetings held during year ended March 31, 2008

Name of the Director	Board Meeting Dates						
	May 29, 2007	June 29, 2007	July 31, 2007	September 03, 2007	October 13, 2007	October 31, 2007	January 31, 2008
Mr. M.G. Ved*	Present	Present	Present	Present	Leave of Absence	Present	N.A.
Mr. Satish Menon	Present	Present	Present	Present	Present	Present	Present
Mr. Guhan Subramaniam	Present	Present	Present	Leave of Absence	Present	Leave of Absence	Present
Mr. Pankaj Agarwal	Present	Present	Leave of Absence	Leave of Absence	Leave of Absence	Leave of Absence	Present
Mr. Vivek Malhotra	Present	Present	Present	Present	Present	Present	Present

Attendance of Directors in AGM/EGM held during year ended March 31, 2008					
Date of AGM/EGM	Mr. M. G. Ved*	Mr. Satish Menon	Mr. Guhan Subramaniam	Mr. Pankaj Agarwal	Mr. Vivek Malhotra
28.9.2007- AGM	Present	Present	Absent	Present	Present
30.11.2007-EGM	Present	Present	Present	Absent	Absent
05.02.2008- EGM	N.A.	Present	Present	Present	Absent

III AUDIT COMMITTEE

The Company's Board has constituted an Audit Committee pursuant to the provisions of the Companies Act, which has all the necessary features as required by the Listing Agreement.

The terms of reference of the Audit Committee include the objective evaluation of the financial reporting process, recommending the appointment of external auditors, reviewing with the Company Management the annual financial statements before submission to the Board, reviewing the adequacy of the internal control systems/ internal audit function, discussing and reviewing the findings of the internal auditors, discussion with external auditors regarding nature and scope of audit as well as having post audit discussion, reviewing the Company's financial and risk management policies.

Necessary powers are vested with the Audit Committee. Conditions relating to meetings, quorum, etc. have been complied with.

The role of the Audit Committee comprises all recommended terms of reference as contained in Clause 49 of the Listing Agreement.

Mr. M.G. Ved, Mr. Satish Menon, Mr. Guhan Subramaniam & Mr. Vivek Malhotra are non-executive directors of the Board and are independent members on the Audit Committee.

Mr. M. G. Ved was the Chairman of the Audit Committee effective January 30, 2007 until his death on January 30, 2008, He was a practicing Chartered Accountant since 1966 and a fellow member of the Institute of Chartered Accountants of India since 1971. He had vast experience in the fields of auditing, finance, accounts & taxation.

Mr. Satish Menon, Member of the Committee, who was appointed as the Chairman of the Audit Committee effective January 31, 2008, is a legal practitioner with vast experience in the fields of mergers, acquisitions, corporate governance, ethical practices & general commercial transactions. The Chairman will be present at the Annual General Meeting to answer shareholders' queries.

Mr. Guhan Subramanian, Member of the Committee, is an experienced professional having 28 years of multi functional, multi-industry operations experience.

Mr. Vivek Malhotra, member of the Committee, a qualified chartered accountant, is presently a Director in Population Health Services India.

Mr. P. Vidya Sagar, Company Secretary, who is Secretary to the Committee, was present at all the meetings.

Composition of Audit Committee

Name of Director	Position
Mr. M.G. Ved	Independent, non-executive Chairman
Mr. Satish Menon	Independent, non-executive director, Chairman
Mr. Guhan Subramaniam	Independent, non-executive director
Mr. Pankaj Agarwal	Non-executive, professional director
Mr. Vivek Malhotra	Independent, non-executive director

Directors' Attendance Record in Audit Committee Meetings held during the year

	May 29, 2007	June 29, 2007	July 31, 2007	October 31, 2007	January 31, 2008
Mr. M.G. Ved	Present	Present	Present	Present	N.A.
Mr. Satish Menon	Present	Present	Present	Present	Present
Mr. Guhan Subramaniam	Present	Present	Present	Leave of Absence	Present
Mr. Pankaj Agarwal	Present	Present	Leave of Absence	Leave of Absence	Present
Mr. Vivek Malhotra	Present	Present	Present	Present	Present

Name of Director	Meetings held	Meetings attended
M. G. Ved	5	4
Satish Menon	5	5
Guhan Subramanian	5	4
Pankaj Agarwal	5	3
Vivek Malhotra	5	5

IV HR & COMPENSATION COMMITTEE

The HR & Compensation Committee was constituted to determine the company's policy on remuneration packages on the following terms of reference:

1. To decide on all matters relating to the company's stock option / share purchase schemes including the grant of options/shares to the directors and employees of the Company and/or of its subsidiaries.
2. To determine and make suitable recommendations to the Board in all matters relating to remuneration of the non-executive directors of the Board, executive directors of the Company and its managerial personnel under the Companies Act, 1956.
3. To decide and make suitable recommendations to the Board on any other matter that the Board may entrust the Committee with or as may be required by any statutes/regulations/guidelines/listing agreements, etc.

The Committee held one meeting during the year ended March 31, 2008, i.e. on July 31, 2007.

Attendance Record in HR & Compensation Committee Meetings held during the year

Name of Director	Meetings held	Meetings attended
M. G. Ved	1	1
Satish Menon	1	1
Guhan Subramanian	1	1
Pankaj Agarwal	1	0
Vivek Malhotra	1	1

V SHAREHOLDERS/INVESTORS GRIEVANCES COMMITTEE

The Shareholders / Investors Grievance Committee was formed to undertake responsibilities like redressing shareholder and investor complaints pertaining to transfer of shares, non-receipt of balance sheet, non-receipt of declared dividend, etc. The Company also follows and practices insider trading guidelines.

The Board has delegated powers to its Share Transfer Committee and M/s. Mondkar Computers Pvt. Ltd., Company's Registrars and Share Transfer Agent to attend to share transfer formalities etc. generally once in fifteen days, which are validated by the Share Transfer Committee.

a) Name of independent, non-executive director heading the Committee:

Mr. M.G. Ved till January 30, 2008;

Mr. Satish Menon effective January 31, 2008.

Directors' Attendance Record in Shareholders/Investors Grievances Committee Meetings held during the year

	June 29, 2007	July 31, 2007	October 31, 2007	January 31, 2008
Mr. M.G. Ved	Present	Present	Present	N.A.
Mr. Satish Menon	Present	Present	Present	Present
Mr. Guhan Subramaniam	Present	Present	Leave of	Present Absence
Mr. Pankaj Agarwal	Present	Leave of	Leave of Absence	Present Absence
Mr. Vivek Malhotra	Present	Present	Present	Present

b) Name and designation of compliance officer: P. Vidya Sagar, Company Secretary

	No. of cases outstanding as on April 1, 2007	No. of cases added during the year	No. of cases resolved during the year	No. of cases outstanding as on March 31, 2008
No. of Investor issues	Nil	9	9	Nil
No. of legal cases	Nil	Nil	Nil	Nil

There were no outstanding complaints pending for more than one month. There were no cases, which were not solved to the satisfaction of shareholders.

The Company's Registrars and Share Transfer Agent, M/s. Mondkar Computers Pvt. Ltd., processes shares sent for transfer transmission etc. in 2 batches every month. Hence the share transfer, transmission etc. are effected within stipulated time. There are no physical shares pending transfer beyond the transfer cycle of 30 days.

VI SHAREHOLDERS' INFORMATION

Annual General Meetings

Location and time of last three AGMs held

Date of AGM	Time of AGM	Location
July 29, 2005	4.00 p.m.	Cultural Centre of Russia, 31-A, Dr.G. Deshmukh Marg, Mumbai – 400 026.
August 28, 2006	4.00 p.m.	HAL Convention Centre, Airport Road,Marathahalli, Bangalore 560 037.
September 28, 2007	4.00 p.m.	HAL Convention Centre, Airport Road,Marathahalli, Bangalore 560 037.

No special resolutions were passed in the AGM held on August 28, 2006. The following special resolutions were passed by the Company in its AGM/EGMs held on as listed below:

(i) AGM- July 29, 2005

- Change in the Registered Office of the Company under Section 17.
- payment of remuneration to Company's Director, Mr. M.G. Ved, under the Companies Act, 1956.
- payment of remuneration to Company's Director, Mr. Satish Menon, under the Companies Act, 1956.
- payment of remuneration to Company's Manager, Mr. P.A. Ananthanarayanan, under the Companies Act, 1956.
- Adoption of Mindteck Employees Stock Option Scheme 2005.
- Payment of sitting fees to the Directors of the Company.

(ii) AGM- September 28, 2007

- Appointment and payment of remuneration to Company's Manager under the Companies Act, 1956.
- Increase in the Company's Authorized Capital u/s 94 of the Companies Act, 1956.
- Issue of equity shares to FI's, Bodies Corporate, FII's and/or high networth individuals on private/preferential placement basis.

(iii) EGM- November 30, 2007

- Acquisition of ICI Tech Holdings Inc. on cash/stock basis.
- Issue of equity shares to shareholders of ICI Tech Holdings Inc and other investors.

(iv) EGM- February 05, 2008

- Acquisition of Mindteck Singapore Pte. Ltd., Mindteck UK Ltd and Chendle Holdings Ltd. on cash/stock basis.
- Issue of equity shares to shareholders of Mindteck Singapore Pte. Ltd., Mindteck UK Ltd and Chendle Holdings Ltd. and other investors.

No special resolutions were passed through the postal ballot procedure during the year ended March 31, 2008.

VII DISCLOSURES

(a) Utilization of Funds raised through preferential issue

As on March 31, 2008 the Company has utilized INR 189,346,099 (US$ 4.82 million) out of the INR 283,042,002 (US$ 7.47 million) raised from financial investors on private placement basis towards payment of cash consideration for the acquisition of ICI Tech Holdings Inc., repayment of bank borrowings of the Company and its subsidiary and towards working capital. Please refer note no. 3 (c) of Significant accounting policies and notes to the accounts for complete details of utilization of funds during the year.

(b) There were no materially significant related party transactions i.e. transactions of the Company of material nature, with its promoters and/or their subsidiaries, Directors or the Management, their relatives, etc., that had potential conflict with the interest of Company at large.

(c) No penalties have been imposed on the Company by the Stock Exchange or SEBI or any other statutory authority on any matter related to capital market during the last three years.

(d) The Company has not complied with the non-mandatory provisions of Clause 49 of the Listing Agreement.

VIII COMMUNICATION WITH THE SHAREHOLDERS

The Company informs the shareholders, on appointment or re-appointment of a Director and provides a brief resume of the Director, his/her expertise and names of companies in which he/she holds directorships and committee memberships.

During the year, all quarterly results were sent to the Stock Exchange where the Company's equity shares are listed and posted on the company's website (www.mindteck.com). All the quarterly results have been published during the year. The results were published in Business Standard (English) & Times of India (Kannada). The Company's web site also displays official news releases.

Please also refer section on Shareholders' Information in this annual report.

IX MANAGEMENT

A Management Discussion and Analysis report has been included in this annual report. During the year under review, there were no instances of any material financial and commercial transactions in which the Management had personal interest that had a potential conflict with the interest of the Company at large.

X COMPLIANCE

The Statutory Auditors' Certificate certifying compliance of Corporate Governance conditions as laid down in the listing agreement is annexed.

On behalf of the Board of Directors

Satish Menon
Chairman

Bangalore
June 28, 2008

SHAREHOLDERS' INFORMATION

AGM: Date, Time and Venue	Wednesday, July 30, 2008. Redwood, Hotel Royal Orchid Central, 47/1 Dickenson Road, Manipal Centre, Bangalore 560 042
Financial Calendar	1st April 2007 to 31st March, 2008
Book Closure dates	July 21, 2008 to July 30, 2008 (both days inclusive)
Dividend Payment Date	Within stipulated period from the date of the AGM, if declared by the members.
Listing on Stock Exchanges & Stock code	The Stock Exchange Ltd. - 517344
Registrar and transfer Agents	M/s. Mondkar Computer Pvt. Ltd., 25, Shakil Niwas, Mahakali Caves Road, Andheri (East), Mumbai – 400 093.
Share transfer System	The Company's Registrars and Share Transfer Agent, M/s. Mondkar Computers Pvt. Ltd., processes shares sent for transfer transmission etc. in 2 batches every month. Hence, the share transfer, transmission etc. are effected within stipulated time. Transfers/transmissions, which are complete in all respects, are processed and the certificates in respect thereof are returned to the lodger/shareholder within 30 days of lodgment.
Dematerialization of shares and liquidity	Effective August 28, 2000 it has become compulsory to trade Company's shares in dematerialized form. Since the shares of the Company are falling under compulsory demat category, the chances of fraudulent interception, etc. have been reduced considerably. The Company continues to receive requests for demat on a regular basis and the same is being facilitated through the Depository Services provided by National Securities Depository Ltd. and Central Depository Services Ltd. The Company, in co-ordination with its Registrars & Share Transfer Agents, M/s. Mondkar Computers Pvt. Ltd. facilitates simultaneous transfer of shares and dematerialization. This reduces correspondence, time and effort of all shareholders by ensuring maximum investor satisfaction and transparency.
Offices	**Bangalore:** 16/3, Cambridge Road, Ulsoor, Bangalore 560 008. **Bangalore:** 16/3, Cambridge Road, Ulsoor, Bangalore 560 008. **Kolkata**: 1. Software Technology Park, SDF Building, Module No.529 & 530, 4th Floor, Sector V, Block EP GP, Salt Lake Electronics Complex, Kolkata – 700 091. 2. Millennium City Information Technology Park, II-9th Floor, 9 C, Block DN, Plot 62, Sector V, Salt Lake, Kolkata- 700 091. **Gurgoan:** 75/C, Second Floor, Sector 18, Gurgoan,Haryana- 122 001 **Hyderabad:** 302, Mahavir House,Near Police Commissioner's Office Hyderaguda Rd., Basheer Bagh, Hyderabad- 500 029
Compliance Officer and Registered Office Address for correspondence	P. Vidya Sagar, Mindteck (India) Limited 16/3 Cambridge Road, Ulsoor, Bangalore 560 008

- Market Price Data: High, Low of Company's equity shares on the Stock Exchange, Mumbai during each month in the year ended March 31, 2008

Month	Sensex High	Sensex Low	Share Price High.	Share Price Low	Trade No. of shares traded	Trade Value
			Rs	Rs.		Rs.
April 2007	14,228.88	12,455.37	39.10	36.55	29,222	1,129,742
May 2007	14,544.46	13,765.46	63.85	34.60	481,949	26,618,528
June 2007	14,650.51	14,003.03	71.30	61.20	312,360	20,403,954
July 2007	15,794.92	14,664.26	71.00	55.15	105,083	6,806,151
August 2007	15,318.60	13,989.11	70.25	57.30	97,381	6,413,547
September 2007	17,291.10	15,422.05	68.90	56.85	128,906	8,170,327
October 2007	19,977.67	17,328.62	59.00	50.00	129,539	7,383,396
November 2007	19,976.23	18,526.32	59.75	48.30	163,476	9,235,586
December 2007	20,375.87	19,079.64	69.20	55.50	165,901	10,230,598
January 2008	20,873.33	16,729.94	81.95	42.35	238,216	16,718,821
February 2008	18,663.16	16,608.01	58.40	50.55	119,544	6,977,611
March 2008	16,677.88	14,809.49	55.70	37.00	158,901	6,981,887

- Performance in comparison to broad-based BSE Index & BSE IT Index

Month	Closing Share Price on month's last trading day Rs.	BSE Index	BSE IT Index
April 2007	37.85	13,872.37	5053.29
May 2007	63.85	14,544.46	4851.43
June 2007	68.50	14,650.51	4,870.73
July 2007	64.95	15,550.99	4,862.52
August 2007	62.00	15,318.60	4,585.66
September 2007	57.50	17,291.10	4,627.83
October 2007	57.00	19,837.99	4,618.72
November 2007	56.60	19,363.19	4,197.62
December 2007	69.20	20,286.99	4,529.59
January 2008	50.40	17,648.71	3,710.11
February 2008	53.85	17,578.72	3,862.45
March 2008	43.20	15,644.44	3,547.61

- Distribution of Shareholding as on March 31, 2008

Range No. of Shares	Shareholders Numbers	Shareholders % to Total	Shares Numbers	Shares % to Total
1 – 500	7590	95.604	497,050	2.324
501 – 1000	182	2.292	148,852	0.696
1001 – 2000	86	1.083	125,263	0.586
2001 – 3000	23	0.290	56,817	0.266
3001 – 4000	7	0.088	24,478	0.114
4001– 5000	5	0.063	22,684	0.106
5001 – 10000	19	0.239	150,194	1.702
10001 & above	27	0.340	2,036,5542	95.207
Total	**7,939**	**100.000**	**21,390,880**	**100.000**

- Shareholding Pattern as on March 31, 2008

	Shareholder Category	No. of Shares	%age
1.	Promoters	13,977,257	65.34
2.	Directors	1,200,000	5.61
3.	Mindteck Employees Welfare Trust	416,000	1.95
4.	Public	5,797,623	27.10
	Total	**21,390,880**	**100.00**

On behalf of the Board of Directors

Satish Menon
Chairman

Bangalore
June 28, 2008

USA

Outside India, Mindteck has its biggest presence in the United States. It is the biggest customer location for the Company. Mindteck has seven offices and one development center in the US.

Manager and Company Secretary Certification

We, Shankar Velayudhan, Manager and P. Vidya Sagar, Company Secretary of Mindteck (India) Limited, to the best of our knowledge and belief, certify that:

(a) we have reviewed financial statements and the cash flow statement for the year and that to the best of our knowledge and belief :

  (i) these statements do not contain any materially untrue statement or omit any material fact or contain statements that might be misleading;

  (ii) these statements together present a true and fair view of the company's affairs and are in compliance with existing accounting standards, applicable laws and regulations.

(b) there are, to the best of our knowledge and belief, no transactions entered into by the company during the year which are fraudulent, illegal or violative of the company's Code of Conduct.

(c) we accept responsibility for establishing and maintaining internal controls and that we have evaluated the effectiveness of the internal control systems of the company pertaining to financial reporting and we have disclosed to the auditors and the Audit Committee, deficiencies in the design or operation of internal controls, if any, of which we are aware and the steps we have taken or propose to take to rectify these deficiencies.

(d) we have indicated to the auditors and the Audit committee:

  (i) significant changes in internal control during the year;

  (ii) significant changes in accounting policies during the year, if any, and that the same have been disclosed in the notes to the financial statements; and

  (iii) instances of significant fraud, if any, of which we have become aware and the involvement therein, if any, of the management or an employee having a significant role in the company's internal control system over financial reporting.

(e) we further declare that all Board Members and Senior Management Personnel have confirmed compliance with the Code of Conduct for the current year.

Shankar Velayudhan
Manager

P. Vidya Sagar
Company Secretary

Bangalore
June 28, 2008

Auditors' Certificate

To the members of Mindteck (India) Limited

We have examined the compliance of conditions of Corporate Governance by Mindteck (India) Limited ('the Company'), for the year ended on March 31, 2008, as stipulated in Clause 49 of the Listing Agreement of the said Company with the stock exchange.

The compliance of conditions of Corporate Governance is the responsibility of the management. Our examination was limited to procedures and implementation thereof, adopted by the Company for ensuring the compliance of the conditions of Corporate Governance. It is neither an audit nor an expression of opinion on the financial statements of the Company.

In our opinion and to the best of our information and according to the explanations given to us, we certify that the Company has complied with the conditions of Corporate Governance as stipulated in the above mentioned Listing Agreement.

We further state that such compliance is neither an assurance as to the future viability of the Company nor the efficiency or effectiveness with which the management has conducted the affairs of the Company.

for **BSR & Company**
Chartered Accountants

Supreet Sachdev
Partner
Membership No. 205385

Bangalore
June 28, 2008

Management's Discussion and Analysis of Financial Condition and Results of Operations

A. Industry structure, issues & developments

IT buyers are becoming more sophisticated and demanding, and their expectations and paradigm is shifting to a higher level. Indian IT service players are striving to guard their competitive positions and margins. Companies need to leverage more domain skills to establish differentiation in the market place and improve margins and productivity. Many IT service providers continued to extend their process and quality leadership, while at the same time building out their domain expertise via Mergers & Acquisitions.

Interestingly, buying decisions started to shift from technologists to business leaders. Technology vendors are grappling with changing market dynamics by protecting current offerings and market share. Indian technology services providers have broadened the current service offerings to include Product Engineering services, independent verification and validation, infrastructure management services, IT consulting and security services.

Inspite of the wage inflation and other peripheral challenges, India continues to be the preferred destination for outsourcing. The country could sustain its unique value proposition covering abundant availability of talent, cost advantage, emphasis on quality and information security, proven legal systems to protect integrity of intellectual property, enabling business policy and regulatory environment ensure that India continues to be the preferred destination for outsourcing.

The fact that Indian IT companies cater to and compete with global players has led them adopting the highest quality standards. This high quality of services and products has been the driver and sustainer of growth which has helped move India out of the mediocrity. The world began to recognize that Indian products and services could also compete and win against global competitors on quality parameters. India is also emerging as a R&D hub for many of the high tech companies across the globe, further demonstrating that India now stands for quality.

As per a NASSCOM report, 30% of companies worldwide who have reached Level 5 of Capability Maturity Model Integration (CMMI) are Indian IT companies. Nearly 75% of Fortune 500 and 50% of Global 2000 corporations source their technology related services from India with an increasing number of MNCs outlining their investment plans for setting up R&D operations in India.

Corporate Governance

The Indian IT industry has been a front runner in practicing good corporate governance and their commitment to infuse it in their business activities have led to a creating a positive pressure within the industry, as well as in other industries, with more and more companies adopting global standards in corporate governance practices.

B. Opportunities & Threats

Mindteck is continuously scanning the global market to spot growth opportunities. The company has a strong growth strategy in place, both through organic and inorganic ways. Mindteck is strategically well poised to accelerate growth and undertake several new initiatives to combat industry competitions. The company is developing new technology competencies, hiring subject matter experts, studying customers' business challenges, leveraging its global delivery model to support its large customers globally, tightening security mechanisms to protect customers' intellectual properties, and investing heavily to improve its infrastructure and quality standards.

The company's relationship management processes are founded on trust and strive to build long term partnerships with customers so that the cost and quality of its deliverables can be continuously improved. Mindteck boasts of a high average customer satisfaction rating of 9/10. The company's global delivery capabilities enable it to provide a number of options to its customers in terms of skills, price points, and time zones. Its industry expertise is built to deliver unique combinations of domain and technology knowledge components that can be combined flexibly and swiftly to produce solutions of value.

Threats

The success of an industry rests on the aggregate performance of the firms within it. And an individual company's performance is dictated by a diverse set of factors, ranging from firm-specific strategies and behaviors through to the broader competitive environment in which firms operate. It is in this area Mindteck anticipates competitions from the fellow companies in the industry.

Secondly, the IT Services market is increasingly growing competitive with a large number of existing offshore software service companies battling for a same pie of business. The trend seems consolidation. Large companies are trying to cease competitions by acquisitions.

C. Outlook

Strong growth trends are expected to continue in FY 08-09. While opportunities continue to exist and grow, the sluggish US economy and Re-$ fluctuations witnessed in the recent few months may impact the financial performance of the Company to some extent. While hedging instruments will help in the short term, long term impact is definitely a cause for major concern.

According to a recent NASSCOM report, IT exports (including hardware exports) are expected to cross USD 40.80 billion in FY 08-09 as against USD 31.90 billion in FY 07, a growth of 28 per cent. Exports for Engineering Services and R&D, Software Products are likely to cross USD 6.30 billion in FY 08-09 from USD 4.90 billion in FY 07-08. While US & UK remained the largest export markets (accounting for about 61 per cent and 18 per cent respectively, in FY2007), the industry is steadily increasing its exposure to other geographies. Exports to Continental Europe in particular have witnessed notable gains, growing at a CAGR of more than 55 per cent over the period 2004-2007.

India has a large pool of trained technical people with English language skills. According to NASSCOM, India produces approximately 2.70 million college graduates annually, which includes approximately 440,000 engineering graduates. This is projected to increase to approximately 536,000 by fiscal 2008. NASSCOM and the Indian IT industry have taken steps, in conjunction with the Government, to strengthen education and training for the IT industry, such as signing of MOUs with University Grants Commission and All India Council for Technical Education.

D. Revenue Contribution from Geographic Segments

During the year under review the Company derived 86% of its revenue from the US. In order to reduce this dependence on the US market, the Company has been making efforts to expand its growth in Singapore, UK and Europe. Towards this end, the Company has set up operations in Netherlands, Germany and Switzerland in Europe through its subsidiary, Mindteck UK Ltd.

E. Risks

The Company has established a comprehensive Enterprise Risk Management Program, which aims at assessing and controlling risk through a clearly defined framework. This framework is largely based on the recommendations of the Committee of Sponsoring Organizations (COSO). The Company's Risk Management Program identifies and assesses risks at enterprise and functional levels and provides mitigation measures with adequate monitoring mechanisms.

The Company is faced with numerous external and internal risks in the pursuit of its business endeavors. Some of the important ones are as under:

a) Macro Economic Factors

The year under review has seen a slowdown in the US economy been dominated by inflationary pressures and hardening interest rates resulting in intense pressure on prices. To offset these pressures, the company has improvised on and expanded its service offerings to stay competitive in the market place.

b) Exchange Rate Fluctuations

The Company's functional currency is the Indian Rupee. Substantially, all of the Company's revenues are generated in US Dollars while most of its expenses are incurred in Indian Rupees. The appreciation of the Rupee against the US Dollar adversely impacts the Company's profitability and operating results.

The Company seeks to meet expenses through receipts in the same currency. The Company also seeks to reduce the effect of exchange rate fluctuations on operating results by purchasing foreign exchange forward contracts to cover a portion of its outstanding receivables.

c) Increased Manpower Costs

The rapid growth of the software services industry in India and the increase in demand for a skilled talent pool maintains a constant pressure on manpower costs, which constitute a substantial component of the company's overall operating cost structure. Hence the company runs the risk of its margins being adversely affected by increased manpower costs, especially during inflationary times.

The Company seeks to mitigate this risk by ensuring a right mix of resources, providing younger people in the organization with opportunities to take up higher responsibilities with careful mentoring and increasingly building in a variable component in the compensation structures of its employees.

d) Concentration – Geographic and Technological

The Company's business today is predominantly derived from the US, chiefly from embedded systems offerings.

To mitigate this risk of geographical and technological concentration, the Company is constantly seeking to widen the range of its service offerings as well as to expand in newer geographies like Europe, A-Pac, etc. both through organic and inorganic growth.

e) Delivery

The Company's delivery involves risks of quality and time/cost overruns, to mitigate which the Company constantly develops and improves on its software engineering processes. Towards this end, the Company has adopted the Software Engineering Institute's Capability Maturity Model (SEI-CMM) and has been awarded CMM Level 5 certification. This model ensures that risks are identified and measures are taken to mitigate them at the project planning stage itself.

f) Human Resource Management

The Company is heavily dependent on its ability to attract and retain a resource pool of skilled software engineers in order to deliver on its commitments to its customers. In order to retain key employees, the Company invests in their training and other developmental programs, apart from running a stock option plan for wealth creation in the hands of its employees.

F Internal Control Systems

The Company has adequate internal control systems in place to ensure that its assets are safeguarded, that transactions are executed with prior and appropriate authorizations and they are properly and promptly recorded in the accounts and are adequate for the preparation of annual/quarterly financial statements.

Internal audits are performed periodically to ascertain the adequacy and effectiveness of internal control systems. The Audit Committee of the Board periodically reviews the report of the Company's internal auditors.

G Financial Condition

Share capital

The authorized share capital of the company has been raised to Rs. 330 million divided into 28 million equity shares of par value Rs. 10 each and 500,000 cumulative non-convertible redeemable preference shares of Rs. 100/- each from Rs. 200 million divided into 15 million equity shares of Rs. 10/- each and 500,000 cumulative non-convertible redeemable preference shares of Rs. 100/- each. As on March 31, 2008, the issued, subscribed and paid up capital of the Company stands at Rs 213.91 million.

During the year, the Company granted 246,900 options (Previous Period 179,900) to its employees under the Mindteck Employees Stock Option Scheme, 2005. As on March 31, 2008, 460,001 options (Previous Period 291,300) were outstanding and 96,934 options had vested out of the total 500,000 options created under the Scheme.

Reserves & Surplus

The Company has retained a balance of Rs. 40.48 million in the Profit and Loss Account, after declaring an equity dividend of 5% for FY 07-08. The total shareholder funds of the Company increased to Rs. 1075.14 million as of March 31, 2008 from Rs. 218.73 million as of the previous year end.

Secured Loans

The company has credit facilities with Axis Bank Ltd. Borrowings under these facilities are secured against the company's property at Kolkata and its book debts. During the year, the Company has fully repaid the term loan of Rs. 20.00 million that it had availed from Axis Bank Ltd. to finance purchase of computer equipment. The borrowings as on March 31, 2008 stood at Rs. 58.79 million (Previous Period 67.34 million).

Fixed assets

During the year, the Company added Rs. 4.23 million (Previous Period Rs. 12.88 million) to its gross block of assets that included investments in computers and software of Rs. 2.61 million (Previous Period 11.73 million). The company also retired assets with a gross block of Rs. 6.06 million (Previous Period Rs 0.04. million).

Investments

As on March 31, 2008 the Company has four wholly owned operating subsidiaries - Mindteck USA Inc. and Infotech Consulting Inc., Mindteck Middle-East Ltd, Mindteck Software Malaysia Sdn Bhd and one dormant subsidiary, Mindteck BPO Services Pvt. Ltd. in India.

Effective 1st April 2008, consequent to the completion of the process of consolidation of all group companies under Mindteck India, the Company has also added Mindteck Singapore Pte. Ltd., Mindteck UK Ltd. and Primetech Solutions Inc. as its wholly owned operating subsidiaries and now has seven operating overseas subsidiaries in all.

Current Assets

Sundry debtors increased from Rs. 83.33 million as on March 31, 2007 to Rs. 141.25 million as on March 31, 2008. These debtors are considered good and realizable.

Cash and Bank Balances increased from Rs. 6.40 million to Rs.114.87 million. These balances include both rupee accounts and foreign currency accounts.

Advances are amounts paid in advance for value and services to be received in future. Advance income tax represents payments made towards current tax liability as well as refunds due for the previous years. Advances to staff are recoverable within a year.

Current liabilities and provisions

Current liabilities and provisions have increased from Rs. 37.77 million as on March 31, 2007 to Rs. 86.62 million as on March 31, 2008. Sundry creditors represent amounts payable to vendors for the supply of goods and services. Provision for taxation represents estimated income tax liabilities.

In compliance with the Accounting Standard 22 issued by the Institute of Chartered Accountants of India, the company has not recognized any deferred tax assets/ liabilities. In fact the timing difference relating mainly to depreciation and unabsorbed losses results in a Net Deferred Asset and has not been recognized as a measure of prudence.

H Results of operations

Income

Income from operations for the year was Rs. 325.06 million against Rs. 235.73 million recorded in the previous year which represents a growth rate in income of 38 %.

The company's revenues are generated principally from offshore software development services. These services are delivered either on a fixed price basis or on a time and materials basis.

Expenditure

The manpower cost for the year was Rs. 179.36 million as against Rs. 136.89 million in the previous year. As a percentage of revenue, manpower costs have reduced to 55.18 % from 58.07% during the previous year. Manpower costs consist of salaries paid to employees in India and include overseas staff expenses. Consultancy charges represent the cost of sub-contractors used for software development activities.

The operational and administrative expense for the year was Rs 118.17 million, after excluding Rs. 2.01 million (appr) of non-operating rent, as compared to Rs. 77.95 million incurred in the previous year.

The finance expenses reduced from Rs. 8.14 million in the previous year to Rs. 6.88 million for the year ended March 31, 2008.

The company provided Rs.14.92 million for depreciation compared to Rs. 8.92 million that was provided in the previous year.

The company has made a provision for current tax of Rs. 34.01 million and fringe benefit tax of Rs. 1.31 million for the year ended March 31, 2008.

Other Income

Other income earned was Rs. 31.36 million against Rs. 19.85 million earned in the previous year. Other income includes interest received on deposits with banks and from subsidiary on overdue receivables, rental income received, exchange difference, reversal of excess provision of earlier years and other miscellaneous income.

Net Profit

Net profit for the year amounted to Rs. 28.94 million as against Rs. 22.65 million recorded in the previous year.

Liquidity

The liquidity of the company was comfortable throughout the year

I Human Resources

The endeavor of your Company's human resources function has been to align employees to the business goals and at the same time foster employees' interest. Mindteck introduced a comprehensive Employee Group Health Insurance Program to all its employees in India. It also introduced a number of Certification and Professional Development Programs as part of its training initiatives. Mindteck plans to further strengthen its employee training initiatives in the coming year.

The total number of employees increased from 222 as on March 31, 2007 to 350 as on March 31, 2008. Mindteck has initiated several programs and schemes during this year to create a strong brand image. These programs and schemes are expected to help in attracting the best talents and grooming them within the company.

On behalf of the Board of Directors

Satish Menon
Chairman

Bangalore
June 28, 2008

UK

Mindteck has a significant presence and customer base in United Kingdom. This was the first European destination for Mindteck.

Auditors' Report

TO THE MEMBERS OF MINDTECK (INDIA) LIMITED

1. We have audited the attached Balance Sheet of Mindteck (India) Limited ('the Company') as at March 31, 2008, the Profit and Loss account and the Cash Flow Statement of the Company for the year ended on that date annexed thereto. These financial statements are the responsibility of the Company's Management. Our responsibility is to express an opinion on these financial statements based on our audit.

2. We conducted our audit in accordance with the auditing standards generally accepted in India. These Standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audit provides a reasonable basis for our opinion.

3. As required by the Companies (Auditor's Report) Order, 2003 ('the Order'), as amended, issued by the Ministry of Corporate Affairs in terms of sub-section (4A) of Section 227 of the Companies Act, 1956 ('the Act'), we enclose in the Annexure, a statement on the matters specified in paragraphs 4 and 5 of the said Order.

4. Further to our comments in the Annexure referred to above, we report that:

   (a) we have obtained all the information and explanations, which to the best of our knowledge and belief were necessary for the purposes of our audit;

   (b) in our opinion, proper books of account as required by law have been kept by the Company so far as appears from our examination of those books;

   (c) the Balance Sheet, Profit and Loss account and cash flow statement dealt with by this report are in agreement with the books of account;

   (d) in our opinion, the Balance Sheet, Profit and Loss account and cash flow statement dealt with by this report comply with the accounting standards prescribed by the Companies (Accounting Standards) Rules, 2006, to the extent applicable;

   (e) on the basis of written representations received from the directors, as at March 31, 2008 and taken on record by the Board of Directors, we report that none of the directors is disqualified as at March 31, 2008 from being appointed as a director in terms of clause (g) of sub-section (1) of Section 274 of the Companies Act on the said date; and

   (f) in our opinion and to the best of our information and according to the explanations given to us, the said accounts give the information required by the Act, in the manner so required, and give a true and fair view in conformity with the accounting principles generally accepted in India:

      (i) in the case of the Balance Sheet, of the state of affairs of the Company as at March 31, 2008;

      (ii) in the case of the Profit and Loss account, of the profit of the Company for the year ended on that date; and

      (iii) in the case of the Cash Flow Statement, of the cash flows of the Company for the year ended on that date.

for **BSR & Company**
Chartered Accountants

Supreet Sachdev
Partner
Membership No. 205385

Bangalore
June 28, 2008

Annexure to the Auditors' Report

The Annexure referred to in paragraph 1 of the Auditors' Report to the members of Mindteck (India) Limited on the financial statements for the year ended March 31, 2008. We report that:

1. (a) The Company has maintained proper records showing full particulars, including quantitative details and situation of fixed assets.

   (b) The Company has a regular programme of physical verification of its fixed assets by which all fixed assets are verified in a phased manner over a period of three years. In our opinion, this periodicity of physical verification is reasonable having regard to the size of the Company and the nature of its assets. No material discrepancies were noticed on such verification.

   (c) Fixed assets disposed of during the year were not substantial, and therefore, do not affect the going concern assumption.

2. The Company is a service company, primarily rendering Software and IT-enabled services. Accordingly it does not hold any physical inventories. Thus, paragraph 4(ii) of the Order is not applicable.

3. The Company has neither granted nor taken any loans, secured or unsecured, to or from companies, firms or other parties covered in the register maintained under Section 301 of the Companies Act, 1956.

4. In our opinion and according to the information and explanations given to us, there is an adequate internal control system commensurate with the size of the Company and the nature of its business with regard to purchase of fixed assets and with regard to the sale of services. The activities of the Company do not involve purchase of inventory and the sale of goods. We have not observed any major weakness in the internal control system during the course of the audit.

5. (a) In our opinion and according to the information and explanations given to us, the particulars of contracts or arrangements referred to in Section 301 of the Companies Act, 1956 have been entered in the register required to be maintained under that section.

   (b) In our opinion, and according to the information and explanations given to us, the transactions made in pursuance of contracts and arrangements referred to in (a) above and exceeding the value of Rs 5 lakh with any party during the year have been made at prices which are reasonable having regard to the prevailing market prices at the relevant time.

6. The Company has not accepted any deposits from the public.

7. In our opinion, the Company has an internal audit system commensurate with the size and nature of its business.

8. The Central Government has not prescribed the maintenance of cost records under Section 209(1)(d) of the Companies Act, 1956 for any of the services rendered by the Company.

9. (a) According to the information and explanations given to us and on the basis of our examination of the records of the company, amounts deducted/ accrued in the books of account in respect of undisputed statutory dues including Provident Fund, Employees' State Insurance, Income-Tax, Service Tax and other material statutory dues have been generally regularly deposited during the year by the Company with the appropriate authorities. According to the information and explanations given to us, there are no dues on account of Wealth Tax, Sales-Tax, Customs duty, Excise duty and Investor Education and Protection Fund.

   According to the information and explanations given to us, no undisputed amounts payable in respect of Provident Fund, Employees' State Insurance, Income Tax, Service Tax and other material statutory dues were in arrears as at March 31, 2008 for a period of more than six months from the date they became payable. As explained to us, the Company did not have any dues on account of Wealth Tax, Sales-Tax, Customs duty, Excise duty and Investor Education and Protection Fund.

   There were no dues on account of Cess under Section 441A of the Companies Act, 1956 since the aforesaid section has not yet been notified by the Central Government.

   (b) According to the information and explanations given to us, there are no dues of Income-Tax, Wealth Tax, Service Tax and Cess which have not been deposited with the appropriate authorities on account of any dispute.

10. The Company does not have any accumulated losses at the end of the financial year and has not incurred cash losses in the financial year and in the immediately preceding financial year.

11. In our opinion and according to the information and explanations given to us, the Company has not defaulted in repayment of dues to its bankers. The Company did not have any outstanding dues to any financial institutions or debenture holders during the year.

12. The Company has not granted any loans and advances on the basis of security by way of pledge of shares, debentures and other securities.

13. In our opinion and according to the information and explanations given to us, the Company is not a chit fund/ nidhi/mutual benefit fund/society.

14. According to the information and explanations given to us, the Company is not dealing or trading in shares, securities, debentures and other investments.

15. According to the information and explanations given to us, the Company has not given any guarantee for loans taken by others from banks or financial institutions.

16. In our opinion, the term loan has been applied for the purpose for which it was raised.

17. According to the information and explanations given to us and on an overall examination of the Balance Sheet of the Company, we are of the opinion that funds raised on short-term basis have not been used for long-term investment.

18. According to the information and explanations given to us, the Company has made preferential allotment of shares to parties covered in the register maintained under Section 301 of the Act. In our opinion, the price at which shares have been issued is not prejudicial to the interest of the Company.

19. The Company did not have any outstanding debentures during the year.

20. The Company has not raised any money by public issues.

21. According to the information and explanations given to us, no fraud on or by the Company has been noticed or reported during the course of our audit.

for **BSR & Company**
Chartered Accountants

Supreet Sachdev
Partner
Membership No. 205385

Bangalore
June 28, 2008

BALANCE SHEET AS AT 31ST MARCH 2008

	Schedule		As at March 31, 2008 Rupees	As at March 31, 2007 Rupees
SOURCES OF FUNDS				
SHAREHOLDERS' FUNDS				
Share capital	1		**209,748,800**	97,255,640
Share application money pending allotment			**10,803,489**	–
Reserves and surplus	2		**843,590,444**	121,478,748
			1,064,142,733	218,734,388
LOAN FUNDS				
Secured loans	3		**58,791,356**	67,342,834
TOTAL			**1,122,934,089**	**286,077,222**
APPLICATION OF FUNDS				
FIXED ASSETS	4			
Gross block		**92,553,633**		94,378,842
Less: Accumulated depreciation		**(55,677,878)**		(46,562,675)
Net block			**36,875,755**	47,816,167
INVESTMENTS	5		**811,268,106**	62,942,792
CURRENT ASSETS, LOANS AND ADVANCES				
Sundry debtors	6	**141,247,442**		83,328,009
Cash and bank balances	7	**114,865,389**		6,403,618
Loans and advances	8		**105,291,511**	123,356,381
			361,404,342	213,088,008
CURRENT LIABILITIES AND PROVISIONS				
Current liabilities	9		**67,008,816**	21,549,061
Provisions	10		**19,605,298**	16,220,684
Net current assets			**274,790,228**	175,318,263
TOTAL			**1,122,934,089**	**286,077,222**

Significant accounting policies and Notes to the accounts **16**

The schedules referred to above form an integral part of the balance sheet.

As per our report attached.

for **BSR & Company**
Chartered Accountants

Supreet Sachdev
Partner
Membership No. 205385

Bangalore
June 28, 2008

for **Mindteck (India) Limited**

Satish Menon
Chairman

Pankaj Agarwal
Managing Director

Guhan Subramaniam
Director

Vivek Malhotra
Director

P. Vidya Sagar
Company Secretary

Bangalore
June 28, 2008

PROFIT AND LOSS ACCOUNT FOR THE YEAR ENDED 31ST MARCH 2008

	Schedule	**Year ended March 31, 2008 Rupees**	Year ended March 31, 2007 Rupees
INCOME			
Income from software and IT-enabled services	**11**	**325,062,128**	235,726,348
Other income	**12**	**31,362,202**	19,852,094
TOTAL		**356,424,330**	**255,578,442**
EXPENDITURE			
Manpower costs	**13**	**179,357,603**	136,882,982
Operating and administration expenses	**14**	**120,177,864**	77,947,705
Finance charges	**15**	**6,875,524**	8,136,453
Depreciation	**4**	**14,923,253**	8,921,674
Miscellaneous expenditure written-off		**–**	30,560
TOTAL		**321,334,244**	231,919,374
Profit before taxation and prior period item		**35,090,086**	**23,659,068**
Prior period expenses, net	**16(20)**	**1,445,373**	–
Profit before taxation		**33,644,713**	23,659,068
Taxation			
- Current tax		**3,401,510**	–
- Fringe benefit tax		**1,306,726**	1,006,160
- Deferred tax	**16(6)**	**–**	–
Profit after taxation		**28,936,477**	22,652,908
Balance in profit and loss account brought forward		**22,696,568**	12,286,026
Less:Transitional provision as per revised AS 15		**–**	863,942
Amount available for appropriation		**51,633,055**	34,074,992
Appropriation :			
General Reserve			
Dividend		**10,711,939**	9,725,564
Corporate dividend tax		**1,820,494**	1,652,860
Add effect of consolidation of the Mindteck Employees welfare Trust		**1,375,119**	
Balance in profit and loss account carried forward		**40,475,731**	22,696,568
Earnings Per Share ('EPS')	**16(15)**		
(Equity shares, par value Rs 10 each)			
- Basic		**2.52**	2.33
- Diluted		**2.49**	2.26
Weighted average number of shares used in computing earnings per share			
- Basic		**11,500,465**	9,725,564
- Diluted		**11,631,808**	10,016,864

Significant accounting policies and Notes to the accounts **16**

The schedules referred to above form an integral part of the profit and loss account.

As per our report attached.

for **BSR & Company**
Chartered Accountants

Supreet Sachdev
Partner
Membership No. 205385

Bangalore
June 28, 2008

for **Mindteck (India) Limited**

Satish Menon
Chairman

Pankaj Agarwal
Managing Director

Guhan Subramaniam
Director

Vivek Malhotra
Director

P. Vidya Sagar
Company Secretary

Bangalore
June 28, 2008

Germany

Germany is an important customer location for Mindteck's engineering services business. The Company has recently started its operation in this country.

SCHEDULES ANNEXED AND FORMING PART OF THE BALANCE SHEET AS AT 31ST MARCH 2008

	As at March 31, 2008 Rupees	As at March 31, 2007 Rupees
SCHEDULE - 1		
SHARE CAPITAL		
Authorised Capital		
28,000,000 (previous year 15,000,000) Equity Shares of Rs 10/- each	**280,000,000**	150,000,000
500,000 (previous year 500,000) Cumulative, Non-Convertible,Redeemable Preference Shares of Rs 100/- each	**50,000,000**	50,000,000
TOTAL	**330,000,000**	200,000,000
ISSUED, SUBSCRIBED AND PAID-UP CAPITAL		
21,390,880 (previous year 9,725,564) Equity Shares of Rs 10/- each fully paid up	**213,908,800**	97,255,640
Less : 4,16,000 Equity Shares of Rs. 10/- each fully paid up held by the Mindteck Employees Welfare Trust (Refer Schedule 16 (5B))	**(4,160,000)**	–
Of the above, 1. 251,680 (previous year 251,680) Equity Shares of Rs 10/- each are allotted as fully paid-up for consideration other than cash to the shareholders of erstwhile Nicco Infotech Ltd pursuant to the amalgamation. 2. 2,850,000 (previous year 2,850,000) Equity Shares of Rs 10/- each are allotted as fully paid-up for consideration other than cash to the shareholders of erstwhile Infotech Holdings Inc. pursuant to the acquisition. 3. 7,800,000 (previous year nil) Equity Shares of Rs 10/- each are allotted as fully paid-up for consideration other than cash to the shareholders of ICI Tech Holdings Inc. pursuant to the acquisition. [Refer schedule 16(3)] 4 a. 13,977,257 (previous year 7,377,257) Equity Shares of Rs. 10/- each fully paid are held by Embtech Holding Limited, Mauritius the holding company. b. 261,747 (previous year 261,747) Equity Shares of Rs. 10/- each fully paid are held by Infotech Ventures Ltd. The ultimate holding company is Transcompany Limited, British Virgin Islands.		
TOTAL	**209,748,800**	**97,255,640**
SCHEDULE - 2		
RESERVES AND SURPLUS		
Capital Reserve	**35,689,935**	35,689,935
Securities Premium		
At the commencement of the year	**63,092,246**	63,092,246
Less: Premium of issue on Equity Shares to the Mindteck Employees Welfare Trust (Refer Schedule 16 (5b))	**(36,240,000)**	–
	26,852,246	**63,092.246**
Additions during the year		
-On issue of Equity Shares under the Option Scheme 2005[Refer Schedule 16(5)]	**406,700**	–
-On preferential issue of Equity Shares [Refer Schedule 16(3)]	**740,165,832**	–
	767,424,778	**63,092,246**
General Reserve		
At the commencement of the year	**–**	500,000
Less: Transitional provision as per revised AS - 15	**–**	500,000
	–	**–**
Balance in the Profit and Loss Account	**40,475,731**	22,696,568
TOTAL amount carried forward to Balance Sheet	**843,590,444**	**121,478,748**

SCHEDULES ANNEXED AND FORMING PART OF THE BALANCE SHEET AS AT 31ST MARCH 2008

	As at March 31, 2008 Rupees	As at March 31, 2007 Rupees
SCHEDULE - 3		
SECURED LOANS		
From a Scheduled Bank		
- Cash credit facilities	**58,791,356**	52,160,920
[Secured by equitable mortgage of property at Kolkata, charge on the fixed assets of the Company, fixed deposits aggregating to Rs 5,000,000 (previous year Rs 5,000,000) with lien marked in favour of the bank].		
- Term loan	**–**	15,181,914
[Secured by exclusive charge on the assets created out of the term loan, equitable mortgage of property at Kolkata, charge on the fixed assets of the Company, fixed deposits aggregating to Rs Nil (previous year Rs 5,000,000) with lien marked in favour of the bank].		
TOTAL	**58,791,356**	**67,342,834**

SCHEDULE 4

FIXED ASSETS

(Amount in Rupees)

ASSETS	GROSS BLOCK				ACCUMULATED DEPRECIATION				NET BLOCK	
	As at April 1, 2007 the year	Additions Adjustments during the	Deletions	As at March 31, 2008	As at April 1, 2007	Charge for the year	Deletions during the year	As at March 31, 2008	As at March 31, 2008	As At March 31, 2007
INTANGIBLE ASSETS:										
GOODWILL (arising on acquisition)	7,000,000	–	–	7,000,000	2,800,000	1,400,000	–	4,200,000	2,800,000	4,200,000
Computer software	16,629,930	1,902,560	–	18,532,490	10,913,945	2,390,720	–	13,304,665	5,227,825	5,715,985
TANGIBLE ASSETS:										
Computer equipment	45,118,819	712,356	3,649,228	42,181,947	26,704,794	4,337,472	3,647,516	27,394,750	14,787,197	18,414,025
Office equipments	9,743,258	632,001	–	10,375,259	2,164,508	3,811,608	–	5,976,116	4,399,143	7,578,750
Furniture and Fixtures	5,730,315	322,124	2,408,966	3,643,473	2,645,240	2,826,687	2,389,858	3,082,069	561,404	3,085,075
Buildings	10,156,520	–	–	10,156,520	1,334,188	166,005	–	1,500,193	8,656,327	8,822,332
Leasehold improvements	–	663,944	–	663,944	–	220,085	–	220,085	443,859	–
TOTAL	**94,378,842**	**4,232,985**	**6,058,194**	**92,553,633**	**46,562,675**	**15,152,577***	**6,037,374**	**55,677,878**	**36,875,755**	**47,816,167**
Previous year	81,538,692	12,880,250	40,100	94,378,842	37,659,200	8,921,674	18,200	46,562,675	47,816,167	

* Includes depriciation charged relating to the previous yearRs. 229,324, (refer Schedule 16 (20))

SCHEDULES ANNEXED AND FORMING PART OF THE BALANCE SHEET AS AT 31ST MARCH 2008

		As at March 31, 2008 Rupees	As at March 31, 2007 Rupees
SCHEDULE - 5			
INVESTMENTS			
Long term, unquoted (at cost)			
In shares of Wholly Owned Subsidiaries (non-trade)			
(1) 1,000 (previous year 433) Common Stock of $ 5,000 Par Value of Mindteck USA Inc, USA (formerly known as Mindteck Consulting Inc.)		**170,313,709**	57,596,220
(2) 500 (previous year 500) Common Stock of BD 100 Par Value of Mindteck Middle East SOC		**1,830,360**	1,830,360
(3) 50,000 (previous year 50,000) Equity Shares of Rs 10/- Par Value of Mindteck BPO India Pvt. Ltd.		**500,000**	500,000
(4) 250,000 (previous year 250,000) Common Stock of MR 1 Par Value of Mindteck Software Malaysia SDN. BHD		**3,016,212**	3,016,212
(5) 8,750 (previous year nil) Common Stock of $ 0.01 Par Value of ICI Tech Holdings Inc, USA (Refer Schedule 16 (3))		**635,607,825**	–
TOTAL		**811,268,106**	**62,942,792**
SCHEDULE - 6			
SUNDRY DEBTORS			
(Unsecured)			
Debts outstanding for a period exceeding six months			
Considered good	**11,735,487**		583,921
Considered doubtful	**1,425,027**		1,425,027
		13,160,514	2,008,948
Others Debts			
Considered good		**129,511,955**	82,744,088
		142,672,469	84,753,036
Less : Provision for doubtful debts		**(1,425,027)**	(1,425,027)
TOTAL		**141,247,442**	**83,328,009**
The above includes the following amounts due from companies under the same management:			
- Mindteck UK Ltd.		**18,244,668**	4,622,214
- Mindteck Singapore Pte Ltd.		**3,747,642**	–
SCHEDULE - 7			
CASH AND BANK BALANCES			
Cash in hand		**62,049**	7,036
Balances with Scheduled Banks:			
- In current accounts [Also refer Schedule 16(3)]		**43,828,232**	650,642
- In deposit accounts [Also refer Schedule 16(3)]		**65,975,108**	585,397
- In margin money account		**5,000,000**	5,160,543
TOTAL		**114,865,389**	**6,403,618**

SCHEDULES ANNEXED AND FORMING PART OF THE BALANCE SHEET AS AT 31ST MARCH 2008

	As at March 31, 2008 Rupees	As at March 31, 2007 Rupees
SCHEDULE - 8		
LOANS AND ADVANCES		
(Unsecured, considered good, unless otherwise stated)		
Advances recoverable in cash or kind or for value to be received		
- Mindteck Employees Welfare Trust [Refer Schedule 16(5B)]	**–**	40,113,982
- Due from holding & subsidiaries	**9,836,405**	37,869,318
- Advances to Employees	**3,664,206**	1,176,042
- Prepaid expenses	**5,757,472**	3,444,071
- Other advances	**8,147,397**	6,681,923
Advance income tax and tax deducted at source	**9,574,734**	6,081,450
[Net of provision for tax Rs 4,569,990 (previous year Rs 1,325,000)]		
Deposits - with government bodies	**572,923**	491,120
Deposits - others	**52,506,066**	27,498,475
Unbilled revenue	**13,624,913**	–
Advance for additional investment in Mindteck USA Inc., USA, Subsidiary Company	**1,607,395**	–
TOTAL	**105,291,511**	**123,356,381**
The above includes the following amounts due from companies under the same management:		
- Mindteck UK Ltd..	**2,630,710**	571,661
[maximum amount outstanding at any time during the year]	**2,630,710**	1,421,004
- Mindteck Singapore Pte Ltd.	**2,075,514**	3,903,602
[maximum amount outstanding at any time during the year]	**3,903,602**	4,103,832
-Primetech Solutions Inc.,	**219,223**	–
[maximum amount outstanding at any time during the year]	**225,844**	–
SCHEDULE - 9		
CURRENT LIABILITIES		
Sundry Creditors [Refer schedule 16 (17)]	**29,258,903**	15,619,430
Due to subsidiary	**1,134,000**	1,295,914
Deposits	**23,218,128**	828,200
Unclaimed dividends	**462,939**	378,641
Unearned Income	**5,918,850**	–
Others liabilities	**7,015,996**	3,426,876
TOTAL	**67,008,816**	**21,549,061**
SCHEDULE - 10		
PROVISIONS		
Provision for Leave Encashment	**4,076,237**	2,879,363
Provision for Gratuity	**2,226,568**	1,162,139
Provision for Income Taxes	**772,291**	772,291
[Net of Advance Tax Rs 498,991 (previous year Rs 498,991)]		
Provision for Fringe Benefit Tax	**17,072**	28,467
[Net of Advance Tax Rs 1,400,000 (previous year Rs 977,693)]		
Proposed Dividend	**10,695,440**	9,725,564
Provision for Corporate Dividend Tax	**1,817,690**	1,652,860
TOTAL	**19,605,298**	**16,220,684**

SCHEDULES ANNEXED AND FORMING PART OF THE PROFIT AND LOSS ACCOUNT FOR THE YEAR ENDED 31ST MARCH 2008

	As at March 31, 2008 Rupees	As at March 31, 2007 Rupees
SCHEDULE - 11		
INCOME FROM SOFTWARE AND IT-ENABLED SERVICES		
Income from Software Services		
- Domestic [tax deducted at source Rs 5,37,178 (Previous year Rs 141,117)]	**4,962,692**	2,240,305
- Exports	**279,559,062**	233,486,043
Income from IT-enabled services	**40,540,374**	–
TOTAL	**325,062,128**	**235,726,348**
SCHEDULE - 12		
OTHER INCOME		
Interest		
- From banks [(tax deducted at source Rs 389,522 (previous year Rs 84,812)]	**1,945,508**	377,946
- From subsidiary company	**8,782,335**	2,330,623
Interest on income tax refund	**126,469**	–
Rental income [tax deducted at source Rs 44,96,013 (previous year Rs 127,688)]	**19,936,068**	828,180
Profit on sale of fixed assets, net	**571,675**	–
Dividend Income	**–**	16,310,569
Miscellaneous Income	**147**	4,776
TOTAL	**31,362,202**	**19,852,094**
SCHEDULE - 13		
MANPOWER COSTS		
Salaries and Allowances	**161,045,161**	122,037,473
Contribution to provident and other funds	**8,313,901**	7,085,701
Staff welfare expenses	**1,979,844**	4,731,625
Consultancy charges	**8,018,697**	3,028,182
TOTAL	**179,357,603**	**136,882,982**
SCHEDULE - 14		
OPERATING AND ADMINISTRATION EXPENSES		
Rent and hiring charges	**57,447,298**	32,374,063
Provision for doubtful debts/bad debts	**–**	736,540
Rates and taxes	**4,138,031**	2,978,502
Insurance premium	**1,532,476**	704,029
Communication expenses	**5,824,034**	5,209,222
Electricity	**7,292,214**	4,396,378
Travelling expenses	**12,596,047**	13,204,331
Repairs and maintenance-others	**5,058,058**	3,239,118
Professional charges	**5,410,997**	3,077,189
Remuneration to non-executive directors	**544,352**	515,960
Remuneration to auditors	**1,617,244**	1,006,541
Printing and stationery	**922,544**	992,201
Membership and subscription	**1,088,378**	1,420,471
Recruitment expenses	**714,955**	2,037,311
Loss on sale fixed asset, net	**–**	18,351
Foreign exchange loss, net	**11,048,728**	845,894
Miscellaneous expenses	**4,942,508**	5,191,604
TOTAL	**120,177,864**	**77,947,705**
SCHEDULE - 15		
FINANCE CHARGES		
Interest on cash credit	**5,027,038**	5,069,431
Interest on term loan	**1,623,612**	1,642,270
Bank charges	**224,874**	1,424,752
TOTAL	**6,875,524**	**8,136,453**

SCHEDULE 16

SIGNIFICANT ACCOUNTING POLICIES AND NOTES TO THE ACCOUNTS

1. BACKGROUND

Mindteck (India) Limited ('Mindteck' or 'the Company') was incorporated to render engineering and IT services to customers across various countries. Mindteck's core offerings are in product engineering in the embedded space, SAP implementation and professional consulting.

In the embedded space, Mindteck renders electronics design, firmware and software in key vertical areas of analytical instruments, semiconductor fab equipments, medical instruments and in high end storage products segment. The SAP practice provides services in the areas of implementation, roll outs, application integration and support, upgrades and data archival. These services are focused in the discrete manufacturing, construction, oil & gas and consumer products sector. Mindteck offers a broad range of professional consulting services for custom application development, application management, re-engineering, validation and verification across the spectrum.

Through IT-enabled services, the Company provides employee support to other organizations.

Mindteck is head quartered in Bangalore with offices in Gurgaon and Hyderabad, and has a 100% Export Oriented Unit at Kolkata set up under the Software Technology Park (STP) Scheme of the Government of India. Mindteck has subsidiaries in United States of America, Malaysia, Bahrain and India.

2. SIGNIFICANT ACCOUNTING POLICIES

2.1. Basis of Preparation of Financial Statements

The financial statements are prepared in accordance with Generally Accepted Accounting Principles ('GAAP') in India under the historical cost convention on the accrual basis of accounting. GAAP comprises mandatory accounting standards as specified in the Companies (Accounting Standards) Rules, 2006, the provisions of the Companies Act, 1956, guidelines issued by the Securities and Exchange Board of India and other pronouncements of the Institute of Chartered Accountants of India, to the extent applicable. Accounting policies have been consistently applied except where a newly issued accounting standard is initially adopted or a revision to an existing accounting standard requires a change in accounting policy hitherto in use.

2.2 Use of Estimates

The preparation of financial statements in conformity with the GAAP in India requires management to make estimates and assumptions that affect the reported amounts of income and expenses for the year, assets and liabilities and disclosures relating to contingent liabilities as on the date of the financial statements. Actual results could differ from those estimates. Any revision to accounting estimates is recognised prospectively in current and future periods.

2.3 Fixed Assets

Fixed assets are carried at cost of acquisition (including directly attributable costs such as freight, installation, etc.) or construction less accumulated depreciation. Borrowing costs directly attributable to acquisition or construction of those fixed assets, which necessarily take a substantial period of time to get ready for their intended use, are capitalised. Acquired intangible assets are recorded at the cost of acquisition.

Advances paid towards the acquisition of fixed assets outstanding at each balance sheet date and the cost of fixed assets not ready for their intended use on such date, are disclosed under capital work-in-progress.

Depreciation is provided on the straight-line method. The rates specified under Schedule XIV of the Companies Act, 1956 are considered as the minimum rates. If the management's estimate of the useful life of a fixed asset at the time of the acquisition of the asset, or of the remaining useful life on a subsequent review, is shorter than envisaged in the aforesaid Schedule, depreciation is provided at a higher rate based on the management's estimate of the useful life/remaining useful life. Pursuant to this policy, the management has estimated the useful life of fixed assets as under:

Asset classification	Useful life
Computer equipment	6 years
Office equipment	5 years
Furniture and fixtures	5 years
Buildings	58 years

Leasehold improvements are amortised over the lease term or the estimated useful life of assets whichever is shorter.

Significant purchased application software that is an integral part of the Company's computer systems, expected to provide lasting benefits, is capitalised and amortised on the straight-line method over its estimated useful life or six years whichever is shorter.

Fixed assets individually costing Rs 5,000 or less are fully depreciated in the year of purchase/ installation.

Pro-rata depreciation is provided on all fixed assets purchased and sold during the year.

2.4 Investments

Long-term investments are carried at cost less provision for any diminution, other than temporary, in the value of such investments determined on a specific identification basis. Current investments are valued at the lower of cost (determined on specific identification basis) and fair market value. The comparison of cost and fair market value is carried out separately in respect of each investment.

The cost of investment includes acquisition charges such as brokerage, fees and duties.

The acquisition cost of investment acquired, or partly acquired by the issue of shares or other securities, is the fair value of the securities issued which, in appropriate cases, may be indicated by the issue price as determined by the statutory authorities.

Profit or loss on sale of investments is determined separately for each investment.

2.5 Retirement Benefits

Gratuity, a defined benefit, is accrued based on an actuarial valuation at the balance sheet date, carried out by an independent actuary. The Company has an employees' gratuity fund managed by the Life Insurance Corporation of India ('LIC'). Provision for gratuity liabilities, pending remittance to the fund, is carried in the balance sheet. Actuarial gains and losses are charged to profit and loss account.

Leave encashment, a defined benefit, is accrued based on an actuarial valuation at the balance sheet date, carried out by an independent actuary. The Company accrues for the expected cost of short-term compensated absences in the period in which the employee renders services.

Contributions paid / payable to the recognised provident fund, a defined contribution, are charged to the profit and loss account.

2.6 Revenue Recognition

The Company derives its revenues primarily from Software and IT-enabled services provided primarily to related parties. Revenue from software services on a time-and-material basis is recognised upon performance of services and at the agreed contractual rates. Revenue from fixed price contracts is recognised using the percentage completion method determined by relating the actual cost incurred to date to the estimated total cost of the contract. Provision for estimated losses, if any, on incomplete contracts are recorded in the year in which such losses become probable based on the current contract estimates.

Revenue from IT-enabled services is recognised as the related services are performed, in accordance with the specific terms of the contract with the customers.

Unbilled revenue represents earnings in excess of billings while unearned income represents billings in excess of earnings.

Revenues are stated net of discounts, expenses billed to customers and any applicable duties or taxes.

Dividend income is recognised when the right to receive payment is established.

Interest income is recognised using the time proportion method, based on the transactional interest rates.

2.7 Foreign Exchange Transactions

Foreign exchange transactions are recorded using the exchange rates prevailing on the dates of the respective transactions. Exchange differences arising on foreign exchange transactions settled during the year are recognised in the profit and loss account for the year.

Monetary assets and liabilities denominated in foreign currencies as at the balance sheet date are translated at the closing exchange rates on that date; the resultant exchange differences are recognised in the profit and loss account. Non-monetary items which are carried in terms of historical cost denominated in a foreign currency are reported using the exchange rate at the date of the transaction.

In respect of forward contracts entered into to hedge foreign exchange risk of firm commitments or highly probable forecasted transactions, AS-11, The Effects of Changes in Foreign Exchange Rates, is currently not applicable to exchange differences arising from such forward contracts. The premium or discount of such contracts is amortised over the life of the contract in accordance with AS-11. In respect of forward contracts that relate to foreign currency assets or liabilities at the balance sheet date, the proportionate premium or discount is recognized in the profit and loss account. The exchange difference measured by the change in exchange rate between the inception date of the contract and the balance sheet date is recognized in the profit and loss account. Any profit or loss arising on cancellation or renewal of forward exchange contracts is recognised as income or as expense for the year.

2.8 Provision and Contingent Liabilities

The Company creates a provision when there is a present obligation as a result of a past event that probably requires an outflow of resources and a reliable estimate can be made of the amount of the obligation. Provisions are not discounted to their present value and are determined based on best estimate required to settle the obligation at the balance sheet date. These are reviewed at each balance sheet date and adjusted to reflect the current best estimates. A disclosure for a contingent liability is made when there is a possible obligation or a present obligation that may, but probably will not, require an outflow of resources. When there is a possible obligation or a present obligation in respect of which the likelihood of outflow of resources is remote, no provision or disclosure is made.

Provisions for onerous contracts, i.e. contracts where the expected unavoidable costs of meeting the obligations under the contract exceed the economic benefits expected to be received under it, are recognised when it is probable that an outflow of resources embodying economic benefits will be required to settle a present obligation as a result of an obligating event, based on a reliable estimate of such obligation.

2.9 Taxation

The current income tax charge is determined in accordance with the relevant tax regulations applicable to the Company. Deferred tax charge or credit is recognised for the future tax consequences attributable to timing difference that result between the profit offered for income taxes and the profit as per the financial statements. Deferred tax in respect of timing differences which originate during the tax holiday period but reverse after the tax holiday period is recognised in the year in which the timing difference originates. For this purpose, the timing differences which originate first are considered to reverse first. The deferred tax charge or credit and the corresponding deferred tax liabilities or assets are recognised using the tax rates that have been enacted or substantively enacted by the balance sheet date. Deferred tax assets are recognised only to the extent there is reasonable certainty that the assets can be realised in future; however, when there is a brought forward loss or unabsorbed depreciation under taxation laws, deferred tax assets are recognised only if there is virtual certainty of realisation of such assets. Deferred tax assets are reviewed at each balance sheet date and written down or written up to reflect the amount that is reasonably/virtually certain to be realised.

The Company offsets, on a year on year basis, the current tax assets and liabilities, where it has a legally enforceable right and where it intends to settle such assets and liabilities on a net basis.

2.10 Fringe Benefit Tax

Consequent to the introduction of Fringe Benefit Tax ('FBT') effective April 1, 2005, in accordance with the guidance note on accounting for fringe benefits tax issued by the Institute of Chartered Accountants of India ('ICAI'), the Company has made provision for FBT under income taxes.

The Finance Act, 2007 has introduced Fringe Benefit Tax (FBT) on employee stock options. The Company recovers such FBT from employees, upon the exercise of the stock options. The FBT liability and related recovery is recorded at the time of exercise of options in the profit and loss account.

2.11 Earnings Per Share

In determining the earning per share, the net profit after tax is divided by the weighted average number of shares outstanding during the year. The number of shares used in computing diluted earning per share comprises the weighted average number of shares considered for deriving basic earning per share and also the weighted average number of equity shares that could have been issued on the conversion of all dilutive potential equity shares. Dilutive potential equity shares are deemed converted as of the beginning of the period unless issued at a later date. In computing dilutive earning per share, potential equity shares that are dilutive i.e. which reduces earnings per share or increases loss per share are included.

The weighted average number of equity shares held by the Mindteck Employees Welfare Trust is reduced from the equity shares outstanding in computing basic and diluted earnings per share.

2.12 Goodwill

Goodwill has been recorded to the extent the cost of acquisition of the business, comprising purchase consideration and transaction costs, exceeds the value of net assets acquired. Goodwill is amortized over its useful life of five years, assessed at each year end (also refer 2.12 below).

2.13 Impairment of Assets

The Company assesses, at each balance sheet date, whether there is any indication that an asset (including goodwill) may be impaired. If any such indications exist, the Company estimates the recoverable amount of the asset. For an asset that does not generate largely independent cash inflows, the recoverable amount is determined for the cash-generating unit to which the asset belongs. If such recoverable amount of the asset or the recoverable amount of the cash generating unit to which the asset belongs is less than its carrying amount, the carrying amount is reduced to its recoverable amount. The reduction is treated as an impairment loss and is recognised in the profit and loss account. If at the balance sheet date there is an indication that a previously assessed impairment loss no longer exists, the recoverable amount is reassessed and the asset is reflected at the recoverable amount. An impairment loss is reversed only to the extent that the carrying amount of asset does not exceed the net book value that would have been determined; if no impairment loss had been recognised.

2.14 Employee Stock Options

The Company measures the compensation cost relating to employee stock options using the intrinsic value method. The compensation cost, if any, is amortised over the vesting period of the options.

3. a) Pursuant to the shareholder's approval at the Annual General Meeting held on September 28, 2007, the Company's Board of Directors ('the Board'), at their meeting held on October 13, 2007, allotted 800,377 equity shares at a price of Rs 73.54 per equity share to a financial investor, Banco Efisa S.A., a foreign bank, on a preferential basis. In this regard, the Company has obtained final listing approval from the Bombay Stock Exchange Ltd. for this preferential issue made to Banco Efisa S.A.

b) The Board at their meeting held on October 13, 2007 approved the acquisition of ICI Tech Holdings Inc., U.S.A., Chendle Holdings Ltd., British Virgin Islands, Mindteck Singapore Pte. Limited, Singapore and Mindteck UK Limited, United Kingdom ('Target Companies'). The acquisition of ICI Tech Holdings Inc. was approved by the shareholders of the Company vide a special resolution at the Extra-ordinary General Meeting held on November 30, 2007 and the acquisition of Chendle Holdings Ltd., British Virgin Islands, Mindteck Singapore Pte. Limited, Singapore and Mindteck UK Limited, United Kingdom was approved by the shareholders of the Company vide a special resolution at the Extra-ordinary General Meeting held on February 5, 2008.

The consideration for the acquisition of ICI Tech Holdings Inc., amounting to

USD 21,000,000 (Rs 827,547,000), has been be paid partly by cash [USD 1,500,000 (approximately Rs 59,247,000)] and partly by a fresh issue of the equity shares of the Company [7,800,000 equity shares of the Company at an agreed value of USD 2.50 (Rs 98.50) per equity share] to the shareholders of the ICI Tech Holdings Inc. The Board has also approved fresh issue of the equity shares of the Company to financial investors for the purpose of funding these acquisitions, repayment of existing loans and other specified purposes.

Pursuant to the above and after obtaining the requisite regulatory approvals, the Board at their meeting held on January 31, 2008 has simultaneously allotted, on a preferential basis, fresh equity shares to the shareholders of ICI Tech Holdings Inc. on a share swap basis and to financial investors for cash consideration. Accordingly, effective February 1, 2008, ICI Tech Holdings Inc. and its operating subsidiary Infotech Consulting Inc. have become wholly owned subsidiaries of the Company. The issue of 7,800,000 equity shares to the shareholders of ICI Tech Holdings Inc. described above, has been recorded at a price of Rs 73.54 per share, being the fair value of the equity shares issued, in accordance with the requirements of paragraph 10 of AS-13, 'Accounting for Investments'.

The simultaneous issue of 3,048,440 equity shares to financial investors has been made at a price of Rs 73.54 per equity share against which the Company has received Rs 224,182,278 from the financial investors.

As at March 31, 2008, the Company is in the process of acquiring remaining Target Companies.

c) Statement of Utilisation of the Preferential Issue proceeds as of March 31, 2008

Particulars	Amount in Rs
Amount raised through Preferential Issues	283,042,002
Deployment:	
- Cash consideration for acquiring ICI Tech Holdings Inc.	59,247,000
- For repayment of term loan	9,520,593
- Additional investment in wholly owned subsidiary, Mindteck USA Inc.	114,324,884
- Towards working capital	6,253,622
- Balance pending utilisation	
- in fixed deposit account	63,695,903
- in current account	30,000,000
TOTAL	**283,042,002**

4. In the current year, the Company has technically reassessed and revised the estimated useful life of certain categories of its fixed assets with effect from 1 April 2007. The revised estimated useful lives are set out below:

Description	Revised estimated useful lives (years)	Estimated life in the previous year (years)
Office equipment	5	20
Furniture and fixtures	5	15

The revised estimated useful life of assets has been disclosed in the significant accounting policies of the Company. In accordance with Accounting Standard (AS) 6- Depreciation accounting, the unamortized depreciable amount of assets is provided over the remaining useful life of assets. Consequent to such change, the depreciation for the year is higher and net profit for the year is lower by Rs 5,896,408 and the net block of fixed assets and the balance in the profit and loss account are lower by Rs 5,896,408.

5. **EMPLOYEE STOCK OPTIONS**

a) The Company has an Employee Share Incentive Scheme 2000 ('ESIS 2000') for the benefit of its employees administered through the Trust. The Trust, which was constituted for this purpose, subscribed to 416,000 equity shares renounced in its favour by the Company's promoters/ directors/in the Company's earlier Right Issue. These shares are to be distributed amongst the Company's employees, based on the recommendations made by the Company's Appraisal Committee. No equity shares have been distributed under the ESIS 2000 and therefore, no stock compensation expense has been recorded.

b) Consolidation of the Mindteck Employees Welfare Trust:

During March 2008, the Company has sought a legal opinion on consolidation of the Mindteck Employees Welfare Trust ('the Trust') in accordance with the SEBI (Employee Stock Option Scheme and Employee Stock Purchase Scheme) Guidelines, 1999 dated June 30, 2003 ('the Guidelines). The Company was advised that the financial statements of the Trust should be consolidated with the standalone financial statements of the Company. Accordingly, the Company has consolidated the financial statements of the Trust with its own stand alone financial statements to comply with the requirements of the Guidelines.

The investments in the equity shares of the Company held by the Trust has been reduced from the share capital and securities premium account. Further, the opening retained earnings of the Trust have been included with the opening retained earnings of the Company. Balances, other than inter-company, have been appropriately consolidated on a line by line basis.

c) During the year ended March 31, 2006, the Company introduced 'Mindteck Employees Stock Option Scheme 2005' ('the Option Scheme 2005') for the benefit of the employees, as approved by the Board of Directors in its meeting held on July 4, 2005 and the shareholders meeting held on July 29, 2005. The Option Scheme 2005 provides for the creation and issue of 500,000 options that would eventually convert into equity shares of Rs 10 each in the hands of the Company's employees. The options are to be granted to the eligible employees at the discretion of and at the exercise price determined by the Compensation Committee of the Board of Directors. The options vest annually in a graded manner over a three year period and are exercisable during a maximum period of 5 years from the date of vesting.

During the year ended March 31, 2008, the Company has granted 28,200 options on July 30, 2007 at an exercise price of Rs 62.05 per share and 218,700 options on February 4, 2008 at an exercise price of Rs 50.55 per share.

Option activity during the year and weighted average exercise price of stock options under the plan is given as below:

Particular	Year ended March 31, 2008		Year ended March 31, 2007	
	Number of options	**Weighted average exercise price (Rs)**	**Number of options**	**Weighted average exercise price (Rs)**
Options outstanding at the beginning of the year	**291,300**	**50.44**	235,317	63.85
Granted during the year	**246,900**	**51.86**	179,900	34.65
Exercised during the year	**16,499**	**34.65**	–	–
Forfeited during the year	**61,700**	**56.80**	123,917	52.99
Lapsed during the yea	–	–	–	–
Options outstanding at the end of the year	**460,001**	**50.92**	291,300	50.44
Options exercisable at the end of the year	**96,934**	**56.88**	52,500	63.85

Weighted average remaining contractual life of the options outstanding as at March 31, 2008 is 5.92 years (previous year 3.82 years).

The Company has accounted for the above options using the intrinsic value method. The exercise price has been determined at the closing price of the Company's shares traded on the Bombay Stock Exchange on the day prior to the date of grant of options and thus there is no stock compensation expense under the intrinsic value method for the options granted during the year.

The Guidance Note on 'Accounting for Employee Share-Based Payments' issued by the ICAI requires the disclosure of pro-forma net results and EPS, both basic and diluted, had the Company adopted the fair value approach described in the guidance note. Had the Company accounted for compensation cost under the fair value method, the reported profit for the year ended March 31, 2008 would have been Rs 24,139,882 (previous year Rs 21,086,859) i.e. lower by Rs 620,619 (previous year Rs 1,566,048) and the basic and diluted EPS for the year would have been Rs 2.10 and Rs 2.07 (previous year Rs 2.17 and Rs 2.11) respectively.

The fair value of stock based awards to employees is calculated through the use of option pricing models, requiring subjective assumptions which greatly affect the calculated values. The said fair value of the options have been calculated using Black-Scholes option pricing model, considering the expected term of the options to be 4 years, an expected dividend rate of 10 % on the underlying equity shares, volatility in the share price of 61-78 % and a risk free rate of 8 %. The Company's calculations are based on a single option valuation approach. The expected volatility is based on historical volatility of the share price during the period after eliminating the abnormal price fluctuations.

6. PROVISION FOR TAXATION

a) Provision for income tax for the year relates to income tax on taxable income under the provisions of Section 115JB of the Income Tax Act, 1961 relating to MAT.

b) Deferred taxes

Amount in Rs

Particulars	As at March 31, 2008	As at March 31, 2007
Deferred tax liability		
Excess of depreciation allowable under income tax law over depreciation provided in accounts	**(5,770,092)**	(8,883,305)
Deferred tax asset		
Carry forward losses restricted to the extent of deferred tax liability*	**5,770,092**	8,883,305
Net deferred tax asset / (liability)	**–**	–

*In view of unabsorbed depreciation and carry forward business losses under tax laws, the Company is unable to demonstrate virtual certainty as required by the Explanation in Accounting Standard 22 'Accounting for taxes on income'. Accordingly, no deferred tax asset has been recognized (except for to the extent of deferred tax liability) as there is no virtual certainty supported by convincing evidence that sufficient future taxable income will be available against which such deferred tax asset can be realized.

7. CONTINGENT LIABILITIES AND COMMITMENTS

a) Guarantees given by the Company's bankers as at March 31, 2008 is Rs 925,000 (previous year: Rs 925,000).

b) Estimated amount of contracts remaining to be executed on capital account (net of advances) and not provided for as at March 31, 2008 is nil (previous year: nil).

c) Claims against the Company not acknowledged as debt as at March 31, 2008 is nil (previous year: nil).

8. CIF VALUE OF IMPORTS:

Amount in Rs

	Year ended March 31, 2008	Year ended March 31, 2007
Capital goods	–	9,934,455
TOTAL	**–**	**9,934,455**

9. EXPENDITURE IN FOREIGN CURRENCY

Amount in Rs

	Year ended March 31, 2008	Year ended March 31, 2007
Foreign Travel	**12,367,714**	7,254,746
Project Expenses	**–**	301,162
Membership and Subscription	**376,188**	–
TOTAL	**12,743,902**	**7,555,908**

10. EARNINGS IN FOREIGN CURRENCY

Amount in Rs

	Year ended March 31, 2008	Year ended March 31, 2007
Export of software services	**274,463,385**	233,486,043
IT-enabled services	**40,540,374**	–
Dividend from foreign subsidiary	**–**	16,310,569
Interest from foreign subsidiary	**8,782,335**	2,330,623
TOTAL	**323,786,094**	**252,127,235**

11 MANAGERIAL REMUNERATION:

a) To Manager:

Amount in Rs

	Year ended March 31, 2008	Year ended March 31, 2007
Salary and allowances	**7,004,064**	5,626,709
Contribution to provident and other funds	**176,400**	133,406
TOTAL	**7,180,464**	**5,760,115**

Managerial remuneration does not include gratuity and compensated absences since these have been provided based on the actuarial valuation carried out by the Company as a whole.

b) To Non-executive directors:

Amount in Rs

	Year ended March 31, 2008	Year ended March 31, 2007
Remuneration to non-executive directors	544,352	515,960
Total	**544,352**	**515,960**

12. SEGMENT REPORTING

The Company's operations predominantly relate to providing Software and IT-enabled services which constitute the Company's two primary business segments. The Company has commenced the new line business of IT-enabled services from the current year. The Company considers the business segment as the primary segment and geographical segment based on the location of customers as the secondary segment.

The accounting principles consistently used in the preparation of the financial statements are also consistently applied to record income and expenditure in individual segments.

Income and direct expenses in relation to segments is categorised based on items that are individually identifiable to that segment, while the remainder of costs are apportioned on an appropriate basis. Certain expenses are not specifically allocable to individual segments as the underlying services are used interchangeably. The Company therefore believes that it is not practical to provide segment disclosures relating to such expenses and accordingly such expenses are separately disclosed as unallocable and directly charged against total income.

Segment assets, segment liabilities and fixed assets used in the Company's business have not been identified to any reportable segment, as these are used interchangeably between segments and hence management believes that it is currently not practical to provide segment disclosures relating to total carrying amount of segment assets, liabilities and fixed assets, since a meaningful segregation is not possible.

Business Segments

Amount in Rs

Profit and Loss Account for the year ended March 31, 2008	Software services	IT-enabled services	Total
Segment revenue	284,521,754	40,540,374	325,062,128
Operating expenses, net	148,130,267	11,135,764	159,266,031
Segment results	136,391,487	29,404,610	165,796,097
Unallocable expenses	_	_	155,192,689
Interest expense	_	_	6,875,524
Other income	_	_	31,362,202
Profit before taxation and prior period item	_	_	**35,090,086**
Prior period expenses, net			1,445,373
Taxation	_	_	4,286,582
Profit afterTaxation	_	_	**28,936,477**

Geographical Segments

Amount in Rs

Revenue	**Year ended March 31, 2008**	Year ended March 31,2007
- USA	**278451271**	221,886,766
- India	**4,962,692**	2,240,305
- Rest of the world	**41,648,165**	11,599,277
TOTAL	**325,062,128**	235,726,348

13. LEASES

Operating Leases

The Company leases office and residential facilities and certain equipment under operating lease arrangements.

Lease rental expense for office facilities under non-cancellable operating leases during the year ended March 31, 2008 amounted to Rs 53,805,710 (previous year Rs 29,577,284).

Future minimum lease payments under non-cancellable operating lease are set out below:

Amount in Rs

Lease Obligations	As at March 31, 2008	As at March 31, 2007
Payable not later than one year	59,169,169	28,557,348
Payable later than one year and not later than five years	61,647,770	53,028,618
Payable later than five years	–	–

Additionally, the Company leases office facilities, residential facilities and equipment under cancellable operating leases. The rental expense under cancellable operating leases during the year ended March 31, 2008 was 3,641,588 (previous year Rs 2,796,779).

Rental income from sub-leasing of office facilities during the year ended March 31, 2008 was Rs 19,936,068 (previous year Rs 828,180).

Finance Leases

The Company does not have any assets under finance lease.

14. RELATED PARTY TRANSACTIONS

a) Related parties where control exists :

The related parties where control exists are the holding companies (including ultimate and intermediary holding companies), subsidiaries and the Mindteck Employees Welfare Trust.

(i) Holding Companies

- Transcompany Ltd., British Virgin Islands (BVI) – Ultimate Holding Company
- Vanguard Investments Ltd., BVI – Intermediary Holding Company
- Mindteck Holdings Ltd., BVI - Intermediary Holding Company
- Business Holdings Ltd., BVI - Intermediary Holding Company
- Garrington Investments Ltd., BVI - Intermediary Holding Company
- Embtech Holdings Ltd., Mauritius - Holding Company

(ii) Subsidiaries

- Mindteck USA Inc., USA
- Mindteck BPO Services Pvt. Ltd., India
- Mindteck Software Malaysia SDN. BHD, Malaysia
- Mindteck Middle East Limited SOC, Kingdom of Bahrain
- ISS Consultants Inc., USA (merged with Mindteck USA Inc. w.e.f. May 31, 2007)
- ICI Tech Holdings Inc., USA [w.e.f. February 1, 2008]
- Infotech Consulting Inc., USA [w.e.f. February 1, 2008]

(iii) Mindteck Employee Welfare Trust ('MEWT')

b) Related parties where significant influence exists :

(i) Fellow subsidiaries

- Mindteck UK Limited, United Kingdom
- Mindteck Singapore Pte Limited, Singapore
- Primetech Solutions Inc., USA
- Infotech Consulting Inc., USA [upto January 31, 2008]
- Infotech Ventures Ltd. BVI

c) Key managerial personnel :

- Shankar Velayudhan – Manager
- M G Ved – Chairman and non-executive director (upto January 30, 2008)
- Satish Menon – Chairman and non-executive director (w.e.f January 31, 2008)
- Pankaj Agarwal - Non-executive director and investor
- Guhan Subramaniam - Non-executive director
- Vivek Malhotra – Non-executive director
- P. A. Ananthanarayanan - Chief Executive Officer and Manager (upto November 7, 2006)

Note:

Related party relationships have been identified by the management and relied upon by the auditors.

(d) Transaction with related parties for the year ended March 31, 2008:

Amount in Rs

Sl. No.	Transaction/ nature of relationship	Holding Companies	Subsidiaries	Fellow subsidiaries	MEWT	Key management personnel	Total
(i)	**Income from Software and IT-enabled services:**						
	a) Mindteck USA Inc.	–	216,986,556	–	–	–	216,986,556
	b) Mindteck UK Limited	–	–	37,746,517	–	–	37,746,517
	c) Infotech Consulting Inc.	–	10,412,464	28,701,209	–	–	39,113,673
	d) ISS Consultants Inc.	–	4,980,469	–	–	–	4,980,469
	e) Mindteck Singapore Pte. Ltd	–	–	3,747,164	–	–	3,747,164
	f) Mindteck Software Malaysia SDN BHD	–	59,104	–	–	–	59,104
	g) Mindteck Middle East Limited SOC	–	30,630	–	–	–	30,630

Amount in Rs

Sl. No.	Transaction/ nature of relationship	Holding Companies	Subsidiaries	Fellow subsidiaries	MEWT	Key management personnel	Total
(ii)	**Interest income:**						
	a) Mindteck USA Inc.	–	8,782,335	–	–	–	8,782,335
(iii)	**Reimbursement of expenses:**						
	a) Mindteck USA Inc.	–	20,273,672	–	–	–	20,273,672
	b) Mindteck UK Limited	–	–	3,718,905	–	–	3,718,905
	c) Mindteck Singapore Pte. Ltd	–	–	1,010,309	–	–	1,010,309
	d) Primetech Solutions Inc.	–	–	225,844	–	–	225,844
	e) Mindteck Software Malaysia SDN BHD	–	71,857	–	–	–	71,857
	f) ISS Consultants Inc.	–	67,885	–	–	–	67,885
	g) Infotech Consulting Inc.	–	–	249,901	–	–	249,901
	h) Mindteck Middle East Limited SOC	–	150,118	–	–	–	150,118
	i) Infotech Ventures Ltd	11,358	–	–	–	–	11,358
(iv)	**Remuneration to key managerial personnel:**					7,724,816	7,724,816
(v)	**Director's sitting fees :**	–	–	–	–	810,000	810,000
(vi)	**Preferential allotment of equity shares:**						
	a) Embtech Holdings Ltd.	485,364,000	–	–	–	–	485,364,000
	b) Pankaj Agarwal	–	–	–	–	88,248,000	88,248,000
(vii)	**Consideration for acquisition of ICI Tech Holdings Inc.**						
	a) Pankaj Agarwal	–	–	–	–	59,247,000	59,247,000
(viii)	**Additional investment in wholly owned subsidiary (including advance)**						
	a) Mindteck USA Inc.	–	114,324,884	–	–	–	114,324,884

(d) Transaction with related parties for the year ended March 31, 2007:

Amount in Rs

Sl. No.	Transaction/ nature of relationship	Holding Companies	Subsidiaries	Fellow subsidiaries	MEWT	Key management personnel	Total
(i)	**Income from software and related services:**						
	a) Mindteck USA Inc.	–	142,224,625	–	–	–	142,24,625
	b) Mindteck UK Limited	–	–	11,499,583	–	–	11,499,583
	c) ISS Consultants Inc.	–	27,871,775	–	–	–	27,871,775
	d) Mindteck Middle East Limited SOC	–	98,999	–	–	–	98,999

Amount in Rs

Sl. No.	Transaction/ nature of relationship	Holding Companies	Subsidiaries	Fellow subsidiaries	MEWT	Key management personnel	Total
(ii)	**Interest income:**						
	a) Mindteck USA Inc.	–	2,330,623	–	–	–	2,330,623
(iii)	**Dividend income:**						
	a) Mindteck USA Inc.	–	16,310,569	–	–	–	16,310,569
(iv)	**Reimbursement of expenses:**						
	a) Mindteck USA Inc.	–	734,660	–	–	–	734,660
	b) Mindteck UK Limited	–	–	31,803	–	–	–
	c) Mindteck Singapore Pte. Ltd	–	242,233	–	–	–	242,233
	d) Mindteck Holding Ltd	947,925	–	–	–	–	947,925
(v)	**Remuneration to key managerial personnel:**					5,760,115	5,760,115
(vi)	**Director's sitting fees :**					570,000	570,000

(e) The balances receivable from and payable to related parties as at March 31, 2008 are as follows:

Amount in Rs

Sl. No.	Transaction/ nature of relationship	Holding Companies	Subsidiaries	Fellow subsidiaries	MEWT	Key management personnel	Total
(i)	**Balance (due to)/ due from**						
	A) Amounts receivable :						
	a) Mindteck USA Inc.	–	75,470,980	–	–	–	75,470,980
	b) Infotech Consulting Inc.	–	38,487,157	–	–	–	38,487,157
	c) Mindteck UK Ltd	–	–	18,244,668	–	–	18,244,668
	d) Mindteck Singapore Pte. Ltd	–	–	3,747,642	–	–	3,747,642
	e) Mindteck Software Malaysia SDN BHD	–	57,724	–	–	–	57,724
	f) Mindteck Middle East Limited SOC	–	29,334	–	–	–	29,334
	B) Advances :						
	a) Mindteck USA Inc.	–	7,766,526	–	–	–	7,766,526
	b) Mindteck Singapore Pte. Ltd	–	–	2,075,514	–	–	2,075,514
	c) Mindteck UK Ltd	–	–	2,630,710	–	–	2,6307,10
	d) Mindteck Holdings Limited	860,378	–	–	–	–	860,378
	e) Infotech Consulting Inc	–	244,473	–	–	–	244,473
	f) Mindteck Middle East Limited SOC	–	721,292	–	–	–	721,292
	g) Mindteck Software Malaysia SDN BHD	–	219,268	–	–	–	219,268
	h) Infotech Ventures	–	–	11,358	–	–	11,358
	i) Primetech Solution Inc.	–	–	219,223	–	–	219,223
	j) Mindteck BPO Services Private Ltd	–	24,468	–	–	–	24,468

Amount in Rs

Sl. No.	Transaction/ nature of relationship	Holding Companies	Subsidiaries	Fellow subsidiaries	MEWT	Key management personnel	Total
	C) Amounts Payable :						
	a) Mindteck USA Inc	–	1,134,000	–	–	–	1,134,000
	b) Mindteck Singapore Pte. Ltd	–	–	96,842	–	–	96,842
	c) Mindteck UK Ltd	–	–	32,418	–	–	32,418
(ii)	**Advance for additional investment in wholly owned subsidiary**						
	i) Mindteck USA Inc., USA	–	1,607,395	–	–	–	1,607,395

(e) The balances receivable from and payable to related parties as at March 31, 2008 are as follows:

Amount in Rs

Sl. No.	Transaction/ nature of relationship	Holding Companies	Subsidiaries	Fellow subsidiaries	MEWT	Key management personnel	Total
(i)	**Balance (due to)/ due from**						
	A) Amounts receivable :						
	a) Mindteck USA Inc.	–	68,437,701	–	–	–	68,437,701
	b) Mindteck UK Ltd.	–	–	4,622,214	–	–	4,622,214
	c) ISS Consultants Inc.	–	9,641,693	–	–	–	9,641,693
B)	**Advances :**						
	a) Mindteck USA Inc.	–	31,187,818	–	–	–	31,187,818
	b) ISS Consultants Inc.	–	4,229,749	–	–	–	4,229,749
	c) Mindteck Singapore Pte. Ltd	–	–	3,903,602	–	–	3,903,602
	d) Mindteck Middle East Limited SOC	–	1,153,378	–	–	–	1,153,378
	e) Mindteck Holdings Limited	947,924	–	–	–	–	947,924
	f) Mindteck UK Ltd	–	–	571,661	–	–	571,661
	g) Mindteck Software Malaysia SDN BHD	–	329,348	–	–	–	329,348
	h) Mindteck BPO Services Pvt. Ltd.	–	21,101	–	–	–	21,101
	i) Mindteck Employees Welfare Trust	–	–	–	40,113,982	–	40,113,982
C)	**Amounts payable :**						
	a) Mindteck USA Inc.	–	1,295,914	–	–	–	1,295,914
	b) Mindteck Singapore Pte. Ltd	–	–	196,841	–	–	196,841
	c) Mindteck UK Ltd	–	–	32,418	–	–	32,418

15. EARNINGS PER SHARE ('EPS')

The computation of earnings per share is set out below:

Particulars	Year ended March 31, 2008		Year ended March 31, 2007	
	Basic EPS	Diluted EPS	Basic EPS	Diluted EPS
Profit after taxation (Rs)	**28,936,477**	**28,936,477**	22,652,908	22,652,908
Shares				
Weighted average number of equity shares outstanding during the year	**11,500,465**	**11,500,465**	9,725,564	9,725,564
Weighted average number of equity shares resulting from assumed exercise of employee stock options	**–**	**45,367**	–	291,300
Weighted average number of equity shares resulting from share application money	**–**	**85,976**	–	–
Weighted average number of equity shares for calculation of earnings per share	**11,500,465**	**11,631,808**	9,725,564	10,016,864

As per the Guidance Note on 'Accounting for Employee Share-Based Payments' issued by the ICAI, 416,000 weighted average number of equity shares held by the Mindteck Employees Welfare Trust have been reduced from the equity shares outstanding in computing basic and diluted earnings per share.

16. AUDITORS' REMUNERATION (EXCLUDING SERVICE TAX)

Amount in Rs.

	Year ended March 31, 2008*	Year ended March 31, 2007
Audit fees	**2,500,000**	575,000
Tax audit fees	**300,000**	300,000
Other services	**754,872**	–
Reimbursement of expenses	**57,215**	131,541
	3,612,087	**1,006,541**

* Audit fees, other services and reimbursement of expenses include Rs 1,400,000, Rs 550,000 and Rs 44,843 towards audit and certification fees in connection with the acquisition of target companies which forms part of the cost of investments.

17. The management has initiated the process of identifying enterprises which have provided goods and services to the Company and which qualify under the definition of micro and small enterprises, as defined under Micro, Small and Medium Enterprises Development Act, 2006. Accordingly, the disclosure in respect of the amounts payable to such enterprises as at March 31, 2008 has been made in the financials statements based on information received and available with the Company. Further in the view of the management, the impact of interest, if any, that may be payable in accordance with the provisions of the Act is not expected to be material. The Company has not received any claim for interest from any supplier under the said Act.

Amount in Rs

	March 31, 2008	March 31,2007
The principal amount and the interest due thereon remaining unpaid to any supplier at the end of the year:		
- Principal amount payable to suppliers	**Nil**	Nil
- Interest accrued on the above amount	**Nil**	Nil
The amount of interest paid by the Company along with the amounts of the payment made to the supplier beyond the appointed day during the year.	**Nil**	Nil
- Amount of interest for delayed payment to suppliers actually paid during the year	**Nil**	Nil
- Amount of delayed payments actually made to suppliers during the year	**Nil**	Nil
The amount of interest due and payable for the year of delay in making payment (which have been paid but beyond the appointed day during the year) but without adding the interest specified under this Act.	**Nil**	Nil
The amount of interest accrued and remaining unpaid at the end of the year.	**Nil**	Nil
The amount of further interest remaining due and payable even in the succeeding years, until such date when the i nterest dues as above are actually paid to the small enterprises.	**Nil**	Nil

18. GRATUITY PLAN

Effective April 1, 2006 the Company adopted the revised accounting standard on employee benefits. Pursuant to the adoption, the transitional liability was adjusted against the opening general reserve as at April 1, 2006, to the extent available, and the balance was adjusted against surplus in the profit and loss account.

The following table sets out the status of the gratuity plan as required under AS - 15 (revised) as at March 31, 2008.

Amount in Rs

Particulars	As at March 31, 2008	As at March 31, 2007
Obligations at beginning of the year	**2,856,307**	2,880,065
Service cost	**1,694,589**	499,546
Interest cost	**214,203**	201,279
Benefits paid	**–**	(392,681)
Actuarial (gain)/loss	**(119,161)**	(331,902)
Obligations at end of the year	**4,645,668**	**2,856,307**
Change in plan assets		
Plans assets at beginning of the year, at fair value	**1,694,168**	1,538,180
Expected return on plan assets	**123,398**	121,213
Actuarial gain/(loss)	**102,534**	29,067
Contributions	**499,000**	398,389
Benefits paid	**–**	(392,681)
Plans assets at end of the year, at fair value	**2,419,100**	**1,694,168**
Reconciliation of present value of the obligation and the fair value of the plan Assets		
Fair value of plan assets at the end of the year	**4,645,668**	2,856,307
Present value of the defined benefit obligations at the end of the year	**(2,419,100)**	(1,694,168)
Liability recognised in the balance sheet	**2,226,568**	**1,162,139**

Amount in Rs

Gratuity cost for the year	Year ended March 31, 2008	Year ended March 31, 2007
Service cost	**1,694,589**	1,841,431
Interest cost	**214,203**	201,279
Expected return on plan assets	**(123,398)**	(121,213)
Actuarial loss	**(221,695)**	(360,969)
Net gratuity cost	**1,563,699**	1,560,528
Assumptions		
Interest rate	**7.50% p.a**.	7.50% p.a
Expected rate of return on plan assets	**8% p.a.**	7.88% p.a
Expected rate of salary increase	**10% p.a.**	10% p.a
Attrition rate	**30%**	30%
Retirement age	**58 years**	58 years

19. DERIVATIVE INSTRUMENTS

Foreign currency exposures that have not been hedged by derivative instruments or otherwise are as follows:

Particulars	As at March 31, 2008		As at March 31, 2007	
	Amount (Rs)	Amount (Foreign currency)	Amount) (Rs.)	Amount (Foreign currency)
Due from:				
Debtors for services rendered	140,437,897	USD 3,537,547	101,827,818	USD 2,365,388
			5,193,875	GBP 61,709
Advances Recoverable	15,065,224	USD 379,477		
Due to Creditors for services availed	1,325,174	USD 32,475	196,841	SGD 6,859
			1,295,914	USD 29,877
			32,418	GBP 379

20. PRIOR PERIOD EXPENSES, NET

Prior period expenses, net for the year ended March 31, 2008 (previous year: Rs Nil) relate to the following:

Particulars	Amount in Rs
Depreciation on software licenses erroneously not capatilised in the previous year	229,324
Straight lining of lease rentals as required by Accounting Standard – 19 on 'Leases'	957,990
Other expenses, net	258,059
Prior period expenses, net	**1,445,373**

21. QUANTITATIVE DETAILS.

The Company is engaged in providing software and related services. Such services are not capable of being expressed in any generic unit and hence, it is not possible to give the quantitative details required under paragraphs 3 and 4C of Part II of the Schedule VI to the Companies Act, 1956.

22. TRANSFER PRICING

The Company has established a comprehensive system of maintenance of information and documents as required by the transfer pricing legislation under sections 92-92F of the Income-tax Act, 1961. Since the law required existence of such information and documentation to be contemporaneous in nature, the Company is in the process of updating the documentation for the international transactions entered into with the associated enterprise during the financial year and expects such records to be in existence latest by the end of September 30, 2008, as required by law. The management is of the opinion that its international transactions are at arm's length so that the aforesaid legislation will not have any impact on the financial statements, particularly on the amount of tax expenses and that of provision for taxation.

23. Previous year's figures have been regrouped/ reclassified wherever necessary to confirm to the current year's presentation.

for **Mindteck (India) Limited**

Satish Menon *Chairman*	**Pankaj Agarwal** *Managing Director*	**Guhan Subramaniam** *Director*
Vivek Malhotra *Director*	**P. Vidya Sagar** *Company Secretary*	

Bangalore
June 28, 2008

CASH FLOW STATEMENT FOR THE YEAR ENDED 31ST MARCH, 2008

	Year ended March 31, 2008 Rupees	Year ended March 31, 2007 Rupees
Cash flow from operating activities		
Profit before taxation	33,644,713	23,659,066
Adjustments for :		
Depreciation (including prior period depreciation charge)	15,152,577	8,921,674
Interest expense	6,650,650	5,805,830
Interest on fixed deposits	(1,945,508)	(377,946)
Interest on income tax refund	(126,469)	–
Dividend income	–	(16,310,569)
(Profit) / loss on sale of fixed assets	(571,675)	18,351
Provision for bad debts	–	736,540
Miscellaneous expenses written off	–	30,560
	52,804,288	**22,483,506**
Operating profit before working capital changes		
Decrease/(increase) in sundry debtors	(57,919,433)	(13,343,088)
Decrease/(increase) in loans and advances	(29,748,630)	(19,006,402)
Increase/(decrease) in current liabilities and provisions	46,605,525	4,352,162
Cash generated from/ (used in) operations	11,741,750	(5,513,822)
Income tax and fringe benefit tax paid	(7,976,099)	(5,950,019)
Net cash generated from/ (used in) operating activities	**3,765,651**	**(11,463,841)**
Cash flow from investing activities		
Purchase of fixed assets	(3,322,764)	(12,323,579)
Proceeds from sale of fixed assets	592,495	3,550
Investments made in subsidiaries	(176,320,710)	–
Interest received on fixed deposits	1,945,508	377,947
Dividend received from investments	12,800,197	8,154,040
Net cash generated from/ (used in) investing activities	**(164,305,274)**	**(3,788,042)**
Cash flow from financing activities		
Proceeds from issue of equity shares	283,613,692	–
Share application money received	10,803,489	–
Interest paid on loans	(6,650,650)	(5,805,831)
Proceeds from / (repayment of) term loan	(15,181,914)	15,181,914
Utilisation of cash credit facilities	6,630,436	16,466,870
Dividends paid (including distribution tax)	(10,897,429)	(11,015,206)
Net cash generated from financing activities	**268,317,624**	**14,827,747**
Net increase/(decrease) in cash and cash equivalents	**107,778,001**	(424,136)
Cash and cash equivalents relating to MEWT	**683,770**	–
Cash and cash equivalents at the beginning of the year	**6,403,618**	6,827,754
Cash and cash equivalents at the end of the year	**114,865,389**	**6,403,618**

Note:

Cash and cash equivalents at the end of the period include deposits with banks aggregating to Rs 5,000,000 (previous year Rs 5,160,543) pledged against secured loans and margin money, which are not freely available for use by the Company.

As per our report attached.

for **BSR & Company**
Chartered Accountants

Supreet Sachdev
Partner
Membership No. 205385

Bangalore
June 28, 2008

for **Mindteck (India) Limited**

Satish Menon
Chairman

Pankaj Agarwal
Managing Director

Guhan Subramaniam
Director

Vivek Malhotra
Director

P. Vidya Sagar
Company Secretary

Bangalore
June 28, 2008

Netherlands

Netherlands is another important customer location for Mindteck's engineering services business. It is the newest operating location for Mindteck in Europe.

BALANCE SHEET ABSTRACT AND COMPANY'S GENERAL BUSINESS PROFILE AS PER SCHEDULE VI, PART (IV) OF THE COMPANIES ACT, 1956

I	**Registration Details**	
	Registration No.	11-62649 of 1991
	State Code	11
	Balance Sheet Date	31.03.2008
II	**Capital Raised during the year**	**(Amount in Thousands)**
	Public Issue	NIL
	Rights Issue	NIL
	Bonus Issue	NIL
	Private Placement	283,042
III	**Position of Mobilisation and Deployemnt of Funds**	**(Amount in Thousands)**
	Total Liabilities	1,122,934
	Total Asstes	1,122,934
	Sources of Funds	
	Paid up Capital	213,908
	Reserves & Surplus	843,590
	Secured Loans	58,791
	Unsecrured Loans	NIL
	Application of Funds	
	Net Fixed Assets	36,876
	Investments	811,268
	Net Current Assets	274,790
	Misc. Expenditure	NIL
	Accumulated Losses	NIL
IV	**Performance of the Company**	
	Turnover	325,062
	Total Expenditure	321,334
	Profit Before Tax	33,645
	Profit after Tax	28,936
	Earnings per Share (Rs)	2.49
	Dividend Rate	5%
V	**Generic Name of Principle products/ervices of the Company**	
	Item Code (ITC Code)	8524
	Product Description	Computer Sofware

For and on behalf of the Board

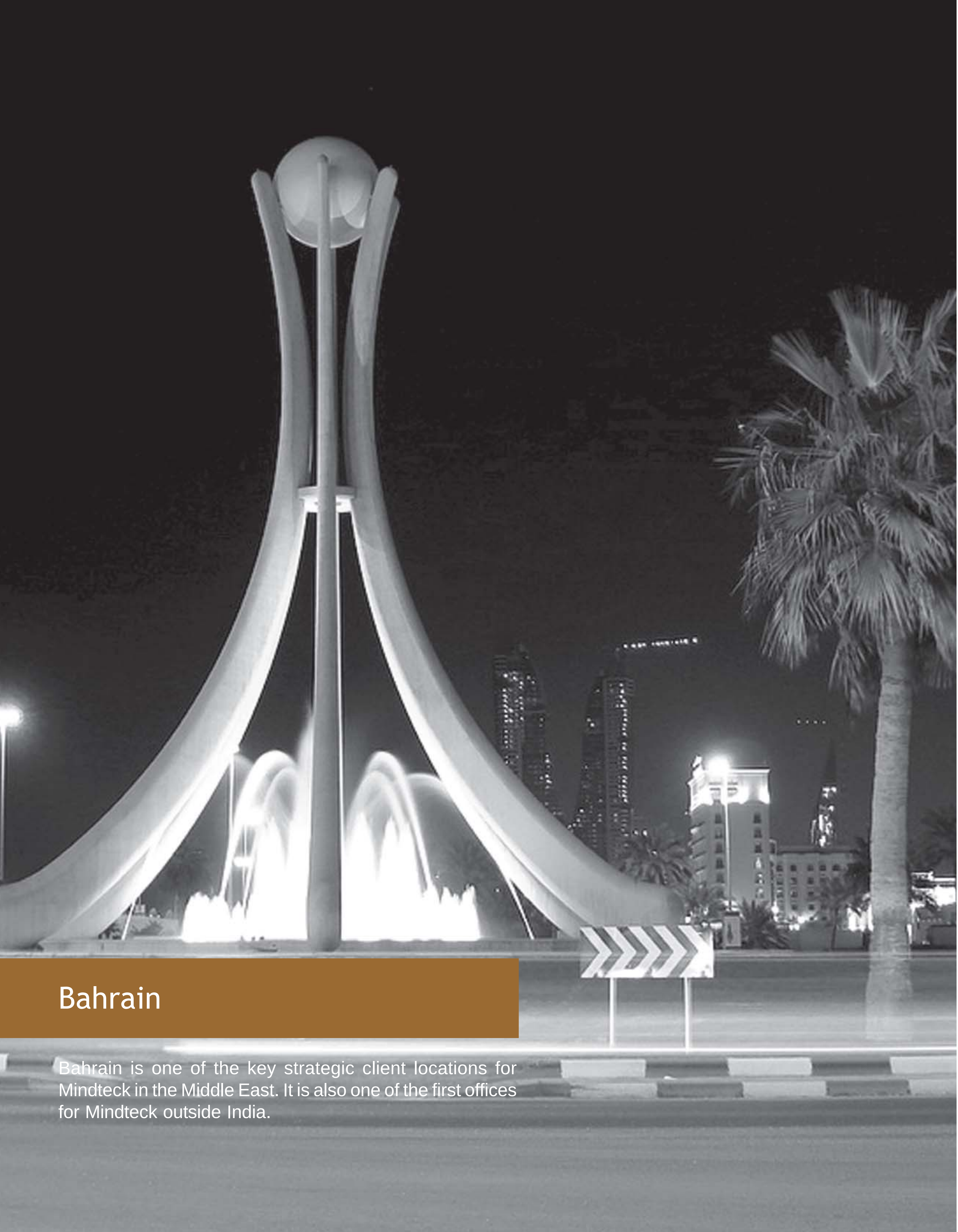
Satish Menon
Chairman

Pankaj Agarwal
Managing Director

Guhan Subramaniam
Director

Vivek Malhotra
Director

P. Vidya Sagar
Company Secretary



Bahrain

Bahrain is one of the key strategic client locations for Mindteck in the Middle East. It is also one of the first offices for Mindteck outside India.

AUDITORS' REPORT TO THE BOARD OF DIRECTORS ON THE CONSOLIDATED FINANCIAL STATEMENTS OF MINDTECK (INDIA) LIMITED AND ITS SUBSIDIARIES

1. We have audited the attached consolidated Balance Sheet of MINDTECK (INDIA) LIMITED ('the Company') and its subsidiaries (collectively called 'the Mindteck Group') as at March 31, 2008, the consolidated Profit and Loss Account and the Consolidated Cash Flow Statement for the year ended on that date, annexed thereto. These financial statements are the responsibility of the Company's Management. Our responsibility is to express an opinion on these financial statements based on our audit.

2. We conducted our audit in accordance with auditing standards generally accepted in India. These Standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audit provides a reasonable basis for our opinion.

3. We report that the Consolidated Financial Statements have been prepared by the Company's Management in accordance with the requirements of Accounting Standard (AS) 21, Consolidated Financial Statements prescribed in the Companies (Accounting Standards) Rules, 2006.

4. In our opinion and to the best of our information and according to the explanations given to us, the said accounts give a true and fair view in conformity with the accounting principles generally accepted in India:

   a) in the case of the Consolidated Balance Sheet, of the state of affairs of the Mindteck Group as at March 31, 2008;

   b) in the case of the Consolidated Profit and Loss Account, of the loss of the Mindteck Group for the year ended on that date; and

   c) in the case of the Consolidated Cash Flow Statement, of the cash flows of the Mindteck Group for the year ended on that date.

for **BSR & Company**
Chartered Accountants

Supreet Sachdev
Partner
Membership No. 205385

Bangalore
June 28, 2008

CONSOLIDATED BALANCE SHEET AS AT 31ST MARCH, 2008

	Schedule		As at March 31, 2008 Rupees	As at March 31, 2007 Rupees
SOURCES OF FUNDS				
SHAREHOLDERS' FUNDS				
Share Capital	**1**		209,748,800	97,255,640
Preference Shares Issued by Subsidiary	**2**		44,124,160	44,124,160
Share Application Money Pending Allotment			10,803,489	-
Reserves and Surplus	**3**		536,611,879	51,331,761
			801,288,328	**192,711,561**
LOAN FUNDS				
Secured Loans	**4 (a)**	58,791,356		67,342,834
Unsecured Loans	**4 (b)**	20,283,690		135,648,517
			79,075,046	**202,991,351**
TOTAL			**880,363,374**	**395,702,912**
APPLICATION OF FUNDS				
Goodwill	5 (a)		638,888,970	209,774,395
FIXED ASSETS	5 (b)			
Gross Block		152,224,174		109,182,665
Less: Accumulated Depreciation		(101,732,876)		(63,306,156)
Net Block			**50,491,298**	**45,876,509**
Deferred Tax Asset, Net	**16(6c)**		**3,366,464**	-
CURRENT ASSETS, LOANS AND ADVANCES				
Sundry Debtors	**6**		322,528,823	194,331,485
Cash and Bank Balances	**7**		144,232,844	12,172,094
Loans and Advances	**8**		208,752,807	119,333,100
			675,514,474	**325,836,679**
CURRENT LIABILITIES AND PROVISIONS				
Current Liabilities	**9**		440,998,366	147,034,687
Provisions	**10**		46,899,466	38,749,983
			487,897,832	185,784,671
NET CURRENT ASSETS			**187,616,642**	**140,052,008**
TOTAL			**880,363,374**	**395,702,912**

Note:
Significant accounting policies and notes to the accounts **16**
The schedules referred to above form an integral part of the consolidated balance sheet.

As per our report attached.

for **BSR & Company**
Chartered Accountants

Supreet Sachdev
Partner
Membership No. 205385

Bangalore
June 28, 2008

for **Mindteck (India) Limited**

Satish Menon
Chairman

Pankaj Agarwal
Managing Director

Guhan Subramaniam
Director

Vivek Malhotra
Director

P. Vidya Sagar
Company Secretary

Bangalore
June 28, 2008

CONSOLIDATED PROFIT AND LOSS ACCOUNT FOR THE YEAR ENDED 31ST MARCH 2008

	Schedule	Year ended March 31, 2008 Rupees	Year ended March 31, 2007 Rupees
INCOME			
Income from Software and IT-enabled Services	**11**	1,253,161,437	997,598,723
Other Income	**12**	46,009,457	1,491,125
TOTAL		**1,299,170,894**	**999,089,848**
EXPENDITURE			
Manpower Cost	**13**	1,000,997,236	792,909,096
Operating and Administration Expenses	**14**	213,883,479	144,285,829
Finance Charges	**15**	18,464,227	24,023,303
Depreciation	**5 (b)**	16,445,613	9,907,821
Amortisation of Goodwill	**5 (a)**	25,792,586	–
TOTAL		**1,275,583,141**	**971,126,049**
Profit Before Taxation and Prior Period Items		**23,587,753**	**27,963,799**
Prior Period Items	**16(14)**		
- Amortisation of Goodwill	**5 (a)**	58,462,056	**-**
- Other Expenses, net		5,326,044	-
Profit / (Loss) before taxation		**(40,200,347)**	**27,963,799**
Taxation			
- Current Tax		7,557,094	2,387,878
- Fringe Benefit Tax		1,306,726	1,006,160
- Deferred Tax Charge	**16(6)**	3,186,047	-
Profit / (Loss) after taxation		**(52,250,214)**	**24,569,761**
Balance in Profit and Loss Account brought forward		(54,363,094)	(64,085,894)
Add: Effect of Consolidation of the Mindteck Employees Welfare Trust		1,375,119	-
Less: Transitional provision as per revised AS-15		**-**	(863,942)
Amount available for appropriation		**(105,238,189)**	**(40,380,075)**
Appropriation :			
Dividend		10,711,939	9,725,564
Proposed Dividend by Subsidiary on Preference Shares		-	2,604,595
Corporate Dividend Tax		1,820,494	1,652,860
Loss in Profit and Loss Account carried forward		**(117,770,622)**	**(54,363,094)**
Earnings/(Loss) Per Share ('EPS')	**16(11)**		
(Equity shares, par value Rs 10 each)			
-Basic		(4.54)	2.53
-Diluted		(4.54)	2.45
Weighted Average Number of Equity Shares used in Computing Earnings Per Share			
-Basic		11,500,465	9,725,564
-Diluted		11,500,465	10,016,864
Significant accounting policies and notes to the accounts	**16**		

The schedules referred to above form an integral part of the consolidated profit and loss account.

As per our report attached.

for **BSR & Company**
Chartered Accountants

Supreet Sachdev
Partner
Membership No. 205385

for **Mindteck (India) Limited**

Satish Menon
Chairman

Pankaj Agarwal
Managing Director

Guhan Subramaniam
Director

Vivek Malhotra
Director

P. Vidya Sagar
Company Secretary

Bangalore
June 28, 2008

Bangalore
June 28, 2008

Singapore

Mindteck has significant presence in Singapore. It is also one of the most important customer locations for the Company in the APAC region. Mindteck has a development center in Singapore that renders services to the entire region.

SCHEDULES ANNEXED AND FORMING PART OF THE CONSOLIDATED BALANCE SHEET AS AT 31ST MARCH 2008

	As at March 31, 2008 Rupees	As at March 31, 2007 Rupees
SCHEDULE - 1		
SHARE CAPITAL		
AUTHORISED CAPITAL Equity Shares of Rs. 10/- each		
28,000,000 (previous year 15,000,000) Equity Shares of Rs 10/- each	280,000,000	150,000,000
500,000 (previous year 500,000) Cumulative, Non-Convertible, Redeemable Preference Shares of Rs 100/- each	50,000,000	50,000,000
TOTAL	**330,000,000**	**200,000,000**
ISSUED, SUBSCRIBED AND PAID-UP CAPITAL		
21,390,880 (previous year 9,725,564) Equity Shares of Rs 10/- each fully paid up	213,908,800	97,255,640
Less: 416,000 Equity Shares of Rs 10/- each fully paid up held by the Mindteck Employees Welfare Trust [Refer schedule 16(5b)]	(4,160,000)	-
Of the above,		
1. 251,680 (previous year 251,680) Equity Shares of Rs 10/- each are allotted as fully paid-up for consideration other than cash to the shareholders of erstwhile Nicco Infotech Limited pursuant to a scheme of amalgamation.		
2. 2,850,000 (previous year 2,850,000) Equity Shares of Rs 10/- each are allotted as fully paid-up for consideration other than cash to the shareholders of erstwhile Infotech Holdings Inc. pursuant to the acquisition.		
3. 7,800,000 (previous year Nil) Equity Shares of Rs 10/- each are allotted as fully paid-up for consideration other than cash to the shareholders of ICI Tech Holdings Inc. pursuant to the acquisition. [Refer schedule 16(3)]		
4 a. 13,977,257 (previous year 7,377,257) Equity Shares of Rs 10/- each are held by Embtech Holding Limited, Mauritius, the holding company.		
b. 261,747 (previous year 261,747) Equity Shares of Rs 10/- each are held by Infotech Ventures Limited.		
The ultimate holding company is Transcompany Limited, British Virgin Islands.		
TOTAL	**209,748,800**	**97,255,640**
SCHEDULE - 2		
PREFERENCE SHARES ISSUE BY SUBSIDIARY		
AUTHORISED		
2,000 (previous year 2,000) Non-cumulative, non-convertible preference shares of USD 1,000 each	89,360,000	89,360,000
	89,360,000	**89,360,000**
ISSUED, SUBSCRIBED AND PAID-UP		
992 (previous year 992), Non-cumulative, non-convertible preference shares of USD 1,000 each	44,124,160	44,124,160
The above preference shares have been alloted as fully paid-up for consideration other than cash pursuant to a scheme of amalgamation in an earlier year.		
TOTAL	**44,124,160**	**44,124,160**

SCHEDULES ANNEXED AND FORMING PART OF THE CONSOLIDATED BALANCE SHEET AS AT 31ST MARCH 2008

	As at March 31, 2008 Rupees	As at March 31, 2007 Rupees
SCHEDULE - 3		
RESERVES AND SURPLUS		
Capital Reserve	**42,602,609**	**42,602,609**
Securities Premium		
At the commencement of the year	63,092,246	63,092,246
Less: Premium on equity shares held by Mindteck Employees Welfare Trust	(36,240,000)	-
[Refer Schedule 16(5b)]	**26,852,246**	**63,092,246**
Additions during the year		
-Issue of equity shares under the Option Scheme 2005 [Refer Schedule 16(5)]	406,700	-
-Preferential issue of equity shares [Refer Schedule 16(3)]	740,165,832	-
	740,572,532	**-**
	767,424,778	**63,092,246**
General Reserve		
At the commencement of the year	**-**	500,000
Less: Transitional provision as per revised AS - 15	**-**	(500,000)
	-	**-**
Foreign Currency Translation Reserve	(4,159,879)	-
Debit balance in Profit and Loss Account	(117,770,622)	(54,363,094)
Adjustment on amalgamation of Foreign Subsidiaries [Refer Schedule 5 (a)]	(151,485,007)	-
TOTAL	**536,611,879**	**51,331,761**
SCHEDULE 4		
(a) SECURED LOANS		
From Scheduled Banks		
- Cash Credit Facilities	58,791,356	52,160,920
[Secured by equitable mortgage of property at Kolkata, charge on the fixed assets of the Company, fixed deposits aggregating to Rs 5,000,000 (previous year Rs 5,000,000) with lien marked in favour of the bank].		
- Term Loan	-	15,181,914
[Secured by exclusive charge on the assets created out of the term loan, equitable mortgage of property at Kolkata, charge on the fixed assets of the Company, fixed deposits aggregating to Rs Nil (previous year Rs 5,000,000) with lien marked in favour of the bank].		
	58,791,356	**67,342,834**
(b) UNSECURED LOANS		
Loans from Related Parties	19,238,094	27,799,457
Others	1,045,596	107,849,060
TOTAL	**20,283,690**	**135,648,517**

SCHEDULES ANNEXED AND FORMING PART OF THE CONSOLIDATED BALANCE SHEET AS AT 31ST MARCH 2008

	As at March 31, 2008 Rupees	As at March 31, 2007 Rupees
SCHEDULE 5		
(a) GOODWILL		
Goodwill arising on Consolidation	682,153,089	8,392,912
Goodwill - Purchased or Arising on Amalgamation		
Balance Brought Forward	250,245,602	254,581,782
Adjusted against Revenue Reserves #	(151,485,006)	-
Additions / Adjustments during the year*	(7,505,954)	(4,336,180)
	91,254,642	250,245,602
Amortisation		
Balance brought forward	(2,800,000)	(1,400,000)
During the year**	(85,654,642)	(1,400,000)
	(88,454,642)	(2,800,000)
Goodwill, net	2,800,000	247,445,602
Capital Reserve arising on consolidation	(46,064,119)	(46,064,119)
TOTAL	**638,888,970**	**209,774,395**

Pursuant to the amalgamation of ISS Consultants Inc. into Mindteck USA Inc. which was effective May 31, 2007, in accordance with AS-14, 'Accounting for Amalgamations', goodwill has been adjusted with revenue reserves.

* Includes the effect of translation of Goodwill relating to Foreign Subsidiaries which is considered as non-integral in terms of AS-11 "The Effects of Changes in Foreign Exchange Rates."

** Includes amortisation of goodwill in accordance with AS-14 (Rs 84,254,642), including prior period amortisation of Rs 58,462,056.

SCHEDULE 5 (b)

FIXED ASSETS

(Amount in Rupees)

	GROSS BLOCK				ACCUMULATED DEPRECIATION					NET BLOCK	
ASSETS	**As at April 1, 2007**	**Additions Adjustments during the the year**	**Deletions Adjustments during the the year**	**As at March 31, 2008**	**As at April 1, 2007**	**Adjustments #**	**Charge for the year**	**Deletions Adjustments during the year**	**As at March 31, 2008**	**As at March 31, 2008**	**As At March 31, 2007**
INTANGIBLE ASSETS:											
Computer Software	16,629,930	8,819,121	-	25,449,051	10,913,945	(6,862,241)	2,404,478	(6,862,064)	20,180,487	5,268,564	5,715,985
TANGIBLE ASSETS:											
OWNED ASSETS											
Computer Equipment	61,028,639	12,975,571	3,649,228	70,354,982	41,216,433	(10,169,121)	5,355,810	(2,530,791)	49,103,034	21,251,948	19,812,206
Office Equipment	10,530,225	2,800,810	58,450	13,272,585	2,490,637	-	3,912,146	(2,120,761)	8,523,544	4,749,041	8,039,588
Furniture and Fixtures	10,837,351	11,141,727	2,414,470	19,564,608	7,350,953	(3,518,126)	3,173,433	(422,145)	10,946,531	8,618,077	3,486,398
Vehicles	-	644,700	-	644,700	-		42,980	-	42,980	601,720	-
Buildings	10,156,520	-	-	10,156,520	1,334,188	-	166,005	-	1,500,193	8,656,327	8,822,332
Leasehold Improvements	-	1,565,706	-	1,565,706	-	-	220,085	-	220,085	1,345,621	-
Leased Assets											
Capital Leases	-	11,216,022	-	11,216,022	-	(11,216,022)	-	(11,216,022)	11,216,022	-	-
TOTAL	**109,182,665**	**49,163,657**	**6,122,148**	**152,224,174**	**63,306,156**	**(31,765,511)**	**15,274,937****	**(23,151,783)**	**101,732,876**	**50,491,299**	**45,876,509**
PREVIOUS YEAR	342,883,764	16,584,603	40,100	359,428,267	50,655,766		15,468,590	18,200	66,106,156	293,322,111	-

^ - Includes the effect of translation of assets held by foreign subsidiaries which are considered as non-integral in terms of AS 11, 'The Effects of Changes in Foreign Exchange Rates'

** Includes depreciation charge relating to the previous year Rs 229,324 [Refer Schedule 16(20)].

Consequent to the acquisition of ICI Tech Holding Inc. and Infotech Consulting Inc., the gross block of fixed assets acquired has been included in 'Additions/Adjustments during the year' and the related accumulated depreciation has been included in 'Deletions/Adjustments during the year'. [Refer schedule 16 (1)]. Details are given below.

Asset	Gross block as at the date of acquisition	Accumulated depreciation at the date of acquisition	Net block at the date of acquisition
Computer Software	6,862,241	6,862,241	-
Computer Equipment	15,646,171	10,169,121	5,477,049
Furniture and Fixtures	3,880,102	3,518,126	361,976
Capital Leases	11,216,022	11,216,022	-
TOTAL	**37,604,536**	**31,765,511**	**5,839,025**

SCHEDULES ANNEXED AND FORMING PART OF THE CONSOLIDATED BALANCE SHEET 31ST MARCH 2008

	As at March 31, 2008 Rupees	As at March 31, 2007 Rupees
SCHEDULE 6		
SUNDRY DEBTORS		
(Unsecured)		
Debts outstanding for a period exceeding six months		
Considered Good	-	113,645,265
Considered Doubtful	10,561,650	8,909,777
Others Debts		
Considered Good	322,528,823	80,686,220
Considered Doubtful	5,487,539	-
	338,578,012	203,241,262
Less : Provision for Doubtful Debts	16,049,189	8,909,777
TOTAL	**322,528,823**	**194,331,485**
SCHEDULE 7		
CASH AND BANK BALANCES		
Cash in hand	96,745	338,563
Balances with Banks:		
- In Current Accounts [Refer Schedule 16(3c)]	73,160,991	6,087,591
- In Deposit Accounts [Refer Schedule 16(3c)]	65,975,108	585,397
- In Margin Money Account	5,000,000	5,160,543
TOTAL	**144,232,844**	**12,172,094**
SCHEDULE 8		
LOANS AND ADVANCES		
(Unsecured, considered Good, unless otherwise stated)		
Advances recoverable in Cash or kind or for value to be received		
- Mindteck Employees Welfare Trust [Refer Schedule 16(5b)]	-	40,113,982
- Due from Holding Company and other Related Companies	6,177,305	31,580,675
- Due from Others	-	2,474,587
- Advances to Employees	4,442,131	2,462,813
- Prepaid Expenses	11,554,022	4,239,433
- Other Advances	3,989,448	2,206,660
Advance income Tax and Tax Deducted at Source	22,186,637	7,953,383
[Net of Provision for Tax Rs 5,068,981 (previous year Rs 1,325,000)]		
Deposits with Government Bodies	572,923	491,120
Other Deposits	53,942,894	27,810,447
Unbilled Revenue	105,887,447	-
TOTAL	**208,752,807**	**119,333,100**

SCHEDULES ANNEXED AND FORMING PART OF THE CONSOLIDATED BALANCE SHEET 31ST MARCH 2008

	As at March 31, 2008 Rupees	As at March 31, 2007 Rupees
SCHEDULE 9		
CURRENT LIABILITIES		
Sundry Creditors	271,283,172	71,452,014
Notes Payable	117,206,250	-
Due to Related Party	-	50,759,379
Deposits	23,218,128	828,200
Unclaimed Dividends	2,837,787	378,641
Unearned Income	4,445,706	-
Others Liabilities	11,990,393	23,616,454
Book Overdrafts	10,016,930	-
TOTAL	**440,998,366**	**147,034,687**
SCHEDULE 10		
PROVISIONS		
Provision for Leave Encashment	10,955,851	3,332,148
Provision for Gratuity	2,226,588	1,162,139
Provision for Income Taxes	21,186,825	20,244,210
[Net of Advance Tax Rs 498,991 (previous year Rs 498,991)]		
Provision for Fringe Benefit Tax	17,072	28,467
[Net of Advance Tax Rs 1,400,000 (previous year Rs 977,693)]		
Proposed Dividend	10,695,440	9,725,564
Proposed Dividend on Preference Shares Issued by Subsidiary	-	2,604,595
Provision for Corporate Dividend Tax	1,817,690	1,652,860
TOTAL	**46,899,466**	**38,749,983**

SCHEDULES ANNEXED TO AND FORMING PART OF THE CONSOLIDATED PROFIT AND LOSS ACCOUNT FOR THE YEAR ENDED 31ST MARCH 2008

	As at March 31, 2008 Rupees	As at March 31, 2007 Rupees
SCHEDULE 11		
INCOME FROM SOFTWARE AND IT-ENABLED SERVICES		
Income from Software Services	1,231,804,732	997,598,723
Income from IT-enabled Services	21,356,705	-
TOTAL	**1,253,161,437**	**997,598,723**
SCHEDULE 12		
OTHER INCOME		
Interest		
- From Banks [Tax Deducted at Source Rs 389,522 (previous year Rs 84,812)]	1,948,284	377,946
- Others	126,469	76,447
Rental Income [Tax Deducted at Source Rs 4,496,013 (previous year Rs 127,688)]	19,936,068	828,180
Profit on Sale of Fixed Assets, net	567,408	-
Provision no longer required written back [Refer Schedule 16(13)]	23,252,403	-
Miscellaneous Income	178,825	208,552
TOTAL	**46,009,457**	**1,491,125**
SCHEDULE 13		
MANPOWER COST		
Salaries and Allowances	430,801,583	618,839,999
Contribution to Provident and Other Funds	8,364,051	7,177,046
Staff Welfare Expenses	3,214,749	4,731,625
Consultancy Charges	558,616,853	162,160,426
TOTAL	**1,000,997,236**	**792,909,096**
SCHEDULE 14		
OPERATING AND ADMINISTRATION EXPENSES		
Rent and Hiring Charges	72,973,474	41,790,988
Professional Charges	29,572,398	9,028,270
Travelling Expenses	24,709,398	40,568,002
Insurance Premium	14,806,205	4,564,345
Communication Expenses	12,766,717	10,008,929
Recruitment Expenses	11,654,892	2,108,857
Foreign Exchange Loss, net	11,111,060	1,156,866
Rates and Taxes	4,364,797	2,990,096
Electricity	7,292,214	4,497,791
Repairs and Maintenance - Others	5,608,458	3,477,781
Remuneration to Auditors	5,319,063	1,119,926
Provision for Doubtful Debts	1,488,306	6,163,914
Membership and Subscription	1,179,355	1,420,471
Printing and Stationery	1,114,329	1,580,000
Remuneration to Non-Executive Directors	544,352	515,960
Loss on Sale Fixed Asset, net	-	18,351
Miscellaneous Expenses	9,378,461	13,275,282
TOTAL	**213,883,479**	**144,285,829**
SCHEDULE 15		
FINANCE CHARGES		
Interest on Term Loan	12,551,590	16,984,366
Interest on Cash Credit	5,183,445	5,069,431
Bank Charges	729,192	1,969,506
TOTAL	**18,464,227**	**24,023,303**

SCHEDULE – 16: SIGNIFICANT ACCOUNTING POLICIES AND NOTES TO THE ACCOUNTS FORMING PART OF THE CONSOLIDATED BALANCE SHEET AND PROFIT & LOSS ACCOUNT

1. DESCRIPTION OF THE GROUP

Mindteck (India) Limited ('Mindteck' or 'the Company') together with its wholly owned subsidiaries, set out below, collectively referred to as 'the Group' is an international provider of engineering and IT services to customers across various countries. The Group's core offerings are product engineering in the embedded space, SAP implementation and professional consulting.

In the embedded space, the Group renders electronics design, firmware and software in key vertical areas of analytical instruments, semiconductor fab equipment, medical instruments and in high end storage products segment. The SAP practice provides services in the areas of implementation, roll outs, application integration and support, upgrades and data archival. These services are focused in the discrete manufacturing, construction, oil & gas and consumer products sector. The Group offers a broad range of professional consulting services for custom application development, application management, re-engineering, validation and verification across the spectrum.

Through IT-enabled services, the Group provides employee support to other organizations.

The Company is head quartered in Bangalore with offices in Gurgaon and Hyderabad, and has a 100% Export Oriented Unit at Kolkata set up under the Software Technology Park (STP) Scheme of the Government of India. Mindteck has subsidiaries in the United States of America, Malaysia, Bahrain and India. Mindteck is the holding company of the Group and is listed in India on the Bombay Stock Exchange.

List of subsidiaries with percentage holding

Subsidiaries	Country of incorporation and particulars	Percentage of other holding (%)
Mindteck (USA) Inc. ('Mindteck USA) *(Refer note (a) below)*	a company organised under the laws of New Jersey, USA	100
ISS Consultants Inc. ('ISS') (*Refer note (a) below)*	a company organised under the laws of Texas, USA,	100
ICI Tech Holdings, Inc. ('ICI Tech') *(Refer note (b) below)*	a subsidiary of Mindteck w.e.f February 1, 2008, organised under the laws of Delaware, USA	100
Infotech Consulting, Inc. ('ICI') *(Refer note (b) below)*	a subsidiary of ICI Tech, organised under the laws of the Commonwealth of Pennsylvania, USA	100
Mindteck Software Malaysia Sdn. Bhd. ('Mindteck Malaysia')	a company organised under the laws of Malaysia	100
Mindteck Middle East Limited SPC, Kingdom of Bahrain ('Mindteck Middle East')	a company organised under the laws of The Kingdom of Bahrain	100
Mindteck BPO Services India Private Limited ('Mindteck BPO')	a subsidiary of Mindteck, organised under the laws of India	100

a) Pursuant to a plan of merger approved by the Board of Directors of ISS and Mindteck USA on May 30, 2007, ISS was merged into its parent Mindteck USA with effect from May 31, 2007. As a result of the merger, the separate legal existence of ISS ceased from the effective date, with Mindteck USA continuing as the surviving corporation. The amount of investment in excess of the net assets of ISS (Rs 151,485,007) has been adjusted against reserves in the current year.

b) With effect from February 1, 2008, the Company acquired control of ICI Tech and its operating subsidiary ICI by purchasing all the outstanding common stock of ICI Tech. Total consideration of Rs 635,607,825 has been allocated to negative net assets of Rs 38,152,352 based on book values resulting in consolidation goodwill of Rs 673,760,177.

In accordance with Accounting Standard-21, 'Consolidated Financial Statements', the financial statements of ICI Tech and ICI have been consolidated with effect from February 1, 2008. [Refer Schedule 16(3)].

2. SIGNIFICANT ACCOUNTING POLICIES

2.1. Basis of Preparation of Financial Statements

The consolidated financial statements have been prepared and presented under the historical cost convention on the accrual basis of accounting and comply with the Accounting Standards prescribed by Companies (Accounting Standards) Rules, 2006, other pronouncements of the Institute of Chartered Accountants of India (ICAI), the relevant provisions of the Companies Act, 1956, (the 'Act') to the extent applicable and the guidelines issued by Securities and Exchange Board of India ('SEBI').

2.2. Principles of Consolidation

The consolidated financial statements include the financial statements of Mindteck and its subsidiaries, which are more than 50% owned or controlled. The financial statements of the parent company and its majority owned/controlled subsidiaries have been combined on a line by line basis by adding together the book values of all items of assets, liabilities, incomes and expenses after eliminating all inter-company balances/transactions and resulting unrealised gain/ loss. In case of subsidiaries acquired during the year, the balances of income and expenses are consolidated from the date of acquisition.

The consolidated financial statements are prepared using uniform accounting policies for similar transactions and other events in similar circumstances.

2.3. Use of Estimates

The preparation of consolidated financial statements in conformity with the generally accepted accounting principles (GAAP) in India requires management to make estimates and assumptions that affect the reported amounts of income and expenses for the year, assets and liabilities and disclosures relating to contingent liabilities as on the date of the consolidated financial statements. Actual results could differ from those estimates. Any revision to accounting estimates is recognised prospectively in current and future periods.

2.4. Fixed Assets

Fixed assets are carried at cost of acquisition (including directly attributable costs such as freight, installation, etc.) or construction less accumulated depreciation. Borrowing costs directly attributable to acquisition or construction of those fixed assets, which necessarily take a substantial period of time to get ready for their intended use, are capitalised.

Leases under which the Group assumes substantially all the risks and rewards of ownership are classified as finance leases. Such assets acquired on or after April 1, 2001 are capitalised at fair value of the asset or present value of the minimum lease payments at the inception of the lease, whichever is lower. Lease payments under operating leases are recognized as an expense in the statement of profit and loss on a straight-line basis over the lease term.

Advances paid towards the acquisition of fixed assets outstanding at each balance sheet date and the cost of fixed assets not ready for their intended use on such date, are disclosed under capital work-in-progress.

Depreciation is provided on the straight-line method. The rates specified under Schedule XIV of the Companies Act, 1956 are considered as the minimum rates. If the management's estimate of the useful life of a fixed asset at the time of the acquisition of the asset, or of the remaining useful life on a subsequent review, is shorter than envisaged in the aforesaid Schedule, depreciation is provided at a higher rate based on the management's estimate of the useful life/remaining useful life. Pursuant to this policy, the management has estimated the useful life of fixed assets as under:

Asset classification	Useful life
Computer equipment	3 to 7 years
Office equipment	5 years
Furniture and fixtures	5 to 7 years
Vehicles	6 years
Buildings	58 years

Leasehold improvements are amortised over the lease-term or the estimated useful life of assets whichever is shorter.

Significant purchased application software that is an integral part of the Group's computer systems, expected to provide lasting benefits, is capitalised and amortised on the straight-line method over its estimated useful life or six years, whichever is shorter.

Fixed assets individually costing Rs 5,000 or less are fully depreciated in the year of purchase/ installation. Pro-rata depreciation is provided on all fixed assets purchased and sold during the year.

2.5. Intangibles

Intangible assets are recorded at the consideration paid for acquisition. Intangible assets are amortised over their estimated useful life on a straight-line basis commencing from the date the asset is available to the Group for its use.

Goodwill, arising on purchase of business, has been recorded to the extent the cost of acquisition of the business, comprising purchase consideration and transaction costs, exceeds the value of net assets acquired. The management estimates the useful lives for the various intangible assets as follows:

Asset classification	Useful life
Goodwill, arising on business purchase	5 years

Goodwill, arising on consolidation/acquisition of assets, is not amortised. It is tested for impairment on a periodic basis and written off, if found impaired.

2.6. Retirement Benefits

Gratuity, a defined benefit for employees of the Indian entity, is accrued based on an actuarial valuation at the balance sheet date, carried out by an independent actuary. The Company has an employees' gratuity fund managed by the Life Insurance Corporation of India ('LIC'). Provision for gratuity liabilities, pending remittance to the fund, is carried in the balance sheet.

Compensated absences, a long-term defined benefit, is accrued based on an actuarial valuation at the balance sheet date, carried out by an independent actuary. The Group accrues for the expected cost of short-term compensated absences in the period in which the employee renders services.

All actuarial gains and losses arising during the year are recognized in the profit and loss account of the year.

Contributions payable to recognized provident funds, approved superannuation scheme, employee pension and social security schemes in certain overseas subsidiaries, which are defined contribution schemes, are charges to the profit and loss account.

2.7. Revenue Recognition

The Group derives its revenues primarily from Software and IT-enabled services. Revenue from software services on a time-and-material basis is recognised upon performance of services and at the agreed contractual rates. Revenue from fixed price contracts is recognised using the percentage completion method determined by relating the actual cost incurred to date to the estimated total cost of the contract. Provision for estimated losses, if any, on incomplete contracts are recorded in the year in which such losses become probable based on the current contract estimates.

Revenue from IT-enabled services is recognised as the related services are performed, in accordance with the specific terms of the contract with the customers.

Unbilled revenue represents earnings in excess of billings while unearned income represents billings in excess of earnings.

Revenues are stated net of discounts, expenses billed to customers and any applicable duties or taxes.

Dividend income is recognised when the right to receive payment is established.

Interest income is recognised using the time proportion method, based on the transactional interest rates.

2.8. Foreign Exchange Transactions

Foreign exchange transactions are recorded using the exchange rates prevailing on the dates of the respective transactions. Exchange differences arising on foreign exchange transactions settled during the year are recognised in the profit and loss account for the year.

Monetary assets and liabilities denominated in foreign currencies as at the balance sheet date are translated at the closing exchange rates on that date; the resultant exchange differences are recognised in the profit and loss account. Non-monetary items which are carried in terms of historical cost denominated in a foreign currency are reported using the exchange rate at the date of the transaction.

The Group is exposed to foreign currency transactions including foreign currency revenues and receivables. With a view to minimize the volatility arising from fluctuations in currency rates, the Group enters into foreign exchange forward contracts and other derivative instruments.

In respect of forward contracts and other similar instruments entered into to hedge foreign exchange risk of firm commitments or highly probable forecasted transactions, AS-11, The Effects of Changes in Foreign Exchange Rates, is currently not applicable to exchange differences arising from such forward contracts. The premium or discount of such contracts is amortised over the life of the contract in accordance with AS-11.

For forward exchange contracts and other derivatives that are not covered by AS-11, the Group follows the guidance in the Announcement of ICAI dated March 29, 2008 whereby for each category of derivatives, the Group records any net mark-to-market losses. Net mark-to-market gains are not recorded for such derivatives.

In respect of forward contracts and other similar instruments that relate to foreign currency assets or liabilities at the balance sheet date, the proportionate premium or discount is recognized in the profit and loss account. The exchange difference measured by the change in exchange rate between the inception date of the contract and the balance sheet date is recognized in the profit and loss account. Any profit or loss arising on cancellation or renewal of forward exchange contracts is recognised as income or as expense for the year.

The Group did not have any outstanding derivative contracts as at March 31, 2008.

All the subsidiaries have been identified as non-integral operations in accordance with the requirements of AS-11(Revised 2003) "The Effect of Changes in Foreign Exchange Rates" issued by ICAI which is effective for the accounting periods commencing on or after April 1, 2004. In accordance with AS-11 (Revised 2003), the financial statements of such non-integral foreign operations are translated into Indian rupees as follows:

- All assets and liabilities, both monetary and non-monetary are translated using the closing exchange rate.
- Revenue items are translated at the respective monthly average rates.
- The resulting net exchange difference is credited or debited to a foreign currency translation reserve. However, an exchange difference arising out of intra-group monetary item, whether short term or long term is recognized in the profit and loss account.
- Contingent liabilities are translated at the closing exchange rate.

The exchange difference arising on a monetary item that is a part of the enterprise's net investment in a foreign operation is accumulated in a foreign currency translation reserve until the disposal of the net investment. On disposal of the net investment, the amount accumulated in the foreign currency translation reserve is recognized as income or as expense.

2.9. Provision and Contingent Liabilities

The Group creates a provision when there is a present obligation as a result of a past event that probably requires an outflow of resources and a reliable estimate can be made of the amount of the obligation. Provisions are not discounted to their present value and are determined based on best estimates required to settle the obligation at the balance sheet date. These are reviewed at each balance sheet date and adjusted to reflect the current best estimates. A disclosure for a contingent liability is made when there is a possible obligation or a present obligation that may, but probably will not, require an outflow of resources. When there is a possible obligation or a present obligation in respect of which the likelihood of outflow of resources is remote, no provision or disclosure is made.

Provisions for onerous contracts, i.e. contracts where the expected unavoidable costs of meeting the obligations under the contract exceed the economic benefits expected to be received under it, are recognised when it is probable that an outflow of resources embodying economic benefits will be required to settle a present obligation as a result of an obligating event, based on a reliable estimate of such obligation.

2.10. Taxation

The current income tax charge is determined in accordance with the relevant tax regulations applicable to respective entities within the Group.

Deferred tax charge or credit are recognised for the future tax consequences attributable to timing difference that result between the profit offered for income taxes and the profit as per the financial statements. The deferred tax charge or credit and the corresponding deferred tax liabilities or assets are recognised using the tax rates that have been enacted or substantively enacted by the balance sheet date. Deferred tax assets are recognised only to the extent there is reasonable certainty that the assets can be realised in future; however, when there is a brought forward loss or unabsorbed depreciation under taxation laws, deferred tax assets are recognised only if there is virtual certainty of realisation of such assets. Deferred tax assets are reviewed as at each balance sheet date and written down or written up to reflect the amount that is reasonably/virtually certain to be realised.

The Company, in India, enjoys a tax holiday for profits generated from its export activities upto March 31, 2010. Deferred tax in respect of timing difference which originate during the tax holiday period but reverse after the tax holiday period is recognised in the year in which the timing difference originate. For this purpose the timing differences which originate first are considered to reverse first.

The entities within the Group offset, on a year on year basis, the current tax assets and liabilities, where it has a legally enforceable right and where it intends to settle such assets and liabilities on a net basis.

2.11. Fringe Benefit Tax

Consequent to the introduction of Fringe Benefit Tax (FBT) effective April 1, 2005, in accordance with the guidance note on accounting for fringe benefits tax issued by the ICAI, the Company has made provision for FBT under income taxes.

The Finance Act, 2007 has introduced Fringe Benefit Tax (FBT) on employee stock options. The Company recovers such FBT from the employees, upon the exercise of the stock options. The FBT liability and related recovery is recorded at the time of exercise of options in the profit and loss account.

2.12. Earnings Per Share

In determining the earnings/(loss) per share, the net profit/(loss) after tax is divided by the weighted average number of equity shares outstanding during the year. The number of shares used in computing diluted earning per share comprises the weighted average number of shares considered for deriving basic earning per share and also the weighted average number of equity shares that could have been issued on the conversion of all dilutive potential equity shares. Dilutive potential equity shares are deemed converted as of the beginning of the period unless issued at a later date. In computing dilutive earning per share, potential equity shares that are dilutive i.e. which reduces earnings per share or increases loss per share are included.

The weighted average number of equity shares held by the Mindteck Employees Welfare Trust is reduced from the equity shares outstanding in computing basic and diluted earnings per share.

2.13 Impairment of Assets

The Group assesses, at each balance sheet date, whether there is any indication that an asset (including goodwill) may be impaired. If any such indication exists, the Group estimates the recoverable amount of the asset. For an asset that does not generate largely independent cash inflows, the recoverable amount is determined for the cash-generating unit to which the asset belongs. If such recoverable amount of the asset or the recoverable amount of the cash generating unit to which the asset belongs is less than its carrying amount, the carrying amount is reduced to its recoverable amount. The reduction is treated as an impairment loss and is recognised in the profit and loss account. If at the balance sheet date there is an indication that a previously assessed impairment loss no longer exists, the recoverable amount is reassessed and the asset is reflected at the recoverable amount.

An impairment loss is reversed only to the extent that the carrying amount of asset does not exceed the net book value that would have been determined; if no impairment loss had been recognised. In respect of goodwill, impairment loss is reversed only when it is caused by specific external events and their effects have been reversed by subsequent external events.

2.14 Employee Stock Options

The Group measures the compensation cost relating to employee stock options using the intrinsic value method. The compensation cost, if any, is amortised over the vesting period of the options.

3. a) Pursuant to the shareholder's approval at the Annual General Meeting held on

September 28, 2007, the Company's Board of Directors ('the Board'), at their meeting held on October 13, 2007, allotted 800,377 equity shares at a price of Rs 73.54 per share to a financial investor, Banco Efisa S.A., a foreign bank, on a preferential basis. The Company has obtained final listing approval from the Bombay Stock Exchange for the preferential issue made to Banco Efisa S.A.

b) The Board at their meeting held on October 13, 2007 also approved the acquisition of ICI Tech, USA, Chendle Holdings Ltd., British Virgin Islands, Mindteck Singapore Pte. Limited, Singapore and Mindteck UK Limited, United Kingdom ('Target Companies'). The acquisition of ICI Tech, USA was approved by the shareholders of the Company vide a special resolution at the Extraordinary General Meeting held on November 30, 2007 and the acquisition of Chendle Holdings Ltd., British Virgin Islands, Mindteck Singapore Pte. Limited, Singapore and Mindteck UK Limited, United Kingdom was approved by the shareholders of the Company vide a special resolution at the Extraordinary General Meeting held on February 5, 2008.

The consideration for the acquisition of ICI Tech, amounting to USD 21,000,000 (approximately Rs 827,547,000), has been paid partly by cash [USD 1,500,000 (approximately Rs 59,247,000)] and partly by a fresh issue of the equity shares of the Company [7,800,000 equity shares of the Company] to the shareholders of the ICI Tech. The Board has also simultaneously approved fresh issue of the equity shares of the Company to financial investors for the purpose of funding these acquisitions, repayment of existing loans and other specified purposes.

Pursuant to the above and after obtaining the requisite regulatory approvals, the Board at their meeting held on January 31, 2008 has simultaneously allotted, on a preferential basis, fresh equity shares to the shareholders of ICI Tech on a share swap basis and to financial investors for cash consideration. Accordingly, effective February 1, 2008, ICI Tech and its fully owned operating subsidiary Infotech Consulting Inc. have become wholly owned subsidiaries of the Company. Issue of equity shares to the shareholders of ICI Tech has been recorded based on the fair value of the equity shares issued, in accordance with the requirements of AS-13, 'Accounting for Investments'.

As at March 31, 2008, the Group is in the process of acquiring remaining Target Companies.

c) Statement of utilisation of the preferential issue proceeds as of March 31, 2008

Particulars	Amount in Rs
Amount raised through preferential issues	283,042,002
Deployment:	
- Cash consideration for acquiring ICI Tech	59,247,000
- For repayment of term loan	9,520,593
- Additional investment in wholly owned subsidiary, Mindteck USA	114,324,884
- Towards working capital	6,253,622
- Balance pending utilization	
- in fixed deposit account	63,695,903
- in current account	30,000,000
Total	**283,042,002**

4. During the current year, the Company has technically reassessed and revised the estimated useful life of certain categories of fixed assets of Mindteck (India) Limited with effect from April 1, 2007. The revised estimated useful lives are set out below:

Description	Revised estimated useful lives (years)	Estimated life in the previous year (years)
Office equipment	5	20
Furniture and fixtures	5	15

In accordance with Accounting Standard (AS) 6- 'Depreciation Accounting', the unamortized depreciable amount of assets is provided over the remaining useful life of assets. Consequent to such change, the depreciation for the year is higher and consolidated net loss for the year is higher by Rs 5,896,408. Correspondingly, the net block of fixed assets is lower and the debit balance in the profit and loss account is higher by Rs 5,896,408.

5. EMPLOYEE STOCK OPTIONS

a) The Group has an Employee Share Incentive Scheme 2000 ('ESIS 2000') for the benefit of its employees in India which is administered through the Trust. The Trust, which was constituted for this purpose, subscribed to 416,000 equity shares renounced in its favour by the Company's promoters/ directors/in the Company's earlier Right Issue. These shares are to be distributed amongst the Company's employees, based on the recommendations made by the Company's Appraisal Committee. No shares have been distributed under the ESIS 2000 and therefore, no stock compensation expense has been recorded.

b) Consolidation of the Mindteck Employees Welfare Trust

During March 2008, the Company sought a legal opinion on consolidation of the Mindteck Employees Welfare Trust ('the Trust') in accordance with the SEBI (Employee Stock Option Scheme and Employee Stock Purchase Scheme) Guidelines, 1999 dated June 30, 2003 ('the Guidelines). The Company was advised by its legal counsel that the financial statements of the Trust should be consolidated with the financial statements of the Company. Accordingly, the Company has consolidated the financial statements of the Trust with its own stand alone financial statements to comply with the requirements of the Guidelines.

The investments in the equity shares of the Company held by the Trust has been reduced from the share capital and securities premium account. The opening retained earnings of the Trust have been adjusted against the opening retained earnings of the Company. Balances, other than inter-company, have been appropriately consolidated on a line by line basis.

c) During the year ended March 31, 2006, the Company introduced 'Mindteck Employees Stock Option Scheme 2005' ('the Option Scheme 2005') for the benefit of the employees, as approved by the Board of Directors in its meeting held on July 4, 2005 and the shareholders meeting held on July 29, 2005. The Option Scheme 2005 provides for the creation and issue of 500,000 options that would eventually convert into equity shares of Rs 10 each in the hands of the Company's employees. The options are to be granted to the eligible employees at the discretion of and at the exercise price determined by the Compensation Committee of the Board of Directors. The options vest annually in a graded manner over a three year period and are exercisable during a maximum period of 5 years from the date of vesting.

During the year ended March 31, 2008, the Company has granted 28,200 options on July 30, 2007 at an exercise price of Rs 62.05 per share and 218,700 options on February 4, 2008 at an exercise price of Rs 50.55 per share.

Option activity during the year and weighted average exercise price of stock options under the plan is given as below:

Particular	Year ended March 31, 2008		Year ended March 31, 2007	
	Number of options	Weighted average exercise price (Rs)	Number of options	Weighted average exercise price (Rs)
Options outstanding at the beginning of the year	291,300	50.44	235,317	63.85
Granted during the year	246,900	51.86	179,900	34.65
Exercised during the year	16,499	34.65	–	–
Forfeited during the year	61,700	56.80	123,917	52.99
Lapsed during the year	–	–	–	–
Options outstanding at the end of the year	460,001	50.92	291,300	50.44
Options exercisable at the end of the year	96,934	56.88	52,500	63.85

Weighted average remaining contractual life of the options outstanding as at March 31, 2008 is 5.92 years (previous year 3.82 years).

The Company has accounted for the above options using the intrinsic value method. The exercise price has been determined at the closing price of the Company's shares traded on the Bombay Stock Exchange on the day prior to the date of grant of options and thus there is no stock compensation expense under the intrinsic value method for the options granted during the year.

The Guidance Note on 'Accounting for Employee Share-Based Payments' issued by the ICAI requires the disclosure of pro-forma net results and EPS, both basic and diluted, had the Company adopted the fair value approach described in the guidance note. Had the Company accounted for compensation cost under the fair value method, the reported consolidated loss for the year ended March 31, 2008 would have been Rs 52,870,833 (previous year consolidated profit Rs 23,003,713) i.e. higher by Rs 620,619 (previous year Rs 1,566,048) and the basic and diluted loss per share for the year would have been Rs 4.60 and Rs 4.60 (previous year earning per share Rs 2.37 and Rs 2.30) respectively.

The fair value of stock based awards to employees is calculated through the use of option pricing models, requiring subjective assumptions which greatly affect the calculated values. The said fair value of the options have been calculated using Black-Scholes option pricing model, considering the expected term of the options to be 4 years, an expected dividend rate of 10 % on the underlying equity shares, volatility in the share price of 61-78 % and a risk free rate of 8 %. The Company's calculations are based on a single option valuation approach. The expected volatility is based on historical volatility of the share price during the period after eliminating the abnormal price fluctuations.

6. PROVISION FOR TAXATION

a) The Company's profits from export of software and related activities are fully deductible from taxable income. Further, the units of the Company's at Kolkata are registered as 100 percent Export Oriented Units, which are entitled to a tax holiday period of ten years from the date of commencement of commercial operations under Section 10B in case of the Company.

b) Provision for income tax for the year relates to income tax on taxable income of the Company under the provisions of Section 115JB of the Income Tax Act, 1961 relating to MAT and on the taxable income of the foreign subsidiaries calculated in accordance with the relevant tax regulations.

c) Deferred Taxes

Amount in Rs

Particulars	**As at March 31, 2008**	**As at March 31, 2007**
Deferred Tax Liability		
Excess of depreciation allowable under Income Tax Law over depreciation provided in accounts	(8,750,718)	(8,902,521)
Deferred Tax Asset		
Carry forward losses restricted to the extent of deferred tax liability*	8,222,825	8,902,521
Provision for doubtful debts	1,665,318	–
Leave encashment	2,229,039	–
Net Deferred Tax Asset / (Liability)	**3,366,464**	–

*In view of unabsorbed depreciation and carry forward business losses under tax laws, some of the subsidiaries of the Group are unable to demonstrate virtual certainty as required by the Explanation in Accounting Standard 22 'Accounting for taxes on income'. Accordingly, no deferred tax asset has been recognized (except to the extent of deferred tax liabilities) as there is no virtual certainty supported by convincing evidence that sufficient future taxable income will be available against which such deferred tax asset can be realized.

Net deferred tax assets acquired pursuant to the acquisition of ICI Tech on February 1, 2008 amounts to Rs 6,552,538.

7. CONTINGENT LIABILITIES AND COMMITMENTS

a) Guarantees given by the Company's bankers as at March 31, 2008 is Rs 925,000 (previous year: Rs 925,000).

b) ICI Tech has guaranteed Rs 91,770,000 (USD 2,300,000) line of credit with a bank for its subsidiary ICI. The amount outstanding under the line of credit was Rs Nil as at March 31, 2008.

c) Estimated amount of contracts remaining to be executed on capital account (net of advances) and not provided for as at March 31, 2008 is nil (previous year: nil).

d) Claims against the Company not acknowledged as debt as at March 31, 2008 is nil (previous year: nil).

8. SEGMENT REPORTING

The Group's operations predominantly relate to providing Software and IT-enabled services which constitute the Group's two primary business segments. The Group has commenced the new line business of IT-enabled services from the current year. The Group considers the business segment as the primary segment and geographical segment based on the location of customers as the secondary segment.

The accounting principles consistently used in the preparation of the consolidated financial statements are also consistently applied to record income and expenditure in individual segments.

Income and direct expenses in relation to segments is categorised based on items that are individually identifiable to that segment, while the remainder of costs are apportioned on an appropriate basis. Certain expenses are not specifically allocable to individual segments as the underlying services are used interchangeably. The Group therefore believes that it is not practical to provide segment disclosures relating to such expenses and accordingly such expenses are separately disclosed as unallocable and directly charged against total income.

Segment assets, segment liabilities and fixed assets used in the Group's business have not been identified to any reportable segment, as these are used interchangeably between segments and hence management believes that it is currently not practical to provide segment disclosures relating to total carrying amount of segment assets, liabilities and fixed assets, since a meaningful segregation is not possible.

Business segments

Amount in Rs.

Profit & Loss Account for the period ended March 31, 2008	**Software services**	**Others**	**Total**
Segment revenue	1,231,804,732	21,356,705	1,253,161,437
Operating expenses, net	1,107,819,538	5,695,391	1,113,514,929
Segment results	123,985,194	15,661,314	139,646,508
Unallocable expenses			155,192,688
Interest expenses			6,875,524
Other income			46,009,457
Profit before Taxation and Prior Period Item			23,587,753
Prior period expenses, net			63,788,100
Taxation			12,049,867
Profit after Taxation			**(52,250,214)**

tFor the year ended March 31, 2007, the Company was engaged in providing only software development services and was considered to constitute a single segment. Hence no segment disclosure is provided for the prior year.

Geographical Segments

Amount in Rs.

Revenue	**Year ended March 31, 2008**	**Year ended March 31, 2007**
- USA	1,175,436,919	968,094,330
- India	4,962,692	2,240,305
- Rent of the world	72,761,826	27,264,088
TOTAL	**1,253,161,437**	**997,598,723**

9. LEASES

Operating Leases

The Group leases office and residential facilities and certain equipment under operating lease arrangements. Lease rental expense for office facilities under non-cancellable operating leases during the year ended March 31, 2008 amounted to Rs 62,179,192.

Future minimum lease payments under non-cancellable operating lease are set out below:

Amount in Rs

Lease obligations	**As at March 31, 2008**	**As at March 31, 2007**
Payable not later than one year	70,826,887	36,914,771
Payable later than one year and not later than five years	100,893,147	56,749,671
Payable later than five years	6,997,604	–

Additionally, the Group leases office facilities, residential facilities and equipment under cancellable operating leases. The rental expense under cancellable operating leases during the year ended March 31, 2008 was Rs 10,794,282.

Rental income from sub-leasing of office facilities during the year ended March 31, 2008 was Rs 19,936,068 (previous year Rs 828,180).

Finance Leases

The Group does not have any assets under finance lease.

10. RELATED PARTY TRANSACTIONS

a) Related Parties Where Control Exists:

The related parties where control exists are the holding companies (including ultimate and intermediary holding companies) and the Mindteck Employees Welfare Trust.

(i) Holding Companies

- Transcompany Ltd., British Virgin Islands (BVI) – Ultimate Holding Company
- Vanguard Investments Ltd., BVI – Intermediary Holding Company
- Mindteck Holdings Ltd., BVI - Intermediary Holding Company
- Business Holdings Ltd., BVI - Intermediary Holding Company
- Garrington Investments Ltd., BVI - Intermediary Holding Company
- Embtech Holdings Ltd., Mauritius - Holding company

(ii) Mindteck Employee Welfare Trust ('MEWT')

b) Related parties where significant influence exists:

(i) Fellow Subsidiaries

- Mindteck UK Limited, United Kingdom
- Mindteck Singapore Pte Limited, Singapore
- Primetech Solutions Inc., USA
- Infotech Consulting Inc., USA [upto January 31,2008]
- Infotech Ventures Ltd. BVI

c) Key Managerial Personnel:

- Shankar Velayudhan – Manager
- M. G. Ved – Chairman and Non-Executive Director (upto January 30, 2008)
- Satish Menon – Chairman and Non-Executive Director (w.e.f January 31, 2008)
- Pankaj Agarwal - Non-Executive Director and Investor
- Guhan Subramaniam - Non-Executive Director
- Vivek Malhotra – Non-Executive Director
- P. A. Ananthanarayan - CEO (upto November 7, 2006)

Note:

Related party relationships have been identified by the management and relied upon by the auditors.

d) Transaction with related parties for the year ended March 31, 2008:

Amount in Rs

Sl. No.	Transaction/ nature of relationship	Holding Companies	Fellow Subsidiaries	MEWT	Key Management Personnel	Total
(i)	**Income from Software Services:**					
	a) Mindteck UK Limited	–	37,746,517	–	–	37,746,517
	b) Mindteck Singapore Pte. Ltd	–	34,830,831	–	–	34,830,831
	c) Infotech Consulting Inc.	–	14,104,844	–	–	14,104,844
	d) Primetech Solutions Inc.	–	6,042,000			6,042,000
(ii)	**Reimbursement of Expenses incurred on behalf of:**					
	a) Mindteck UK Limited	–	3,938,438	–	–	3,938,438
	b) Mindteck Singapore Pte. Ltd	–	1,010,309	–	–	1,010,309
	c) Infotech Consulting Inc.	–	249,901	–	–	249,901
	d) Primetech Solutions Inc.	–	225,844	–	–	225,844
	e) Infotech Ventures Ltd		11,358	–	–	11,358
(iii)	**Proceeds of Loan Received:**					
	a) Mindteck Singapore Pte. Ltd	–	4,024,873	–	–	4,024,873
(iv)	**Subcontracting Costs:**					
	a) Mindteck Singapore Pte. Ltd	–	27,231,275	–	–	27,231,275
	b) Infotech Consulting Inc.	–	27,496,386	–	–	27,496,386
	c) Primetech Solutions Inc.	–	10,861,890	–	–	10,861,890

Amount in Rs

Sl. No.	Transaction/ nature of relationship	Holding Companies	Fellow Subsidiaries	MEWT	Key Management Personnel	Total
(v)	**Other Expenses:**					
	a) Interest paid to Mindteck Singapore Pte Ltd.	–	1,294,196	–	–	1,294,196
	b) Lease charges paid to Pankaj Agarwal	–	–	76,532	–	76,532
(vi)	**Reimbursement of Expenses incurred by:**					
	a) Mindteck Singapore Pte. Ltd	–	5,468,829	–	–	5,468,829
(vii)	**Repayment/ write back of Liabilities no longer required:**					
	a) Mindteck Singapore Pte. Ltd	–	2,618,200	–	–	2,618,200
	b) Mindteck Holdings Ltd.	10,486,727	–	–	–	10,486,727
	c) Embtech Holdings Ltd.	51,724	–	–	–	51,724
	d) Business Holdings Ltd.	3,229,816	–	–	–	3,229,816
(viii)	**Remuneration to Key Managerial Personnel**				11,182,894	11,182,894
(ix)	**Amount paid towards Professional Fees to a Director**				3,188	3,188
(x)	**Director's Sitting Fees**	–			810,000	810,000
(xi)	**Preferential Allotment of Equity Shares:**					
	a) Embtech Holdings Ltd.	485,364,000	–	–	–	485,364,000
	b) Pankaj Agarwal	–	–	–	88,248,000	88,248,000
(xii)	**Consideration for Acquisition of ICI Tech Holdings Inc:**					
	a) Pankaj Agarwal	–	–	–	59,247,000	59,247,000

(d) Transaction with related parties for the year ended March 31, 2007:

Amount in Rs

Sl. No.	Transaction/ nature of relationship	Holding Companies	Fellow Subsidiaries	MEWT	Key Management Personnel	Total
(i)	**Income from Software and Related Services:**					
	a) Mindteck UK Limited	–	11,499,583	–	–	11,499,583
(ii)	**Reimbursement of Expenses:**					
	b) Mindteck UK Limited	–	31,803	–	–	31,803
	c) Mindteck Singapore Pte. Ltd	–	1,314,362	–	–	1,314,362
	d) Mindteck Holdings Ltd.	1701,766	–	–	–	1701,766
(v)	**Remuneration to Key Managerial Personnel**	–	–	–	5,760,115	5,760,115
(vi)	**Director's Sitting Fees**	–	–	–	570,000	570,000

(e) **The balances receivable from and payable to related parties as at March 31, 2008 are as follows:**

Amount in Rs

Sl. No.	Transaction/ nature of relationship	Holding Companies	Fellow Subsidiaries	MEWT	Key Management Personnel	Total
(i)	**Balance (due to)/ due from**					
	A) Amounts receivable :					
	a) Mindteck UK Ltd	–	18,523,330	–	–	18,523,330
	b) Mindteck Singapore Pte. Ltd	–	3,765,038	–	–	3,765,038
	B) Advances :					
	a) Mindteck UK Ltd	–	2,630,710	–	–	2,6307,10
	b) Mindteck Singapore Pte. Ltd	–	2,455,636	–	–	2,455,636
	c) Primetech Solution Inc.	–	219,223	–	–	219,223
	d) Mindteck Holdings Limited	860,378	–	–	–	860,378
	e) Infotech Ventures	–	11,358	–	–	11,358
	C) Amounts Payable :					
	c) Mindteck UK Ltd	–	114,253	–	–	114,253
	b) Mindteck Singapore Pte. Ltd	–	19,111,735	–	–	19,111,735
	c) Primetech Solutions Inc.	–	621,363	–	–	621,363
(ii)	**Loan repayable to related parties :**					
	a) Mindteck Singapore Pte Ltd.	–	19,238,094	–	–	19,238,094
(iii)	**Due from key managerial personnel**	–	–	–	143,734	143,734

(e) **The balances receivable and payable to related parties as at March 31, 2007 are as follows:**

Amount in Rs

Sl. No.	Transaction/ nature of relationship	Holding Companies	Fellow Subsidiaries	MEWT	Key Management Personnel	Total
(i)	**Balance (due to)/ due from**					
	A) Amounts receivable :					
	a) Mindteck UK Ltd.	–	5,193,875	–	–	5,193,875
	b) Mindteck Singapore Pte. Ltd.	–	3,903,602	–	–	3,903,602
	B) Advances :					
	a) Mindteck UK Ltd	–	449,085	–	–	449,085
	b) Mindteck Singapore Pte. Ltd	–	391,742	–	–	391,742
	c) Mindteck Kabushiki Kaisha	–	4,752,862	–	–	4,752,862
	d) Mindteck Holdings Limited	947,924	–	–	–	947,924
	e) Infotech Ventures Ltd	–	25,039,055	–	–	25,039,055
	C) Amounts payable :					
	a) Mindteck UK Ltd	–	32,418	–	–	32,418
	b) Mindteck Singapore Pte Ltd.	–	1,675,507	–	–	1,675,507
(ii)	**Loan repayable to related parties**					
	a) Mindteck Holdings Ltd.	11,415,135	–	–	–	11,415,135
	b) Mindteck Singapore Pte Ltd.	–	18,177,989	–	–	18,177,989
	c) Infotech Ventures Ltd.	537,808	–	–	–	537,808
	d) Business Holdings Ltd.	18,875,787	–	–	–	18,875,787
	e) Embtech Holdings Ltd.	56,984	–	–	–	56,984

11. EARNINGS PER SHARE ('EPS')

The computation of earnings per share is set out below:

Particulars	Year ended March 31, 2008		Year ended March 31, 2007	
	Basic EPS	Diluted EPS	Basic EPS	Diluted EPS
Profit/(Loss) After Taxation (Rs)	(52,250,214)	(52,250,214)	24,569,761	24,569,761
Shares				
Weighted average number of Equity Shares outstanding during the year	11,500,465	11,500,465	9,725,564	9,725,564
Weighted average number of Equity Shares resulting from assumed exercise of Employee Stock Options	–	–	–	291,300
Weighted average number of Equity Shares for calculation of Earnings Per Share	11,500,465	11,500,465	9,725,564	10,016,864

As per the Guidance Note on 'Accounting for Employee Share-Based Payments' issued by the ICAI, 416,000 weighted average number of Equity Shares held by the Mindteck Employees Welfare Trust have been reduced from the Equity Shares outstanding in computing basic and diluted earnings per share.

12. GRATUITY PLAN

Effective April 1, 2006 the Company adopted the revised accounting standard on employee benefits. Pursuant to the adoption, the transitional liability was adjusted against the opening general reserve as at April 1, 2006, to the extent available, and the balance was adjusted against surplus in the profit and loss account.

The following table sets out the status of the gratuity plan as required under AS - 15 (revised) as at March 31, 2008.

Amount in Rs

Particulars	As at March 31, 2008	As at March 31, 2007
Obligations at beginning of the year	2,856,307	2,880,065
Service cost	1,694,339	499,546
Interest cost	214,203	201,279
Benefits paid	–	(392,681)
Actuarial (gain)/loss	(119,161)	(331,902)
Obligations at end of the year	**4,645,688**	**2,856,307**
Change in plan assets		
Plans assets at beginning of the year, at fair value	1,694,168	1,538,180
Expected return on plan assets	123,398	121,213
Actuarial gain/(loss)	102,534	29,067
Contributions	499,000	398,389
Benefits paid	–	(392,681)
Plans assets at end of the year, at fair value	**2,419,100**	**1,694,168**
Reconciliation of present value of the obligation and the fair value of the plan Assets		
Fair value of plan assets at the end of the year	4,645,688	2,856,307
Present value of the defined benefit obligations at the end of the year	(2,419,100)	(1,694,168)
Liability recognised in the balance sheet	**2,226,588**	**1,162,139**

Gratuity Cost for the Year	Year ended March 31, 2008	Year ended March 31, 2007
Service Cost	1,694,339	1,841,431
Interest Cost	214,203	201,279
Expected return on plan assets	(123,398)	(121,213)
Actuarial Loss	(221,695)	(360,969)
Net Gratuity Cost	**1,563,449**	**1,560,528**
Assumptions		
Interest Rate	7.50% p.a.	7.50% p.a
Expected rate of return on plan assets	8%	7.88% p.a
Expected rate of salary increase	10% p.a.	10% p.a
Attrition rate	30%	30%
Retirement age	58 years	58 years

13. Provision no longer required written back includes write back of loans that were payable to group companies (Rs 13,768,267) and reversal of excess provision for leave encashment (Rs 5,572,884) and other expenses (Rs 3,911,252).

14. Prior Period Expenses, net

Prior period items for the year ended March 31, 2008 relate to the following:

Particulars	Amount in Rs
Amortization of Goodwill on amalgamation	58,462,056
Salary and allowances relating to the previous year	4,037,667
Straight lining of lease rentals as required by Accounting Standard – 19 on 'Leases'	957,990
Depreciation on software licenses erroneously not capitalised in the previous year	229,324
Other expenses, net	101,063
Prior Period Expenses, net	**63,788,100**

15. Previous year's figures have been regrouped/ reclassified wherever necessary to conform to the current year's presentation.

for **Mindteck (India) Limited**

Satish Menon
Chairman

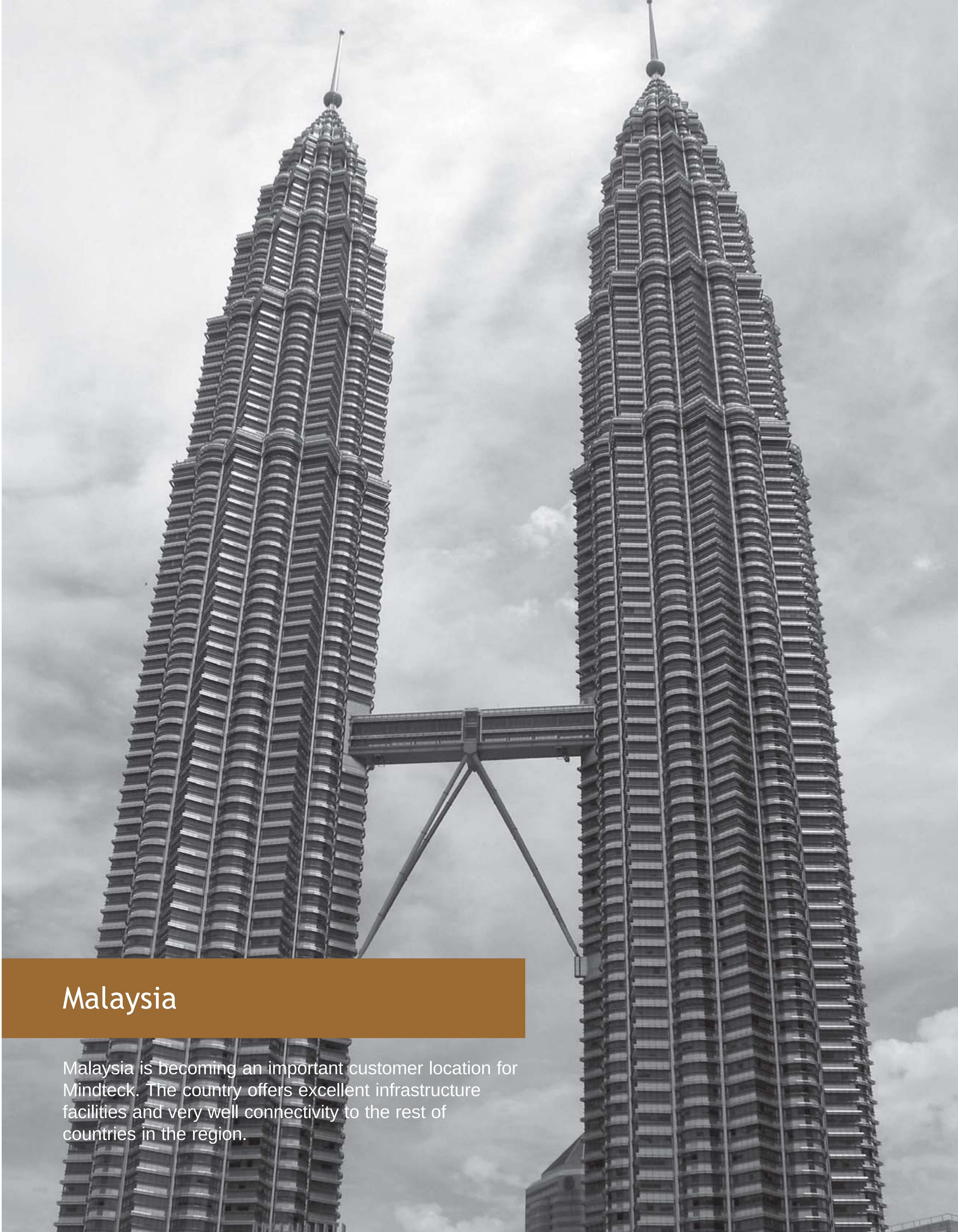
Pankaj Agarwal
Managing Director

Guhan Subramaniam
Director

Vivek Malhotra
Director

P. Vidya Sagar
Company Secretary

Bangalore
June 28, 2008



Malaysia

Malaysia is becoming an important customer location for Mindteck. The country offers excellent infrastructure facilities and very well connectivity to the rest of countries in the region.

CONSOLIDATED CASH FLOW FOR THE YEAR ENDED MARCH 31ST 2008

(Rupees)

	For the year ended March 31, 2008	For the year ended March 31, 2007
CASH FLOW FROM OPERATING ACTIVITIES		
Profit / (Loss) Before Taxation	(40,200,347)	27,963,799
Adjustments for :		
Depreciation	16,674,937	9,907,821
Interest expense	17,735,035	24,023,303
Interest on fixed deposits	(1,948,284)	(377,946)
(Profit) / loss on sale of fixed Assets	(567,408)	18,351
Provision no longer required written back	(23,252,403)	-
Miscellaneous Expenditure written-off	-	30,561
Amortisation of Goodwill	84,254,642	3,515,016
Operating Profit Before Working Capital Changes	**52,696,172**	**65,080,905**
Sundry Debtors	61,379,195	(28,770,085)
Loans and Advances	(8,101,732)	(14,886,448)
Current Liabilities and Provisions	(12,784,089)	(26,241,870)
Cash provided by / (used in) operations	93,189,546	(4,817,498)
Income Tax paid (including Fringe Benefit Tax)	(9,980,078)	(7,389,204)
Net Cash provided by/(used in) Operating Activities	**83,209,469**	**(12,206,702)**
Cash Flow from Investing Activities		
Purchase of Fixed Assets	(5,714,034)	(13,982,179)
Proceeds on sale of Fixed Assets	647,585	3,550
Exchange difference on Conversion	-	(307,532)
Payment towards purchase Consideration, net of cash acquired	(61,979,334)	-
Interest received on Fixed Deposits	1,948,284	377,946
Net Cash used in Investing Activities	**(65,097,499)**	**(13,908,215)**
Cash Flow from Financing Activities		
Proceeds from Issue of Equity Shares	283,613,692	-
Share Application Money received	10,803,489	-
Interest Paid	(17,769,722)	(24,023,303)
Proceeds from (repayment of) Secured Loans	(50,778,933)	50,147,823
Repayment of Unsecured Loans	(106,301,827)	-
Dividends Paid (including Dividend Tax)	(11,127,176)	(13,702,902)
Net Cash provided by Financing Activities	**108,439,523**	**12,421,618**
Net Increase in Cash and Cash Equivalents	**126,551,493**	**(13,693,299)**
Effect of Exchange Rate Changes	4,825,488	307,532
Cash and Cash Equivalents relating to MEWT (as at 1 April 2007)	**683,770**	-
Cash and Cash Equivalents at the beginning of the year	**12,172,093**	**25,557,860**
Cash and Cash Equivalents at the end of the year (Refer Schedule 7)	**144,232,844**	**12,172,093**

Note:

Cash and cash equivalents at the end of the period include deposits with banks aggregating to Rs 5,160,543 pledged against secured loans and margin money, which are not freely available for use by the Company.

As per our report attached.

for **BSR & Company**
Chartered Accountants

Supreet Sachdev
Partner
Membership No. 205385

Bangalore
June 28, 2008

for **Mindteck (India) Limited**

Satish Menon
Chairman

Pankaj Agarwal
Managing Director

Guhan Subramaniam
Director

Vivek Malhotra
Director

P. Vidya Sagar
Company Secretary

Bangalore
June 28, 2008

STATEMENT PURSUANT TO SECTION 212 OF THE COMPANIES ACT, 1956 RELATING TO SUBSIDIARY COMPANIES

1	Name of the Subsidiary	:	Mindteck USA Inc. (Formerly Mindteck Consulting Inc)	Mindteck Middle East SOC	Mindteck Software Malaysia SND BHD	Mindteck BPO Services Pvt Ltd	ICI Tech Holdings Inc. /Infotech Consulting Inc
2	Financial year of the subsidiary ended on	:	31st March 2008	31st March 2008	31st March 2008	31st March 2008	31st March 2008
3	Date from which it became a subsidiary	:	01st July 2001	12th July 2005	22nd December 2005	21st February, 2006	01 February, 2008
4	Shares of the Subsidiary held by the Company on the above date						
	a) Number and Face Value	:	933 Shares of $5000 Par Value Each	500 Shares of BD 100 Par Value each	250,000 Shares of RM 1 Par Value each	50,000 Shares of Rs 10 Par Value Each	10,000 Shares of $0.01 Par Value Each
	b) Extent of Holding	:	100%	100%	100%	100%	100%
5	Net aggregating amount of profits/(losses) of the subsidiary for the above financial year of the subsidiary so far as they concern members of the Company						
	a) dealt with in the accounts of the Company for the year ended 31st March 2008	:	NIL	NIL	NIL	NIL	NIL
	b) not dealt with in the accounts of the Company for the year ended 31st March 2008	:	Loss Rs. 712.57 Lacs	Profit Rs. 47.35 Lacs	Loss Rs. (30.93) Lacs	Loss Rs. (0.03) Lacs	Profit Rs. 75.03 Lacs
6	Net aggregating amount of profits/ (losses) for the previous financial years of the subsidiary, since it became a subsidiary so far as they concern members of the Company						
	a) dealt with in the accounts of the Company for the year ended 31st March 2008	:	NIL	NIL	NIL	NIL	NIL
	b) not dealt with in the accounts of the Company for the year ended 31st March 2008	:	Rs. 227.61 Lacs	Rs. (156.98) Lacs	Rs. (2.33) Lacs	Rs. (0.28) Lacs	NIL

Satish Menon
Director

Pankaj Agarwal
Managing Director

Guhan Subramaniam
Director

Vivek Malhotra
Director

P. Vidya Sagar
Company Secretary

Bangalore
June 28, 2008

STATEMENT PURSUANT TO SECTION 212 OF THE COMPANIES ACT, 1956 RELATING TO SUBSIDIARY COMPANIES

(In Rs Lakhs)

Name of the Subsidiary Company	Issued and Subscribed Share Capital	Reserves	Loans	Total Assets	Total Liabilities	Investments		Total	Turnover	Profit/ (Loss) Before taxation	Provision for Taxation	Profit/ /(Loss) After taxation	Proposed Divedend
						Long Term	Current						
Mindteck USA Inc (Formerly Mindteck Consulting Inc.)	504.67	(2,940.38)	189.00	2,150.69	2,150.69	Nil	Nil	Nil	9,458.91	(682.53)	30.04	(712.57)	Nil
Mindteck Middle East SOC	57.505	(109.63)	1.97	53.25	53.25	Nil	Nil	Nil	158.33	47.35	Nil	47.35	Nil
Mindteck Software Malaysia SND BHD	30.16	(33.26)	5.98	81.73	81.73	Nil	Nil	Nil	153.69	(30.93)	Nil	(30.93)	Nil
Mindteck BPO Services Pvt Ltd	5.00	(0.28)	0.21	5.21	5.21	Nil	Nil	Nil	-	(0.03)	Nil	(0.03)	Nil
ICI Tech Holdings Inc.	(315.04)	792.47	1172.06	3,805.07	3,805.07	Nil	Nil	Nil	1952.89	86.44	11.41	75.03	Nil

Satish Menon
Director

Pankaj Agarwal
Managing Director

Guhan Subramaniam
Director

Vivek Malhotra
Director

P. Vidya Sagar
Company Secretary

Bangalore
June 2008

ANNUAL GENERAL MEETING

NOTICE is hereby given that the SEVENTEENTH Annual General Meeting of the Members of Mindteck (India) Limited will be held on Wednesday, July 30, 2008 at 4 pm at Red Wood, Hotel Royal Orchid Central, 47/1 Dickenson Road, Manipal Centre, Bangalore - 560 042 to transact the following business:

AS ORDINARY BUSINESS:

1. To receive, consider and adopt the Audited Balance Sheet as on March 31, 2008 and the Profit & Loss Account for the financial year ended on that date together with the Reports of the Directors and Auditors thereon.

2. To appoint a director in place of Mr. Guhan Subramanaiam, who retires by rotation and being eligible, offers himself for re-appointment.

3. To appoint Auditors to hold office from the conclusion of this meeting until the conclusion of the next Annual General Meeting and to authorize the Board of Directors to fix their remuneration.

AS SPECIAL BUSINESS:

4. To consider and if thought fit, to pass, with or without modification(s), the following Resolution as a Special Resolution:

   "RESOLVED THAT the consent of the Company be and is hereby given to the adoption of the Mindteck Employees Stock Option Scheme 2008 ("the Scheme"), the salient features of which are furnished in the Explanatory Statement to the Notice."

   "RESOLVED FURTHER THAT in accordance with Section 81(A) and all other applicable provisions if any, of the Companies Act, 1956 ("the Act"), the provisions of the Articles of Association of the Company, provisions of Securities and Exchange Board of India ("Employees Stock Option Scheme and Employees Stock Purchase Scheme") Guidelines, 1999, ("the Guidelines") (including any statutory modification(s) or re-enactment of the Act or the Guidelines for the time being in force") consent of the Company be and is hereby accorded to the Board of Directors of the Company [(hereinafter referred to as "the Board") which shall be deemed to include the HR & Compensation Committee (hereinafter referred to as the "Committee")] to exercise its powers, including the powers conferred by this resolution, to create, offer, issue and allot at any time to or to the benefit of such person(s) who are in the employment of the Company, including Directors of the Company, whether whole-time or not or working in India or overseas or otherwise, 1,200,000 equity shares and/or equity linked instruments (including Options), and/or any other instruments or securities (hereinafter collectively referred to as "Securities"), at such price, in one or more tranches and on such terms and conditions as may be fixed or determined by the Committee, subject to the overall superintendence and control of the Board."

   "RESOLVED FURTHER THAT the Scheme be administered by the Committee, subject to the overall superintendence and control of the Board."

   "RESOLVED FURTHER THAT the said Securities may be allotted to such employees/directors in accordance with the Scheme and that the Scheme may also envisage for providing any financial assistance to the employees to enable the employee(s) to acquire, purchase or subscribe to the Securities of the Company."

   "RESOLVED FURTHER THAT the issue of Securities to any non-resident employee(s), non-resident Director(s) shall be subject to such approvals, permissions or consents as may be necessary in this regard."

   "RESOLVED FURTHER THAT the new equity shares to be issued and allotted by the Company under the Scheme shall rank pari passu in all respects with the then existing equity shares of the Company."

   "RESOLVED FURTHER THAT the Company shall conform to the accounting policies prescribed from time to time under the Guidelines."

   "RESOLVED FURTHER THAT the Board be and is hereby authorized to take necessary steps for listing of the Securities allotted under the Scheme, on the Stock Exchange where the Company's shares are listed as per the terms and conditions of the Listing Agreement with the concerned stock exchange and other applicable guidelines, rules and regulations."

   "RESOLVED FURTHER THAT for the purpose of giving effect to any creation, offer, issue, allotment or listing of the Securities under the Scheme, the Board be and is hereby authorized on behalf of the Company to evolve, decide upon and bring into effect and make any modifications, changes, variations, alterations or revisions in the said Scheme(s) or to suspend, withdraw or revive the Scheme(s) from time to time as may be specified by any statutory authority and to do all such acts, deeds, matters and things as may in its absolute discretion deem fit or necessary or desirable for such purpose and with power on behalf of the Company to settle any issues, questions, difficulties or doubts that may arise in this regard without requiring the Board to secure any further consent or approval of the members of the Company."

5. To consider and if thought fit, to pass, with or without modification(s), the following Resolution as a Special Resolution:

   "RESOLVED THAT the consent of the Company be and is hereby given to the Mindteck Employees Stock Option Scheme 2008 ("the Scheme"), the salient features of which are furnished in the Explanatory Statement to the Notice, being extended to such person(s)who are or would be in permanent employment of the holding company (ies) of the Company and/or subsidiary company (ies) of the Company, whether direct or indirect and whether Indian or foreign (including the Directors of the holding and subsidiary company(ies), whether working in India or out of India, except those belonging to the Promoter Group) on such terms and conditions as may be decided by the Board of Directors of the Company or the HR & Compensation Committee of the Board, subject to the overall superintendence and control of the Company's Board of Directors."

6. To consider and if thought fit, to pass, with or without modification(s), the following resolution as a Special Resolution:

"**RESOLVED THAT** pursuant to the provisions of sections 198, 269, 310, 311, 312, 314, 317, read with Schedule XIII and all other applicable provisions, if any, of the Companies Act, 1956 and pursuant to the recommendation of the HR & Compensation Committee and approval of the Company's Board of Directors and subject to approval of the Central Government and all other approvals as may be necessary, consent of the Company be and is hereby accorded to the appointment of Mr. Pankaj Agarwal as the "Managing Director" of the Company for a period of five years effective April 1, 2008 without payment of remuneration to him by the Company, with authority to the Board of Directors to alter and vary the terms and conditions of the said appointment from time to time within the scope of all applicable provisions of the Companies Act, 1956 and the approval of the Central Government and as may be agreed to by Mr. Pankaj Agarwal."

"**RESOLVED FURTHER THAT** subject to approval of the Central Government, if necessary, consent of the Company's Shareholders be and is hereby accorded to the grant of stock options and/or equity shares to Mr. Pankaj Agarwal under any Stock Option/Share Incentive Scheme, whether existing or future, which may be implemented by the Company from time to time."

"RESOLVED FURTHER THAT the intrinsic value of stock options and/or equity shares that may be granted to Mr. Pankaj Agarwal under any Stock Option/Share Incentive Scheme, whether existing or future, which may be implemented by the Company from time to time, may be deemed to be the minimum remuneration that would be paid by the Company to Mr. Agarwal even in the event of absence or inadequacy of profits of the Company in any year of his tenure as its Managing Director."

"**RESOLVED FURTHER THAT** the Board of Directors of the Company be and is hereby authorized to accept such modifications, if any, of the terms and conditions of the appointment of Mr. Pankaj Agarwal, as may be required by the Central Government provided such modifications are acceptable to the Company and Mr. Pankaj Agarwal."

"**RESOLVED FURTHER THAT** each of the Company's Directors and Mr. P. Vidya Sagar, Company Secretary be and are hereby severally authorized to execute, on behalf of the Company, all necessary applications to the Central Government, e-forms, returns, documents, letters, clarifications, representations, etc.. and in general to do all such acts and deeds and take all such steps as may be necessary to give effect to this resolution."

7. To consider and if thought fit, to pass, with or without modification(s), the following Resolution as a Special Resolution:

"**RESOLVED THAT** pursuant to the provisions of Section 81(1A) and other applicable provisions, if any, of the Companies Act, 1956 (including the rules and regulations there under and any statutory modification, amendments or re-enactment of the Principal Act or such Rules and Regulations for the time being in force) and in accordance with the provisions of the Articles of Association and the Memorandum of Association of the Company and such rules, guidelines and regulations, if any, as may be prescribed by the Securities and Exchange Board of India ("SEBI"), and any and all other concerned and relevant authorities to the extent applicable, from time to time and subject to such approvals, consents, permissions and sanctions of SEBI and any and all other appropriate authorities, institutions or bodies including the approval of the shareholders, as may be required, and subject to such conditions and modifications as may be prescribed by any of them while granting such approvals, consents, permissions and sanctions, the consent of the Company be and is hereby accorded to issue and allot (i) 422,600 Equity Shares of Rs 10/- each to Embtech Holdings Limited on a private / preferential placement basis at a price not less than the minimum price as may be determined in accordance with the SEBI (Disclosure and Investor Protection) Guidelines, 2000; (ii) 173,607 Equity Shares of Rs 10/- each to the Independent Shareholders of Chendle Holdings Limited on a private / preferential placement basis at a price not less than the minimum price as may be determined in accordance with the SEBI (Disclosure and Investor Protection) Guidelines, 2000; and (iii) upto 60,000 Equity Shares of Rs 10/- each to Financial Investor(s) on a private / preferential placement basis at a price not less than the minimum price as may be determined in accordance with the SEBI (Disclosure and Investor Protection) Guidelines, 2000."

"**RESOLVED FURTHER THAT** such issue and allotment of Equity Shares to each of Embtech Holdings Limited, the Independent Shareholders of Chendle Holdings Ltd. and the Financial Investor(s) shall be contingent on and shall occur simultaneously with the issue and allotment of Equity Shares to each other."

"RESOLVED FURTHER THAT the total number of equity shares to be issued to Embtech Holdings Ltd and the Independent Shareholders of Chendle Holdings Ltd. will not exceed 900,000 shares and the total number of equity shares to be issued to the financial investor(s) will not exceed 100,000 shares, whether issued in one or more tranches, as inter-dependent and simultaneous transactions."

"RESOLVED FURTHER THAT Mr. P. Vidya Sagar, Company Secretary, be and is hereby severally authorized to do all such acts, things, deeds and negotiate, amend and execute such deeds, documents, applications and agreements as may be required in connection with the foregoing."

"RESOLVED FURTHER THAT Mr. P. Vidya Sagar, Company Secretary, be and is hereby directed to file all requisite forms with the Registrar of Companies, Karnataka and do all other things necessary to implement the foregoing."

BY ORDER OF THE BOARD
For Mindteck (India) Limited

P. Vidya Sagar
Company Secretary

June 28, 2008

Registered Office:
16/3, Cambridge Road,
Ulsoor, Bangalore 560008.

NOTES:

1. **A MEMBER ENTITLED TO ATTEND AND VOTE AT THE MEETING IS ENTITLED TO APPOINT A PROXY TO ATTEND AND VOTE INSTEAD OF HIMSELF AND SUCH PROXY NEED NOT BE A MEMBER OF THE COMPANY.**
2. **THE INSTRUMENT APPOINTING PROXY SHOULD HOWEVER BE DEPOSITED AT THE REGISTERED OFFICE OF THE COMPANY NOT LESS THAN FORTY-EIGHT HOURS BEFORE THE COMMENCEMENT OF THE MEETING.**
3. The relevant Explanatory Statement pursuant to Section 173(2) of the Companies Act, 1956 is annexed hereto.
4. Members are requested to intimate change of address, if any, to the Company's Registrars, Mondkar Computers Pvt. Ltd. at 25, Shakil Niwas, Opp. Satya Sai Baba Temple, Mahakali Caves Road, Andheri (East), Mumbai – 400 093.
5. A blank Attendance Slip is annexed to the Proxy Form. Members are requested to fill up the particulars of the attendance slip, affix their signature at appropriate place and hand it over to the Company's Registrars at the entrance of the Meeting venue.

BY ORDER OF THE BOARD
For Mindteck (India) Limited

P. Vidya Sagar
Company Secretary

June 28, 2008

Registered Office:
16/3, Cambridge Road,
Ulsoor, Bangalore 560008.

ANNEXURE TO THE NOTICE

INFORMATION PURSUANT TO CLAUSE 49 OF THE LISTING AGREEMENT REGARDING RE-APPOINTMENT OF DIRECTOR

Item No. 3 – Appointment of Mr. Guhan Subramaniam as Director of the Company

Mr. Guhan Subramanaiam was appointed as an Additional Director on the Company's Board with effect from November 07, 2007. In the Company's previous annual general meeting, Mr. Subramaniam and the other additional directors were re-appointed as directors liable to retire by rotation. It is now proposed that Mr. Subramaniam will retire by rotation and being eligible offers himself for reappointment.

Brief particulars of Mr. Guhan Subramaniam are given below:

Mr. Guhan Subramaniam, aged 54 years, is Managing Partner at IL&FS Investment Managers Ltd. (IIML), which is India's second largest domestic private equity investment fund. He has about 30 years experience, particularly in the field of Information Technology and Software Services businesses, both in Indian and global markets. He has a successful and consistent management career track record, spanning Sales, Marketing, Business Development, Human Resources Development, Business Planning and eventually as Head of Operations. He has held senior management & leadership positions such as COO, Vice President & General Manager with leading Corporations in India such as Wipro Infotech Ltd., BPL Innovision Group, ALIT, HCL Ltd., PSI data Systems Ltd, Modi Xerox Ltd. and Godrej & Boyce Ltd.

Mr. Subramaniam is an independent, non-executive director on the Company's Board. He is also a member of Audit Committee, HR & Compensation Committee and Shareholders/ Investors Grievance Committee of Mindteck (India) Ltd.

Mr. Subramaniam is on the Board of the following companies: GSS America Infotech Ltd., Sark Systems India Ltd., IPF Online Ltd., Si2 Microsystems Ltd. and EBS Worldwide Services Pvt. Ltd.

Ordinary Resolution as set out in Item No. 3 is recommended for shareholders' approval.

None of the Company's Directors except Mr. Guhan Subramaniam is in any way concerned or interested in the resolution.

EXPLANATORY STATEMENT PURSUANT TO SECTION 173(2) OF THE COMPANIES ACT, 1956

Item Nos. 4 & 5- Introduction of Mindteck Employees Stock Option Scheme 2008

With a view to offer stock ownership opportunity to the Company's employees, the Company proposes to introduce, subject to its shareholders' approval, the Mindteck Employees Stock Option Scheme 2008 ('the Scheme') by the creation and issue of 1,200,000 options that would eventually convert into equity shares in the hands of the Company's employees.

The HR & Compensation Committee ("the Committee") of the Company's Board will administer the Scheme, subject to the superintendence and control of the Board.

The Company's Board has appointed Avendus Capital (Private) Limited as merchant bankers to oversee the implementation of the Scheme and ensure compliance with the requirements of the Securities and Exchange Board of India ("Employees Stock Option Scheme and Employees Stock Purchase Scheme") Guidelines, 1999, (hereinafter referred to as "the Guidelines").

In accordance with the requirements of the Guidelines, the information pertaining to the Scheme is furnished below:

Item	Particulars
Total no. of Options/ Warrants to be granted	1,200,000
Equivalent Equity Shares to be granted	1,200,000
Identification of Classes of employees entitled to participate in the Scheme	All the employees of the Company and its holding/subsidiary company(ies) including directors of each of these companies, as defined in the Guidelines (including any modification(s) or re-enactment of the Act for the time being in force), and as may be decided by the Committee, from time to time hereinafter referred to as "Employees".
Requirements of vesting and period of vesting and maximum period	Vesting of options may commence after the expiry of a period of 12 months from the date on which the options are granted, and may extend upto such time from the date of the grant as may be decided by the Committee. The vesting may occur in tranches, subject to the terms and conditions of vesting, as may be stipulated by the Committee, in its discretion, and which will include performance appraisal of the employees.
Exercise Price or Pricing formula	The Exercise Price of the options shall be the fair market value i.e. latest available closing price of the Company's shares, prior to the date of grant of options, as reported in the stock exchange on which the Company's shares are listed.
Exercise Period and Process of Exercise	Exercise Period shall be the time period after vesting within which the Employee should exercise his right to apply for the shares against the options vested in him pursuant to the Scheme. The Exercise Period shall be decided by the Committee at the time of the grant. The Employees can exercise their options by making a written application to the Company, in such manner and on execution of such documents as may be prescribed by the Committee.
Method of valuing options	Fair Value
Appraisal process for determining the eligibility of the employees to the Scheme	The Committee shall, based upon the performance and/or merit of Employees, as indicated by their annual performance appraisals, the minimum period of service put in by them, their designation and grade, their present and potential contribution to the success of the Company, its subsidiaries and/or its holding Company and other appropriate criteria, determine the eligibility of the Employees to the Scheme.
Maximum number of options to be issued per employee and in aggregate	The Committee may from time to time award options to one or more Employees, which may include recurring options to the same Employee. The aggregate number of options that may be awarded under the Scheme shall not exceed 1,200,000.

The Company shall conform to the accounting policies prescribed from time to time under the Guidelines.

The Company will be valuing the options at fair value as per the Guidelines. However, in case in future the Company calculates the employee compensation cost using the intrinsic value of stock options, the difference between the employee compensation cost so computed and the employee compensation cost that would have been recognized if it had used the fair value of the options, shall be disclosed in the Directors' report and also the impact of this difference on the profits and the EPS of the Company shall also be disclosed in Directors' Report.

A copy of the said Scheme is available for inspection by shareholders at the Company's registered office between 10.00 am and 5.00 p.m. on all working days.

Special Resolutions as set out above in Item Nos. 4 & 5 are recommended for shareholders' approval.

None of the Company's Directors is in anyway concerned or interested in the resolutions.

Item No. 6 Appointment of Mr. Pankaj Agarwal as the Company's 'Managing Director' for a period of five years with effect from April 1, 2008

Mr. Pankaj Agarwal has been appointed as the Company's "Managing Director" under the Companies Act, 1956 effective April 1, 2008.

Mr. Pankaj Agarwal is the "Group Chief Executive Officer" of the Mindteck Group and also the "President and Chief Executive Officer" of Infotech Consulting, Inc., which is the Company's wholly owned subsidiary in USA.

Mr. Pankaj Agarwal, who is currently a non-executive director on the Company's Board, is a US Citizen of Indian origin, and resides in Pennsylvania, USA. As such, the Company will need to obtain the approval of the Central Government for his appointment as he is not a Resident of India as required by Schedule XIII of the Companies Act, 1956.

The Company's HR & Compensation Committee has approved and recommended to the Board, the appointment of Mr. Pankaj Agarwal as the Company's Managing Director, without payment of remuneration to him by the Company, except that Mr. Pankaj Agarwal will be eligible, as an employee of the Company's subsidiary, to participate in any of the Stock Option/Share Incentive Schemes, whether present or future, that the Company may implement from time to time.

The Company's Board of Directors has accordingly approved the appointment of Mr. Pankaj Agarwal as the Company's Managing Director for a period of five years effective April 1, 2008, subject to the approval of the Company's Shareholders and the Central Government.

Mr. Agarwal's appointment as the Managing Director will require the approval of the Company's shareholders and the Central Government in terms of Sections 198, 269, 309, 310, 311, 312, 314 and 317 read with Schedule XIII and other applicable provisions of the Companies Act, 1956.

The following additional disclosures are for the information of the shareholders:

I. General Information:

(a) Nature of Industry:

Mindteck (India) Limited is a public limited company listed on the Bombay Stock Exchange Ltd. The Company has its registered office at 16/3, Cambridge Road, Ulsoor, Bangalore 560 008.

The Company operates in the IT industry and is engaged in software development and consultancy. The company specializes in embedded software and business application systems. It provides software development services, onsite and offshore, to clients spread over US, UK, Europe, Middle-East and Asia Pacific. The Company has software development centres in Bangalore and Kolkata.

(b) Financial Performance:

The Company's financial performance during the last three years is as follows:-

(Rs. in millions)

Particulars	Year ended March 31, 2008	Year ended March 31, 2007	Year ended March 31, 2006
Gross Income	356.42	253.25	207.18
PAT	28.94	22.65	21.69

(c) Export Performance and net Foreign Exchange Collaborations:

Export performance of the Company during the last three years is as follows: (Rs. in millions)

Particulars	Year ended March 31, 2008	Year ended March 31, 2007	Year ended March 31, 2006
Earnings	328.88	233.49	192.50
Expenditure	12.74	17.20	13.99

(d) Foreign Investments or Collaborators:

Embtech Holdings Limited, Mauritius, the Company's promoter, holds 65.34% of the Company's shares as on March 31, 2007.

II. Information about Mr. Pankaj Agarwal:

(a) Background Details:

Mr. Pankaj Agarwal is a US Citizen of Indian origin, residing in the US and is currently a non-executive director on the Company's Board.

Mr. Pankaj Agarwal has graduated with high honors as an Electronics and Communications Engineer from the Delhi College of Engineering.

At present, Mr. Agarwal is a member of the Board of Directors of the following companies:

1. ICI Tech Holdings Inc.
2. Infotech Consulting Inc.
3. Mindteck (India) Limited

Mr. Pankaj Agarwal is a shareholder of the Company and holds 5.61 % of the total issued and paid-up capital of the Company as on March 31, 2008.

(b) Past Remuneration:

The Company has not paid any remuneration to Mr. Pankaj Agarwal previously.

(c) Job Profile and his Suitability:

Mr. Pankaj Agarwal has been entrusted with substantial powers of management of the Company and all its wholly owned subsidiaries, subject to the overall superintendence and control of the Company's Board of Directors. As Managing Director of the Company, he will be responsible for the overall growth in revenues and profitability of the Mindteck Group.

Mr. Agarwal founded two companies- Infotech Consulting, Inc. ("Infotech") in the US and Binary Semantics Ltd. in India. Mr. Agarwal started Infotech with a capital of $10,000, and oversaw its growth into a $31,000,000 IT business by 2007. Infotech successfully established itself as a premier vendor for the Commonwealth of Pennsylvania, as well as several large private businesses in the US. The company grew from a one-man operation to a 225 person company over the last ten years. Infotech has also had the distinction of being ranked one of the "Top 50 Fastest Growing Companies" for seven of the last eight years by the Central Penn Business Journal. Mr. Agarwal was also the finalist in 2003 E&Y Entrepreneur of the Year award. In all, Mr. Pankaj Agarwal has more than twenty three years of experience in the global IT Industry. As such, Mr. Agarwal is eminently suited to be appointed as the Managing Director of the Company.

(d) Proposed Remuneration:

It is proposed to appoint Mr. Agarwal as the Company's Managing Director without payment of any remuneration to him by the Company for a period of five years effective April 1, 2008.

Mr. Agarwal is CEO of Infotech Consulting Inc. (ICI), the Company's wholly owned subsidiary, and is currently drawing following remuneration from the subsidiary:

(i) Annual Base Salary – US $ 313,500;

(ii) Incentive Bonus – 4.50% of the annual audited consolidated EBITDA of Mindteck (India) Ltd. in each year of his tenure;

(iii) Other savings/retirement plans, benefits, insurance, medical programs, expense reimbursements, etc. – in accordance with the terms and conditions contained in his employment contract with ICI.

The Company proposes to grant stock options and/ or equity shares to Mr. Pankaj Agarwal, as an employee of the Company's wholly owned subsidiary, under any Stock Option / Share Incentive Scheme, whether existing or future, which may be implemented by the Company from time to time.

(e) Comparative remuneration profile with respect to industry, size of the Company, profile of position and person: Not Applicable, since no remuneration is proposed to be paid by the Company in India.

(f) Pecuniary relationship with the Company / its managerial personnel:

Mr. Pankaj Agarwal does not have any pecuniary relationship with the Company or its managerial personnel.

III Other Information:

(1) Reasons of loss or inadequate profits – the Company is a profitable company and has declared dividend for the last three financial years.

(2) Steps taken for improvement – Not Applicable.

(3) Expected increase in productivity, etc. – Not Applicable

Special Resolution as set out above in Item No. 6 is recommended for Shareholders' approval by the Board of Directors of the Company.

None of the Directors of the Company, except Mr. Pankaj Agarwal, is in any way concerned or interested in the resolution.

Item No. 7

The Company's shareholders had, in their Extra-Ordinary General Meeting held on February 5, 2008 passed a special resolution approving the simultaneous issue and allotment of equity shares to the shareholders of Chendle Holdings Ltd. as consideration for its acquisition by stock swap and also to financial investors for cash, both on preferential allotment basis. The Company then obtained the approval of Bombay Stock Exchange Limited (BSE) and allotted equity shares to those shareholders of Chendle Holdings Ltd and Financial Investors that had obtained IT Permanent Account Numbers (PAN).

Chapter XIII of SEBI (DIP) Guidelines on Preferential

Allotments stipulates that preferential allotments should be completed within 15 days of passing shareholders' resolution or receipt of regulatory approval, whichever is later. Certain shareholders of Chendle Holdings Ltd could not obtain their PANs and the Company was unable allot equity to the extent of their entitlement prior to the expiry of the said 15-day time period.

These shareholders have now obtained PAN and the Company proposes to complete the allotment to these shareholders and also to the Promoters to the extent of their balance entitlement. The Company will also simultaneously issue fresh equity upto 100,000 shares for cash to financial investor(s) to meet its/ subsidiaries' working capital needs.

These proposed allotments will be effected simultaneously on private / preferential placement basis at a price that is not less than the minimum price as may be determined in accordance with the applicable SEBI Guidelines and require the approval of shareholders by way of a Special Resolution pursuant to the relevant provisions of Companies Act, 1956 and also the approval of the Bombay Stock Exchange Limited.

Disclosures in terms of Clause 13.1A of the SEBI Guidelines are given as under:

(i) The objects of the issue through preferential offer:

To subscribe to equity shares of the Company and meet the working capital needs of the Company and/or its subsidiaries.

(ii) The intention of the promoters/directors/key management persons to subscribe to the offer:

The Promoter Company, Embtech Holdings Ltd will subscribe to the shares in the offer.

(iii) Shareholding pattern of the Company before and after the proposed issue of Equity Shares pursuant to the resolution:

Category of Shareholders	Pre-Allotment		Post-Allotment	
	Holding	%age	Holding	%age
(i) Promoter Group	16,009,004	66.40	16,431,604	66.34
(ii) Directors	1,200,000	4.98	1,200,000	4.85
(iii) Mindteck Employees Welfare Trust	416,000	1.72	416,000	1.68
(iv) Independent Shareholders of Chendle Holdings Ltd				
- Existing	803,737	3.33	803,737	3.25
- Proposed Allottees	0	0.00	173,607	0.70
(v) Financial Investor (Mr. Bassam Jabr)	0	0.00	60,000	0.24
(vi) General Public	5,682,782	23.57	5,682,782	22.94
Total	**24,111,523**	**100.00**	**24,767,730**	**100.00**

(iv) Proposed time within which allotment will be completed:

As required under the SEBI Guidelines, the allotment as aforesaid is proposed to be made within 15 (fifteen) days from the date of passing of this resolution or in the event allotment of Equity Shares would require any approval(s) from any regulatory authority or the Central Government, within 15 (fifteen) days from the date of such approval(s), as the case may be.

(v) Identity of the proposed allottees and the percentage of post-preferential issued capital that may be held by the said allottees:

	Identity of proposed allottees	No. of equity shares to be allotted	% of post issue equity capital
1.	Embtech Holdings Ltd.	422,600	65.29
2.	Independent Shareholders of Chendle Holdings Ltd.*	173,607	0.70
3.	Financial Investor (Mr. Bassam Jabr)	60,000	0.24

* The identity of the proposed allottees who are the independent shareholders of Chendle Holdings Ltd. is as follows:

Sl. No.	Names of Independent Shareholders	% of post issue equity capital
1.	Mazen Rajab and Ibrahim Rajab	0.26
2.	Hamad Al Wannis	0.21
3.	A. Rehman Alireza and Asma Alireza	0.05
4.	Faoud Faki	0.10
5.	Abdullah Invetment Group	0.08

The Statutory Auditors' certificate that the above preferential issue is in accordance with the SEBI (Disclosure & Investor Protection) Guidelines, 2000, and the Memorandum & Articles of Association of the Company will be open for inspection at the registered office of the Company during working hours between 9.30 am and 1.00 pm, except on holidays up to the date of the Annual General Meeting. Copies of the above mentioned Certificate shall also be laid before the Annual General Meeting.

Special Resolution as set out above in Item No. 7 is recommended for shareholders' approval.

None of the Directors is concerned or interested in the resolution.

BY ORDER OF THE BOARD
For Mindteck (India) Limited

P. Vidya Sagar
Company Secretary

June 28, 2008

Registered Office:
16/3, Cambridge Road,
Ulsoor, Bangalore 560008.

MINDTECK (INDIA) LIMITED

16/3, Cambridge Road, Ulsoor, Bangalore 560 008

Attendance Slip

PLEASE COMPLETE THIS ATTENDANCE SLIP IN ALL RESPECTS AND
HAND IT OVER AT THE ENTRANCE OF THE MEETING HALL

REGD. FOLIO NO./CLIENT ID:
DP ID NO :
NAME :
ADDRESS :

I hereby record my presence at the Seventeenth Annual General Meeting of the Company.

Venue :

Date :

NAME OF THE SHAREHOLDER (IN BLOCK CAPITALS)	SIGNATURE OF THE SHAREHOLDER OR PROXY

Note :

1. A Proxy attending on behalf of the Member(s) shall write the name of the Member(s) from whom the holds Proxy.
2. Members are requested to bring their copy of the Annual Report with them to the Meeting as additional copies of the same will not be made available at the Meeting.

MINDTECK (INDIA) LIMITED

16/3, Cambridge Road, Ulsoor, Bangalore 560 008

Proxy Form

I/We .... of .... in the district of .... being a Member / Members of the above named Company, hereby appoint Mr./Mrs. .... of .... in the district of .... or failing him/her, Mr./Mrs. .... of .... in the district of .... as my/our proxy to attend vote for me/us on my/our behalf at the Seventeenth Annual General Meeting of the Company to be held on Wednesday, July 30, 2008 at 4.00 p.m. at Red Wood, Hotel Royal Orchid Central, 47/1 Dickenson Road, Manipal Centre, Bangalore-560042 and at any adjournment thereof.

Signed this .... day of .... 2008.

Reg. Folio / Client ID No. :

DP ID No. :

No. of shares :

Signature

Affix Re. One Revenue Stamp

Note : The proxy form duly signed across the revenue stamp of One Rupee must reach the Company's Registered Office not less than 48 hours before the time of the meeting.

USA | UK | INDIA | NETHERLANDS | GERMANY | SINGAPORE | MALAYSIA | BAHRAIN

www.mindteck.com